



Brexit 10 Years On: what's worked, what hasn't, what's next?

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Ten years ago, the UK voted to leave the European Union with a small majority. This marked the biggest self-imposed trade disruption in history (at the time). Much ink has been spilt on understanding the effects of Brexit, and much uncertainty still remains.

In this special report as part of the Deutsche Bank Research Institute, we revisit the Brexit impact 10 years on. We look at what's worked, what hasn't, and what's next?

To be sure, the effects of Brexit are still felt today. The UK economy continues to suffer from tight trade restrictions via non-tariff barriers. And we estimate some meaningful costs to GDP and employment as a result of the UK's departure from the EU. The cost of living has also been modestly higher on the back of Brexit.

It's not all doom and gloom, however. While Brexit may not have been the success some claimed it would be, it hasn't unfolded quite as badly as others thought either. While our Brexit Scorecard shows an economic cost to the UK's exit, our Brexit Balance Sheet brings together things that have been more positive for the UK as well as things which have not, and where we remain unsure.

We conclude on where we think the UK should focus its efforts in the near term while asking the big medium-term question: is there a path back to the EU? No matter how ambitious the UK's reset with the EU may be in the coming years, the UK will need to garner full support from both the electorate and the EU to come to terms on a deal fit for the British economy of the future. The bottom line: while the cost of Brexit cannot be ignored, there may be political limitations on how far the UK can go in re-integrating with the EU.

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Executive Summary

On the 23rd of June 2016, the UK economy and political ecosystem changed forever with the public voting to leave the European Union (EU). Fragmented politics gave way to a fragmented economy with the UK the first country to break from the European Union – marking, at the time, the biggest unilateral trade disruption in history.

The effects of Brexit are still felt today. The UK economy continues to suffer from tight trade restrictions via non-tariff barriers. The changing tide of immigration has also impacted businesses, from agriculture to hospitality and retail. To be sure, the costs of Brexit – though perhaps slightly exaggerated – are real. The economy is smaller as a result of its departure from the EU. The labour market is also smaller and more dislocated. And prices are running higher, given increased cost of EU imports.

Still, the path ahead – though uncertain – is filled with opportunity. The UK's Brexit freedoms have opened a path to better trade deals with other nations. Regulatory autonomy has positioned the UK to stay at the frontier of AI – the next biggest technological revolution. The speed of deregulation has also allowed the UK to benefit from stronger investment growth. And outside the EU, the UK has been able to embark on a more aggressive form of industrialisation.

In this report, we look at how the economy has taken shape a decade since the Brexit referendum. First, we present a scorecard of economic and market measures over the last decade, comparing the UK to its G7 peers (where compatible). We also set out a doppelganger analysis to estimate the running costs of Brexit. Second, we set out a balance sheet approach looking at what's worked and what's not worked. And third, we conclude with the path ahead. Low hanging fruit to improve the UK-EU Trade & Cooperation Agreement (TCA) remains ripe for picking. At the same time, however, big questions around the UK's future with the EU remain unanswered.

Our key conclusions:

- The cost of Brexit, we estimate, is a smaller economy (-4%), lower employment (-2%) and higher prices (+0.7%). While meaningful, these are slightly better readings than the overarching consensus.
- From a market perspective, investors have taken a dim view of Brexit and its consequences. While the currency has been broadly stable for much of the last decade, the disruption to the supply side of the economy has seen the cost of borrowing rise more sharply and seen equities underperform. From a current account standpoint, while income and trade balances have improved, the external economy is more unbalanced between goods and services than ever before.
- The good news is that the options to improve the TCA – without taking any big decisions on deep integration - are meaningful. We estimate that such improvements to the TCA can lift UK GDP by 0.4-0.8%.
- It takes two to tango. No matter how ambitious the UK's reset with the EU may be, the UK will need full support from both the electorate (to avoid any political paralysis) and the EU to come to terms for a better deal.



Introduction: Brexit Impact – 10 Years On

Ten years on from the June 2016 EU referendum, the United Kingdom's economic journey since Brexit remains one of the most contested empirical questions in modern economic history.

Isolating the structural Brexit impact (higher trade friction, reduced labour mobility, regulatory divergence) however, remains fraught with complexity. The overlapping shocks of a global pandemic, a historic energy shock, a global trade war, and a pronounced monetary tightening cycle affected virtually every advanced economy.

In this report we take a multi-step approach to disentangle some of the effects of Brexit and look ahead to what's next.

We start by providing a **brief overview** on how Brexit was delivered, highlighting the two phases that dominated markets and the economy: the initial referendum shock and the constitutional crisis arising as a result of delivering Brexit, and secondly the post-pandemic shock in which the final Trade & Cooperation Agreement (TCA) was both negotiated and implemented.

We then present a **UK scorecard** looking at how the economy fared during the Brexit transition – comparing it to other G7 economies. This includes GDP growth, the labour market, inflation, trade and market performance. The UK – despite Brexit – has outperformed many of its peers in some areas, underscoring its importance on the world stage. Strikingly though, multiple areas and asset classes have still seen material underperformance. Domestic-focused stocks have delivered one-third of the return of peers since the UK's departure from the EU.

As part of our scorecard, we run an empirical estimation exploring the cost of Brexit (as things stand) using a synthetic control method (i.e. the doppelganger method). Here, we cover GDP, employment, and prices (CPI). Under this framework, UK GDP sits nearly 4% smaller. Employment is 2% lower. And prices are 0.7% higher.

The next section presents our **Brexit Balance Sheet**: a non-exhaustive list of what we think has and hasn't worked, and where the jury is still out. To be sure, while the negatives of Brexit are largely well-explored, we also set out some of the positives that position the UK into a more fragmented world.

Turning to the **future**, we estimate the impact on the UK economy of potential deals with the EU. There are plenty of low-hanging fruit to improve the TCA. We set these out in detail. In short, we think there may be something like 0.4-0.8% upside to GDP growth if the UK and EU worked together to reduce some of the non-tariff barriers.

We conclude with some bigger picture thoughts on the longer-term future of the UK's relationship with the EU, and our view on the optimal path forward. To be sure, no matter how ambitious the UK's reset with the EU may be, the UK will need full support from both the electorate and the EU to come to terms on a better deal. Bottom line, while the cost of Brexit cannot be ignored, there may be political limitations on how far the UK can go in re-integrating with the EU.



The Long Goodbye - How The UK Delivered Brexit

The UK's exit from the European Union was anything but swift. While a slim majority of the British public voted to leave the European Union on 23 June 2016, the path to the eventual Brexit Day on 31 January 2020 was a near four-year journey. We start by walking down history lane and reviewing how Brexit was delivered. Indeed, this is important in understanding how Brexit talks induced uncertainty and ultimately impacted the economy and UK financial markets.

Following the referendum decision to leave the EU, the UK was plunged into a state of economic uncertainty and political chaos. Indeed, Brexit was only delivered three prime ministers later in 2020 as part of the Trade and Cooperation Agreement. The end state was a far removed trade deal than many would have anticipated in 2016, with the UK unilaterally engineering the biggest trade disruption in its economic history with a "hard Brexit".

The decade since the Brexit referendum can be divided into two distinct phases – each with their own economic and political characteristics.

PHASE I	PHASE II
2016–2019	2020–2025
Referendum Shock/Constitutional Crisis	Pandemic/TAC/Energy Shock

Phase 1 entailed the referendum shock, including a constitutional crisis.

The immediate aftermath of the referendum result was messy.

The UK saw an immediate constitutional convulsion on how actually to deliver Brexit, raising uncertainty (politically and economically). The resignation of PM Cameron ushered in a new government under PM May, where she set out twelve Brexit principles to guide future negotiations – including establishing the infamous 'red-lines' in securing a deal with the EU.

To shore up support and strengthen her hand, PM Theresa May called a snap general election in 2017, which ended up stripping the Conservatives of their working majority and creating dependency on the Northern Irish Democratic Unionist Party (DUP) via a confidence and supply agreement.

Over the next several quarters, the UK was plunged into a constitutional crisis. This in turn saw renewed political uncertainty, with investment and business decisions coming to a standstill. The core political paradox was that Parliament had a majority against every available Brexit outcome simultaneously: against no-deal, against May's deal, against remaining, and against any second referendum.

Eventually, PM Theresa May called time on her premiership, opening the path towards a new Prime Minister. Boris Johnson's premiership from July 2019 brought resolution through confrontation. PM Johnson prorogued Parliament (declared unlawful), threatened a no-deal Brexit, expelled 21 Tory MPs who voted against him, and ultimately secured a renegotiated Withdrawal Agreement by solving the



Irish border through a customs border in the Irish Sea. To then obtain a parliamentary majority for his deal, PM Johnson called a general election for December 2019, in which the Conservatives won a large majority.

The UK formally left the EU under the Withdrawal agreement at the end of January 2020, but was to stay in the single market and customs union during a one-year transition period in which a full trade deal was to be negotiated.

Phase 2 was underscored by a global pandemic – with the final rush to secure a trade deal with the EU.

Despite the pandemic, trade negotiations between the UK and EU continued, but under extraordinary conditions. With the Covid-19 pandemic consuming essentially 100% of legislative bandwidth from March 2020 to mid-2021, the UK-EU Trade and Cooperation Agreement (TCA) – the most important trade negotiation in the country's post-war history – was conducted entirely via video conference.

After years of negotiation and deliberation, the culmination of the Brexit journey – at least as things stand – was the TCA being agreed on Christmas Eve 2020 – 1,645 days after the UK voted to leave the EU. For the avoidance of doubt, the TCA represented a marked, "hard Brexit," departure from the UK's previous relationship with the EU. [Figure 1](#) highlights all the key dates on this multi-year journey.

Figure 1: Key events in the run up to Brexit

Date	Key Political Event
Phase 1: The Referendum Shock	
23-Jun-16	Referendum: 51.9% Leave, 48.1% Remain. Turnout 72.2%.
24-Jun-16	David Cameron announces resignation
13-Jul-16	Theresa May becomes Prime Minister.
17-Jan-17	Lancaster House speech: May sets 12 Brexit principles.
29-Mar-17	Article 50 formally triggered. Two-year countdown begins.
08-Jun-17	Snap general election. Conservatives lose majority: 318 seats (–13).
6–9 Jul 2018	Chequers Agreement. Cabinet 'white paper' Brexit plan agreed.
14-Nov-18	Draft Withdrawal Agreement published.
10-Apr-19	Article 50 extended to 31 October 2019. UK must hold European Parliament elections.
24-May-19	May announces resignation. Cites failure to deliver Brexit. Conservative leadership contest: 10 candidates. Boris Johnson wins.
24-Jul-19	Boris Johnson becomes PM.
17-Oct-19	Revised Withdrawal Agreement agreed with EU. Irish Sea border accepted.
12-Dec-19	General election. Conservatives win 365 seats: 80-seat majority.
Phase 2: The Deal And Pandemic Collision	
31-Jan-20	UK formally leaves the European Union at 11:00pm. Transition period begins (to year end).
24-Dec-20	Trade and Cooperation Agreement (TCA) agreed. Christmas Eve deal.
01-Jan-21	TCA in force. UK customs border operational for first time.

Source : Deutsche Bank, News Sources



The UK Scorecard: economic performance relative to the G7

How did the UK fare relative to its counterparts in the G7 over the past decade? In this section, we build on the UK's economic performance since its decision to leave the European Union via a UK scorecard. We group this into three time periods.

The first (2010-2015) is the pre-referendum period – which in itself encapsulated its own economic issues as the UK dealt with the aftermath of the global financial crisis (GFC) and the government's austerity.

The second period is the referendum shock and the constitutional crisis (2016-2019) as the UK's Withdrawal Agreement with the EU was negotiated amidst domestic political turbulence.

And the third period looks at the pandemic period and beyond (2020-2025), where the UK and EU negotiated and implemented its TCA during a global pandemic, and shortly after which saw the Russian invasion of Ukraine and energy crisis of 2022.

We briefly set out some headline statistics as part of an economic scorecard looking at GDP growth, business investment, trade, employment and inflation ([Figure 2](#)).

Figure 2: The Broad UK Economic Scorecard

UK Economic Scorecard			
	2010-2015	2016-2019	2020-2025
Real GDP Growth	1.9%	2.0%	1.1%
% annual growth	(4)	(3)	(4)
Gross Fixed Capital Formation	3.8%	2.9%	2.3%
% annual growth	(2)	(7)	(2)
Current Account Balance, % of GDP	-3.6%	-3.7%	-2.5%
	(7)	(7)	(6)
Employment Rate	71.6%	75.2%	75.0%
	(3)	(2)	(3)
CPI Inflation	2.4%	1.9%	4.3%
% annual rate	(1)	(2)	(1)
*G7 Rank In Parantheses (1= highest, 7=lowest)			

Source : Deutsche Bank, IMF, OECD

GDP

On the surface, UK real GDP has expanded sizably since the referendum – especially in 2016 and 2017. During the early post-referendum years, UK GDP annual growth averaged 2% – above the G7 average and behind only the USA and Canada. From 2020 onwards, UK GDP growth slipped meaningfully to 1.1% – converging to the G7 average ([Figure 3](#)).



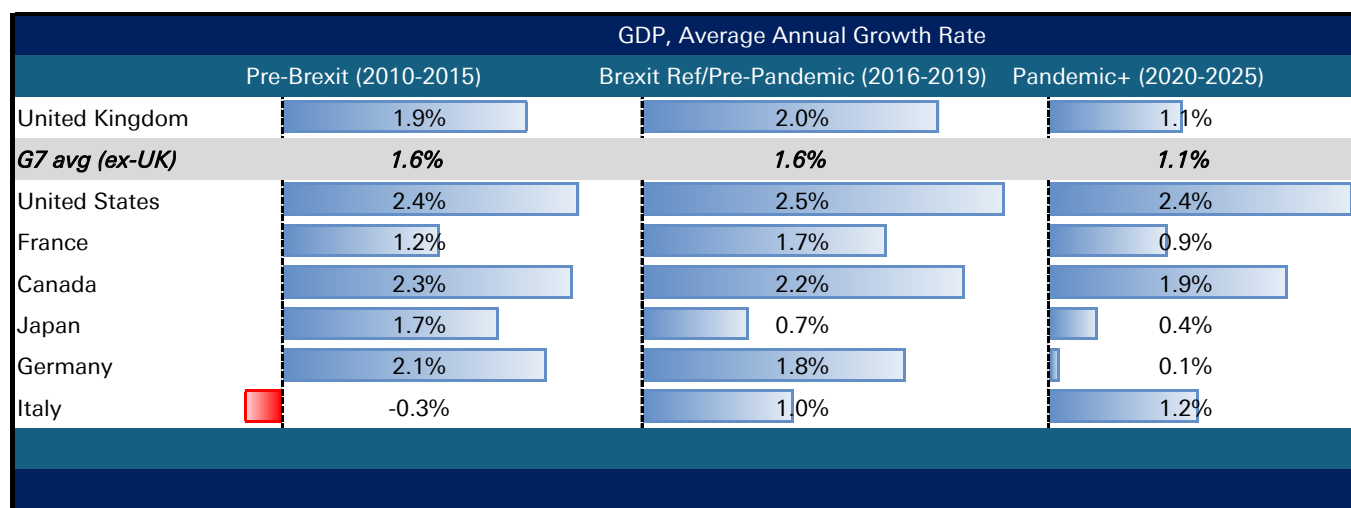
What drove some of the upward momentum in GDP growth? Part of the reason for the outperformance could be linked to easier monetary policy. Indeed, the Bank of England did its best to support economic activity by unveiling a new package of liquidity measures immediately following the referendum result, cutting Bank Rate to 0.25% in August 2016, and pushing through a new quantitative easing package comprising GBP 60bn of government bond purchases and GBP 10bn of corporate bond purchases.

Stockpiling also helped support activity. Businesses began stockpiling inventories ahead of the referendum with Q4-15 seeing the largest single quarterly inventories on record. And then between Q4-2018 and Q1-2019, inventories shot up again by a cumulative GBP 11.1bn, supporting activity as the first Brexit deadline drew closer.

Real GDP *per capita*, however, tells a slightly different story. Much of the jump in growth – unsurprisingly – was concentrated rather than distributed across the population. While real GDP per capita annual growth sat slightly above its G7 comparators for much of the decade preceding the pandemic and Brexit deal, the UK then fell well behind its peers from 2020, averaging 0.3% compared to a G7 average of 0.7%. Part of this was a reflection of a deeper pandemic drop, while it may have been the case that Brexit slowed the UK's catchup with its peers.

To be sure, the GDP gap cannot be solely attributed to Brexit and its uncertainty effect. Post 2010, the UK was suffering from a cocktail of cyclical and structural issues, including a chronically low savings rate, the hangover of the GFC, weak manufacturing productivity, and regional economic concentration – all of which may have constrained long-run growth.

Figure 3: UK GDP Scorecard



Source : Deutsche Bank, IMF; bars represent relative strength for each country across the three periods.

Business Investment

If there was a single macroeconomic variable that most reflected the Brexit effect – separated from pandemic noise, global inflation, and cyclical forces – it was business investment.



Why was investment impacted even before Brexit happened? Despite no change in trading relations between the UK and EU, political uncertainty was starting to have far reaching implications on economic uncertainty – with businesses uncertain around the future trading outlook. Indeed, it became difficult for firms to plan supply chains, staffing, and/or regulatory compliance.

Investment decisions, in the end, were delayed or shelved entirely with firms grappling with uncertainty around future trade arrangements, regulatory environments, and labour market conditions.

The impact of deferred investment cannot be overstated, as its effects compound over time, impacting growth and living standards. Put simply, foregone investment meant foregone productive capacity, foregone technology adoption, and foregone productivity growth.

The investment paralysis was deep and broad. UK business investment fell in four of the eight quarters between Q1-2018 and the eve of the pandemic, Q4-2019. This was the largest sustained investment shortfall in the post-war UK record outside of the 2008-09 financial crisis. As our scorecard highlights, gross fixed capital formation slowed dramatically since the Brexit referendum – moving from a 3.8% annualised pace to 2.9% per annum between 2016 and 2019 and slowing further in the 2020s (2.3% per annum) ([Figure 4](#)). As a share of GDP, UK investment relative to its G7 peers continued to underperform. And on the World Bank's own scoring measure of 'Government Effectiveness', the UK went from 'above average' to 'below average'.

What impacted investment plans? Constant threats of a 'no-deal' Brexit left just-in-time sectors particularly exposed – automotive, pharmaceuticals, food manufacturing, etc. Several auto manufacturers pre-announced production shutdowns timed to avoid a no-deal Brexit scenario. SMMT [estimated](#) that the collective cost of these shutdowns amounted to GBP 130m per day of lost production.

In numbers, the OBR [estimated](#) that Brexit uncertainty was costing approximately 0.5pp of annual GDP growth, equivalent to c. GBP 10-12bn of foregone output per year. A separate paper by [Bloom et al. \(2019\)](#) estimated that Brexit anticipation itself gradually cut investment by 11% and lowered productivity by 2-5%.

Major corporates deferred plans as a direct consequence of the paralysis: the Honda Swindon closure (February 2019, 3,500 jobs); Dyson HQ moved to Singapore; Goldman Sachs, JP Morgan, HSBC, Barclays, and UBS all moved substantial EU-facing operations to Dublin, Paris, Frankfurt, or Amsterdam. EY's [Brexit Tracker](#) (Q4-19) noted that 7k+ financial services positions had formally relocated to EU cities. Productivity growth effectively dropped to 0% with UK total factor productivity moving into negative territory.

It's not all bad news though. As our own scorecard shows, FDI and R&D expenditure has picked up since the referendum. Net FDI inflows jumped from 1.8% of GDP in the pre-Brexit period, rising to 4.1% between 2016 and 2019, before slowing to 2.4% of GDP since 2020. R&D expenditure (as a share of GDP) also improved over the past decade or so, pushing from below the G7 (ex-UK) average to above it since 2016. So while business investment dropped, international investors still sought to maintain exposure to UK markets and its role as a domestic innovator.



Figure 4: UK Investment Scorecard

Investment Scorecard			
	Pre-Brexit (2010-2015)	Brexit Ref/Pre-Pandemic (2016-2019)	Pandemic+ (2020-2025)
Gross Fixed Capital Formation, % Annual Growth	3.8%	2.9%	2.3%
G7 ex UK	2.5%	2.5%	1.5%
Gross Fixed Capital Formation, % of GDP	16.8%	18.8%	18.7%
G7 ex UK	19.9%	20.4%	21.3%
FDI (Net), % of GDP	1.8%	4.1%	2.4%
G7 ex UK	1.5%	1.8%	1.7%
R&D Expenditure, % of GDP	1.8%	2.5%	2.8%
G7 ex UK	2.3%	2.4%	2.6%
Government Effectiveness (std dev from world avg)	1.53	1.54	1.26
G7 ex UK	1.4	1.5	1.5

Source : Deutsche Bank, OECD, IMF; bars represent relative strength for each variable across the three periods

Employment

The UK labour market has witnessed three distinct phases since the GFC. The pre-Brexit period saw the UK jobless rate peak at a multi-decade high of over 8% in late 2011. By the time the EU referendum came around, the jobless rate had receded to around 5%.

Post-referendum, the UK saw a new wave of EU migration – the share of EU-born workers in the labour force jumped from 5.5% to 7.2% (as EU migrants likely sought to bypass any potential future immigration restrictions). But by the time the pandemic rolled around and Brexit was enacted, the share of EU workers then dropped. In fact, since the pandemic began, the average annual rate change in the EU born population in the UK has been -0.2%.

Relative to the G7, the UK maintained a higher employment rate (over the last decade +), with the jobless rate tracking below its peers – a reflection of its more flexible labour market. Unit labour cost growth slowed during the pandemic and widened dramatically during the pandemic/TCA period (Figure 5).

The headline statistics, however, fail to capture the impact of Brexit. The replacement of EU free movement with a points-based immigration system fundamentally altered the supply of workers in sectors that previously relied on low-to-medium skilled EU nationals: hospitality, social care, agriculture, haulage, and food processing. The resulting shortages have had two consequences – wage growth at the bottom of the distribution (a genuine distributional gain for low-paid UK workers) and persistent vacancies in those low-wage sectors.

Empirically, it's likely that in the absence of Brexit, employment levels would have been higher. As investment plans were shelved and/or staff were relocated elsewhere, the case for higher employment should the UK have remained in the EU is strong. Breinlich & Magli in 2024 [noted](#) that UK services firms dodged Brexit barriers by changing how they served the EU – increasingly via local affiliate sales (commercial presence) rather than cross-border exports from the UK. This protected firm-level services exports but at the cost of lower domestic employment – jobs and activity grew at the new EU affiliates instead of in the UK.



Figure 5: UK Labour Market Scorecard

Labour Market Scorecard			
	Pre-Brexit (2010-2015)	Brexit Ref/Pre-Pandemic (2016-2019)	Pandemic+ (2020-2025)
Employment Rate (16-64)	71.6%	75.2%	75.0%
G7 ex UK	67.3%	70.0%	70.9%
Unemployment Rate (16+)	7.2%	4.3%	4.4%
G7 ex UK	7.5%	6.1%	5.5%
Vacancy Rate	1.9%	2.5%	2.7%
G7 ex UK	1.7%	2.6%	3.2%
Unit Labour Costs, % Growth	0.7%	2.1%	0.5%
G7 ex UK	0.8%	1.5%	3.1%
EU Nationals, % of UK Labour Force	5.5%	7.2%	6.7%
Non-EU Nationals, % of UK Labour Force	9.4%	10.3%	12.7%

Source : Deutsche Bank, IMF, OECD; bars represent relative strength for each variable across the three periods

Prices

UK inflation since 2016 has been shaped by four overlapping forces: a Brexit-specific component (sterling depreciation pass-through, non-tariff barrier (NTB) cost pass-through, labour market restructuring); a global pandemic component (supply chain disruption, goods demand surge); a global energy component (Russia-Ukraine, gas prices); and a domestic demand component (tight labour market, fiscal support).

Unsurprisingly, UK inflation scored well above its G7 peers through the last several years. The first inflation wave came just after the Brexit referendum, when trade-weighted sterling collapsed by around 7%. The fall in sterling fed directly into import prices with non-energy industrial goods prices jumping over 200bps compared to 2016. Food inflation, over the same period, pushed over 400bps. Breinlich et al. (2017) [estimated](#) that the sterling depreciation cost the average household GBP 404 a year by mid-2017.

The gap between the UK and the G7 widened the most after the onset of the pandemic, when the UK officially left the EU ([Figure 6](#)). While the aftermath of the pandemic and Russia-Ukraine war led to a big spike in inflationary pressures, the effects of Brexit were hard felt too. Structural gaps in the labour market – owing to a re-jigging of EU labour – added to wage pressures. And most directly, the UK's exposure to goods/food inflation was laid bare by rises in non-tariff costs. A [study](#) from the LSE's CEP identified a 6% cumulative increase in food import prices attributable to sanitary and phytosanitary checks and customs friction, which they estimate contributed approximately 0.3-0.5pp to headline CPI on a sustained basis. Reduced import competition may have also shifted prices further. With fewer EU producers competing freely in the UK market, domestic services pricing faced less competitive constraint.



Figure 6: UK Prices Scorecard

Inflation Scorecard			
	Pre-Brexit (2010-2015)	Brexit Ref/Pre-Pandemic (2016-2019)	Pandemic+ (2020-2025)
Headline CPI, YoY	2.4%	1.9%	4.3%
G7 ex UK	1.4%	1.3%	3.2%
Unit Labour Costs, YoY	2.2%	1.9%	3.9%
G7 ex UK	1.2%	1.2%	2.6%
Import Prices, YoY	0.0%	3.5%	3.2%
G7 ex UK	2.6%	1.3%	5.1%

Source : Deutsche Bank, OECD, IMF; bars represent relative strength for each variable across the three periods

Trade and external accounts

Brexit was perhaps first and foremost a trade shock, with the UK breaking from decades of closer integration with its largest trading partner. Ten years on, however, the scorecard on the UK's external *balances* is relatively favourable, which may be surprising to some. Strip out erratics like gold, and the UK's current account balance improved notably. This improvement was seen across both the trade balance and the income balance components. To be sure, the average G7 current account balance also improved over the same time period – but the UK's improvement was particularly welcome given its very weak external position at the time of the referendum ([Figure 7](#)).

Figure 7: UK external balance improved in the decade since Brexit

UK trade scorecard (%GDP unless otherwise specified)			
	Pre-Brexit (2010-2015)	Brexit Ref/Pre-Pandemic (2016-2019)	Pandemic+ (2020-2025)
Current account balance	-3.1%	-3.9%	-2.4%
G7 ex UK	-0.7%	1.6%	0.9%
Trade balance	-1.0%	-1.3%	-0.6%
Of which goods	-6.2%	-6.3%	-6.8%
Of which services	5.2%	5.0%	6.2%
Of which balance with EU	-2.3%	-3.6%	-2.7%
Of which balance with non-EU countries	1.1%	2.1%	2.3%
Income balance	-2.1%	-2.6%	-1.9%
Goods exports growth (cumulative, real terms)	18%	-5%	-11%
G7 ex UK	20%	4%	-4%

Source : Deutsche Bank, Haver Analytics; bars represent relative strength for each variable across the three periods

On the trade balance, improvement came from continued growth in services exports, which more than offset a widening goods balance – something we explore in more detail later on. Geographically, the UK's trade surplus with non-EU countries increased, more than offsetting a slight deterioration in the balance with the EU vs the pre-referendum period. To be sure, the trade scorecard still contains some dark marks. Perhaps most strikingly, growth in UK goods' exports volumes underperformed the rest of the G7 over the past ten years.



Empirically, many studies have set out the effects of Brexit. Freeman et al. in 2022, [noted](#) that the UK saw a sharp drop in trade once new barriers set in from January 2021. Many smaller UK firms simply stopped exporting to the EU because they could not absorb the fixed compliance costs (rules of origin, SPS paperwork, etc.). Larger firms coped; the long tail of small exporters did not.

Financial markets

Financial markets are in many ways a real time [scorecard](#) of economic performance. The past decade for the UK does not make for pretty reading on this front ([Figure 8](#)).

The pound is perhaps the single cleanest, catch-all measure of relative UK financial market performance, memorably falling over 7% (in trade-weighted terms) as the referendum results came in. Since then, over the past decade the pound has gradually recovered in nominal terms. And combined with higher inflation in the UK, in real terms the pound is now actually slightly stronger than right before the vote, albeit still below its average from the few years preceding the referendum.

Perhaps the main takeaway from looking at the currency, however, is its relative stability over the past ten years, with far narrower ranges than have historically been the norm. To be sure, that's consistent with a global pattern of broadly lower currency volatility over the past ten years, but in the UK's case, it is still notable given what at times has felt like a continued stream of headlines and events.

Figure 8: Higher relative borrowing costs, weaker pound, underperforming equities relative to pre-referendum period

Financial market scorecard			
	Pre-Brexit (2010-2015)	Brexit Ref/Pre-Pandemic (2016-2019)	Pandemic+ (2020-2025)
Govt. borrowing costs: 10y gilt yield average (%)	2.5%	1.0%	2.7%
G7 ex UK	2.2%	1.1%	2.0%
Major equities: FTSE 100 cumulative total return (%)	43%	43%	63%
G7 ex UK	64%	42%	116%
Midcap equities: FTSE 250 cumulative total return (%)	120%	40%	21%
G7 ex UK	102%	37%	67%
Purchasing power of a pound: GBP FX Index average	80.6	74.0	74.2

Source : Deutsche Bank, Bloomberg Finance LP, Haver Analytics; bars represent relative strength for each variable across the three periods

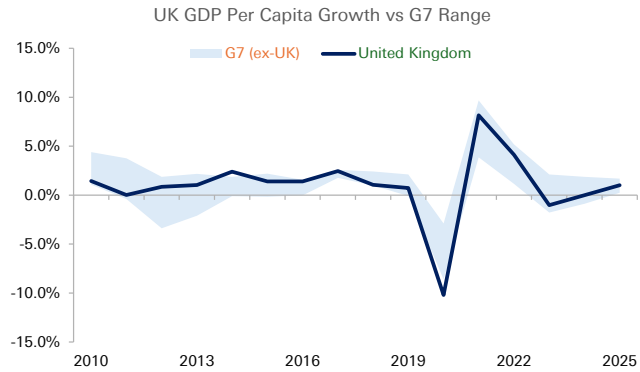
In the fixed income space, the UK government's cost of borrowing has risen sharply in the past few years and more so than in other G7 countries ([Figure 18](#)). The decision to leave the EU was far from a primary force at play here, with the dominating factors being the monetary policy responses to the inflation shocks of recent years, looser fiscal policy, and also a more [aggressive programme](#) of active quantitative tightening.

Finally, the underperformance of UK equities since the pandemic is noteworthy. The FTSE 100 having a lower weighting on sectors which have outperformed globally, (such as tech), may be one factor at play and is explored in more detail later. Meanwhile, for the more domestically focused FTSE 250, the larger increase in UK borrowing costs vs peers may also be playing a role. In any case, it has provided only one-third of the return vs the G7 average since 2020.



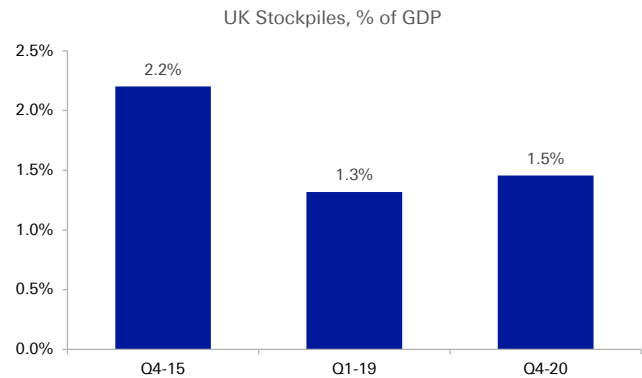
UK Scorecards in Charts

Figure 9: UK GDP per capita falling to bottom of G7 pack since the referendum



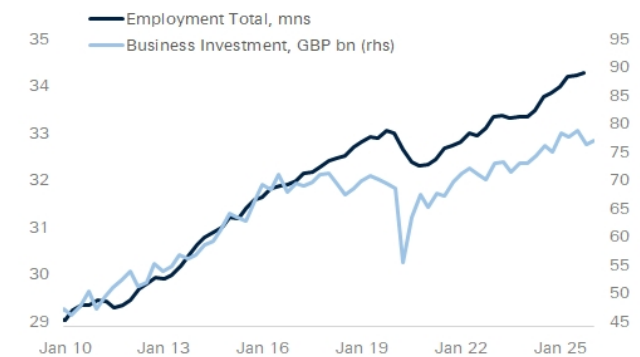
Source : Deutsche Bank, IMF

Figure 10: Stockpiling added materially during period of uncertainty through the pre-Brexit period



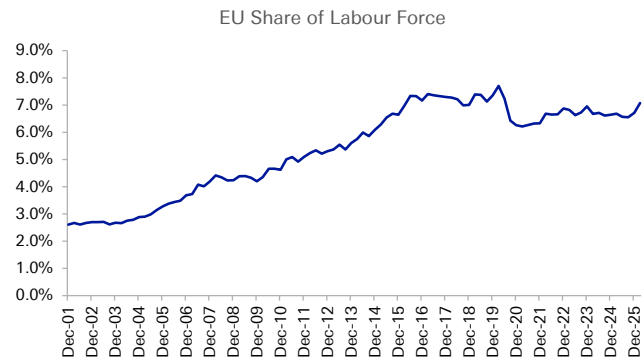
Source : Deutsche Bank, Macrobond

Figure 11: Employment and business investment decoupled as firms substituted labour for capital



Source : Deutsche Bank, Macrobond

Figure 12: Share of EU nationals in the UK saw small spike just after the referendum but has fallen meaningfully since



Source : Deutsche Bank, ONS

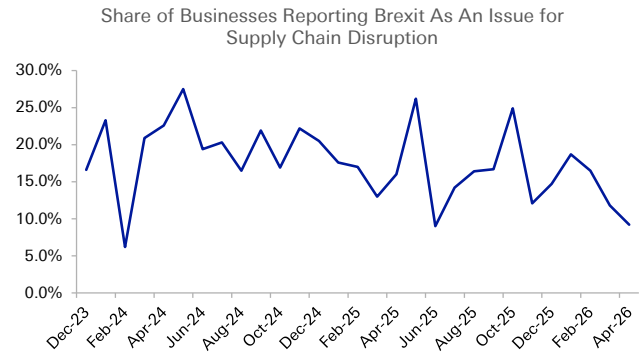


Figure 13: UK goods exports to the EU have fallen in real terms since the vote



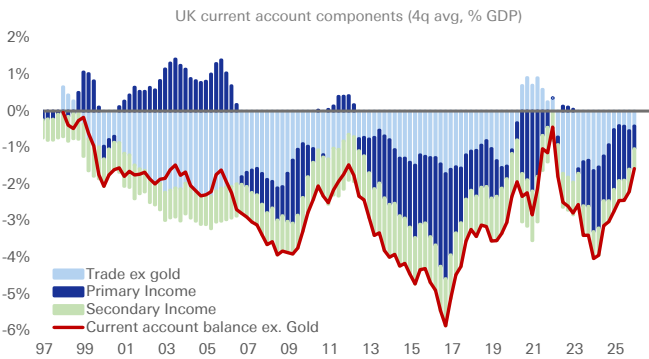
Source : Deutsche Bank, Macrobond

Figure 14: Around 10% of firms still blame Brexit for supply chain disruptions



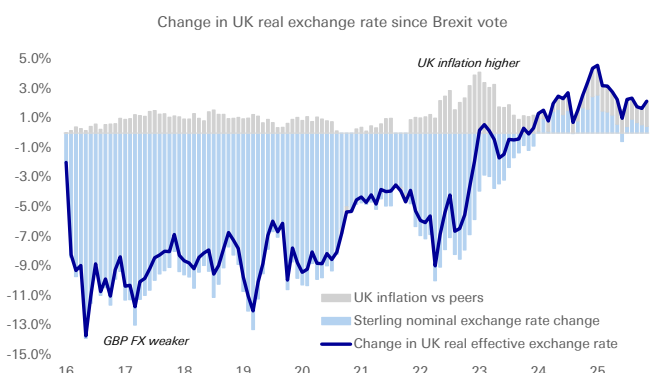
Source : Deutsche Bank, ONS

Figure 15: UK current account deficit improved over the past decade



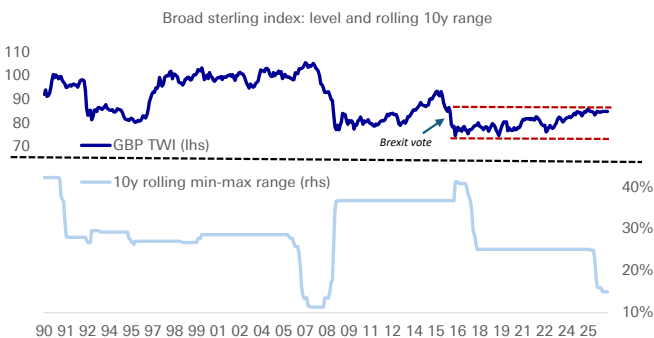
Source : Deutsche Bank, Bloomberg Finance LP, Haver Analytics

Figure 16: Pound in real terms is marginally stronger in real terms than before vote....



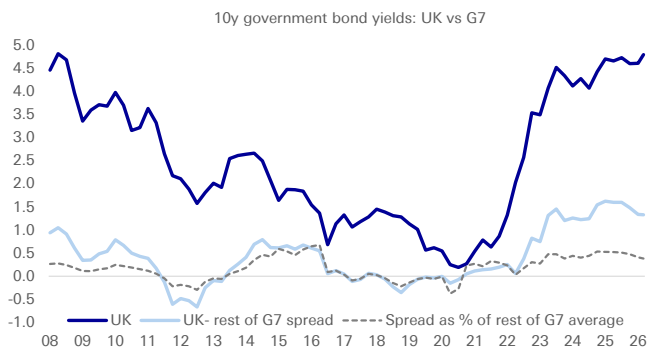
Source : Deutsche Bank, Bloomberg Finance LP, Haver Analytics

Figure 17: ..and has been very stable by historical standards since initial Brexit shock



Source : Deutsche Bank, Bloomberg Finance LP, Haver Analytics

Figure 18: Cost of UK borrowing firmly higher than peers but hard to isolate Brexit effect



Source : Deutsche Bank, Bloomberg Finance LP, Haver Analytics



Marking to market the Brexit impact: a doppelganger analysis

Real GDP -4.0% GBP 1,700 per person	Employment -2.0% 680k jobs	Prices 0.7% CPI, 4q
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Deutsche Bank SCM Analyses

The preceding two sections set out what the UK economy actually produced, invested, traded, employed, and priced over the post-referendum decade. But they cannot, on their own, answer the question that matters most to policy-makers and investors: how much of this was Brexit?

Indeed, several factors have shaped the economic outlook over the past decade. The UK experienced Brexit, a pandemic, an energy crisis, and a sharp monetary tightening cycle essentially simultaneously. Every metric examined above was influenced by all four shocks in different proportions. Disentangling them requires a counterfactual — a credible picture of what the UK economy would have looked like absent Brexit, controlling for the other shocks.

Turning to a Synthetic Control

As mentioned above, the UK — alongside other economies — experienced several shocks at the same time. Resorting to a doppelganger type framework (SCM) has several advantages.

First, it addresses the 'no simple control group' problem. Indeed, we cannot observe a 'UK without Brexit' in principle. Every conventional comparison — UK vs eurozone, UK vs G7 average, UK vs pre-referendum trend — conflates the Brexit effect with differences in economic structure, pandemic policy (furlough generosity, lockdown timing), energy exposure, monetary policy frameworks, and starting conditions. Simple comparisons, therefore, fail to estimate a 'genuine' Brexit impact.

Second, there are overlapping shocks. As noted above, Brexit was not the only problem facing the UK. The pandemic hit in 2020; the TCA came into force in 2021; monetary tightening began in late 2021; and energy prices spiked in 2022. Each of these shocks interacts with the Brexit structural effect — amplifying it in some cases (HGV shortage = Brexit × COVID), and attenuating it in others (pandemic emergency spending temporarily offsetting investment gap).

Third, phase dependency. As highlighted separately, the impact of Brexit can be traced through various phases. What began via consistent political uncertainty, led to economic disruption, which in turn led to the biggest single re-write of trade relations in UK history. Put differently, an aggregate 10-year average conceals the timing and magnitude of Brexit's effect. A good counterfactual method must be able to show when divergence began, how it evolved, and whether it has persisted.



Fourth, the self-selection problem. The UK did not 'randomly' Brexit. The vote was correlated with pre-existing economic characteristics. A counterfactual that ignores this correlation will either overestimate or underestimate the causal Brexit effect.

The synthetic control method (SCM) best solves for these issues. So, what is a SCM?

The SCM constructs a 'Synthetic UK' — a weighted composite of economies that most closely matched the UK on GDP, investment, trade, labour market, and inflation metrics in the pre-referendum period. Post-2016 divergence between the UK and its synthetic twin is then our best available estimate of the Brexit causal effect — not perfect, but transparent, visually intuitive, and methodologically rigorous. The [appendix](#) presents more detail on the SCM, including its limitations.

How do we construct the UK synthetic control?

We measure the Brexit effect on UK GDP, employment and prices by comparing the UK to a counterfactual "doppelganger" built from a donor pool of comparable economies. Here, we rely on a donor pool from OECD economies.

For GDP, employment, and prices, we use the standard Synthetic Control Method (SCM): a weighted blend of donor economies chosen to track the UK closely before the 2016 referendum, with the post-2016 divergence as the estimated Brexit effect. The SCM's weights are constrained to be positive and to sum to one, so the counterfactual is always a plausible combination of real economies.

Figure 19: SCM Controls

SCM Controls	
	Control Variables
GDP	Gross Fixed Capital Formation, Exports, Trade Openness, Government Consumption, Net FDI, Years of Schooling, R&D Investment, Employment, Professional/Science Ratio to GDP
Employment	Consumption, Gross Fixed Capital Formation, Unit Labour Costs, Years of Schooling, Trade Openness, GDP, Professional/Science Ratio to GDP, Net FDI
Prices	Unit Labour Costs, Import Prices, Export Prices, Policy Rates, GDP, Trade Openness, Employment

Source : Deutsche Bank

Impact of Brexit: results from a synthetic control

GDP: As expected, the UK economy underperformed relative to our 'UK doppelganger'. Our synthetic control doppelganger showed GDP tracking 4% stronger, relative to the UK's actual output (2025) ([Figure 20](#)). In pound terms, we estimate this to be equal to just around GBP 120bn – worth roughly GBP 1,700 per capita (in 2020 terms).

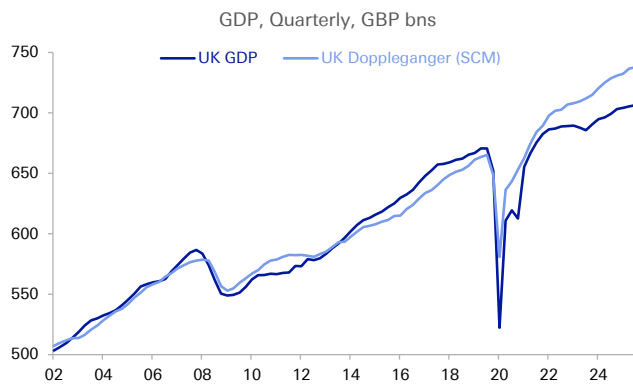
Our estimated output gap sits slightly better than other external estimates of a 6-8% GDP loss due to Brexit. However, note the breakdown in performance. The initial Brexit years, which encapsulated both the Brexit referendum shock and the period



of constitutional crisis, saw UK GDP actually outperform its doppelganger – likely a function of early monetary stimulus, competitive exports (via the FX depreciation), higher net immigration, and some stockpiling.

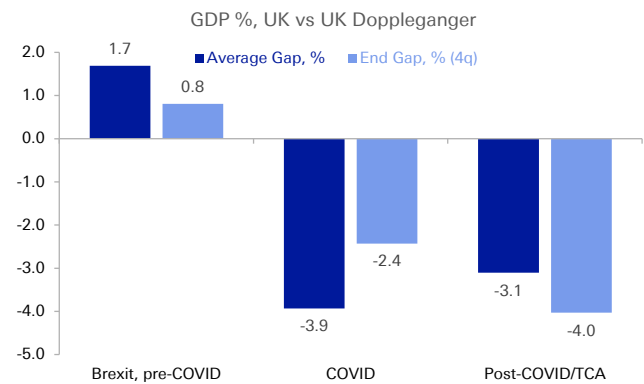
It wasn't until the pandemic began and the UK officially left the EU, that GDP started to materially underperform from its doppelganger. As of the most recent data point available, we estimate the GDP gap to have widened to 4.2% (Q4-25). It's worth noting, however, that on average since the Q2-2016, the GDP gap sits at a smaller -1.3% relative to its doppelganger – underscoring the wider variation in GDP trajectory over the last decade ([Figure 21](#)).

Figure 20: UK GDP sits around 4% lower relative to its doppelganger



Source : Deutsche Bank, Macrobond

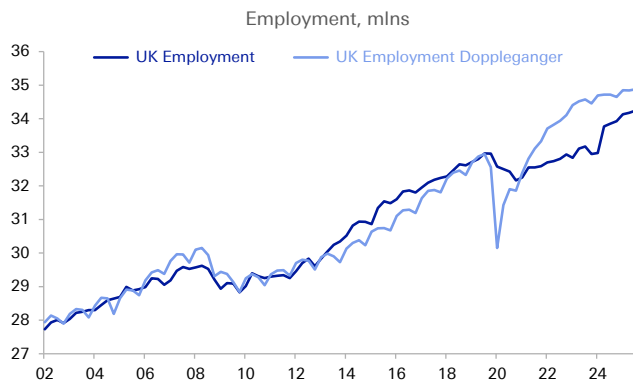
Figure 21: There is a wide variation in performance across the decade, with an output gap emerging only after 2019



Source : Deutsche Bank

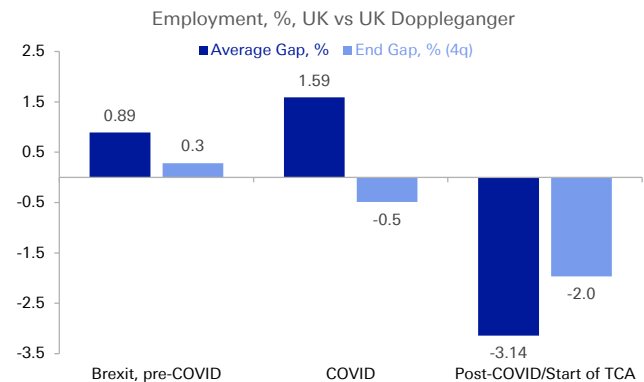
Employment: With GDP lower, employment is also likely to be lower. We estimate that the UK employment gap at the tail end of the sample (2025) sits closer to -2%. In numbers, that works out to just over 685k jobs ([Figure 22](#)).

Figure 22: We estimate the UK employment gap to be around 2%



Source : Deutsche Bank, Macrobond

Figure 23: The employment gap only really turned negative after the pandemic and the implementation of the TCA



Source : Deutsche Bank



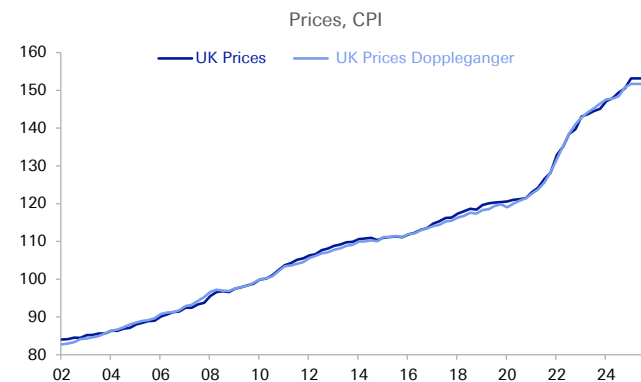
Again, we highlight the differences between the different phases of Brexit. By the end of the pre-pandemic period, employment levels were 0.3% above its estimated UK doppelganger. This, in our minds, chimes with the large inflows of workers seen just after referendum and in the run up to the pandemic where firms substituted away from capital and into cheaper labour, driving up employment. It wasn't until the pandemic period (2020-2021) where UK employment levels fell below the estimated synthetic (-0.5%). And in the TCA period (2022-2025), the gap between the UK and its doppelganger reached its widest levels, with both the average and end point showing a markedly bigger net fall ([Figure 23](#)).

Prices: Perhaps the most transparent impact of Brexit was inflation. On our SCM model, we estimate that UK prices (CPI) sits 0.7% above where it would have otherwise have been (i.e. in level terms) ([Figure 24](#)).

The end state, however, masks several phases of Brexit. The initial aftermath of the referendum saw sterling plummet, pushing CPI nearly 1% above its doppelganger. By the time the pandemic hit and the UK officially left the EU, prices were only marginally higher (0.4%) compared to the constructed UK synthetic.

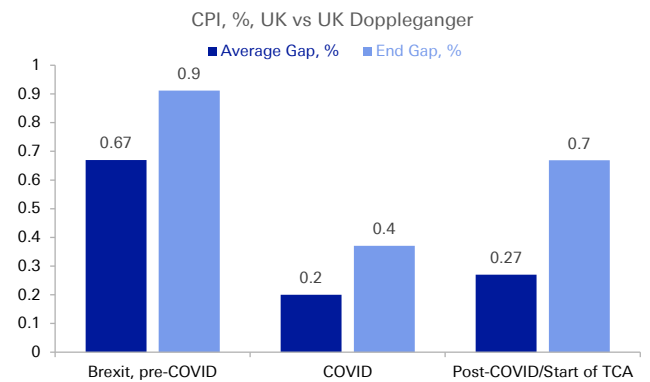
By the latest data point (2025), however, the gap between the UK and its doppelganger widened to around 0.7% ([Figure 25](#)). Overall, we estimate that over the last decade, the CPI level has tracked 0.5% higher, on average, due to Brexit forces with trade frictions, an initially weaker sterling, and structural changes to the UK labour market all likely playing some role in driving inflation higher, relative to the counterfactual.

Figure 24: CPI sits around 0.7% higher over the last year, compared to its doppelganger



Source : Deutsche Bank, Macrobond

Figure 25: CPI was stronger across all three time periods following the referendum



Source : Deutsche Bank



The Brexit Balance Sheet: what's worked and what hasn't

From setting out the UK scorecard on some of the effects of Brexit, we turn to the Brexit Balance Sheet, looking at what has worked and what hasn't. Indeed, while Brexit may not have been the success some claimed it would be, some things have worked better – while many others have not. We set them out in more detail below.

What's worked?

1/ Current account deficit has improved. In the trade scorecard we noted how the overall trade deficit had narrowed over the past decade. The income side has also improved, in part thanks to Brexit. Contributions to the EU budget ceased at the end of the transition period in 2020, but the UK's divorce payments - agreed as part of the Withdrawal Agreement - have also now tapered down to a rounding error from a balance of payments perspective. Indeed, net payments to the EU totaled nearly EUR 11bn in 2020 but by last year had fallen to under EUR 1bn. Only EUR 6bn of obligations for the next forty years remains [outstanding](#). As such, the lesser explored secondary income component of the UK current account has materially improved from a decade ago - from averaging 1.3% of GDP in the 5 years before the Brexit vote to just over 0.5% of GDP in 2025 ([Figure 27](#)).

2/ Free trade across Irish border preserved. [Figure 28](#) shows how trade between the Republic of Ireland and Northern Ireland jumped up immediately once the TCA came into effect in January 2021. With Northern Ireland de facto remaining part of the EU customs union with a border instead erected across the Irish Sea, goods trade on the island has thrived and is much higher than before the referendum.

3/ Regulatory Autonomy. The UK's freedom to set its own regulatory environment is the most significant theoretical advantage of Brexit. This has allowed the UK to move faster than its European counterparts in several areas, including:

- **Financial Services:** The Edinburgh Reforms (2022-23) introduced a more outcomes-based, less prescriptive prudential and conduct framework. The removal of the EU bonus cap for bankers (2023) was symbolically significant; more substantively, the UK has maintained its lead in derivatives trading volumes (LCH/LME), with the EU's attempts to force euro-denominated clearing to the continent only partially successful.
- **Life Sciences:** The MHRA's independence from the EMA has allowed faster clinical trial approvals and novel regulatory frameworks for advanced therapeutics (ATMP). The COVID vaccine programme was the most visible example; the MHRA's Innovative Licensing and Access Pathway (ILAP) has since attracted several early launches ahead of EU approval.
- **Artificial Intelligence:** The UK has deliberately positioned itself as a lighter-touch regulatory jurisdiction relative to the EU's AI Act. The 2023 AI Safety Summit at Bletchley Park and the establishment of the AI Security Institute have given the UK a soft-power position in global AI governance. This has allowed the UK to take a leading role in Europe when it comes to AI deployment and innovation.



- **Green Finance:** The UK's post-Brexit Sustainability Disclosure Standards diverge from EU SFDR in ways that some institutional investors consider more workable, potentially attracting more ESG capital.

4/ Independent Trade Policy. Post-Brexit, the UK has signed or rolled over approximately 70+ trade agreements covering economies representing around 67% of UK exports.

New agreements include the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP, formally joined May 2023) and updated deals with Australia and New Zealand (UKFTA 2023). The economic scale of these agreements is, to be direct, modest in aggregate — the CPTPP is estimated to add approximately 0.08% to UK GDP by the late 2030s.

Figure 26: The UK has been busy signing trade deals

Trade Deals				
Trade Agreement	Type	Status	GDP Impact (est)	Key Sectors
EU-UK TCA	Goods FTA / Services partial	In force Jan 2021	Net negative vs EU membership	All sectors
CPTPP	Regional trade agreement	In force May 2023	+0.08% GDP (long run)	Agri, autos, services
UK-Australia FTA	Bilateral FTA	In force May 2023	+0.08% GDP (long run)	Agriculture, finance
UK-New Zealand FTA	Bilateral FTA	In force Feb 2024	+0.03% GDP (long run)	Agri, digital
UK-India FTA	Bilateral FTA	Negotiations ongoing	+0.2% GDP (est.)	IT services, pharma
UK-US FTA	Bilateral FTA	Stalled / under review	Contested	Food, pharma, finance

Source : Deutsche Bank, UK Government

5/ Subsidy Flexibility. Outside EU state aid rules, the UK has been able to deploy targeted industrial subsidies at scale. The Freeport programme (10 English freeports operational by 2025) provides tax incentives and customs flexibility that replicate some single market benefits in a localised way. Net investment linked to freeport locations has been estimated at several billion over the programme period. Additionally, the [UK's Semiconductor Strategy](#) and advanced manufacturing support programmes benefit from freedom to exceed EU de-minimis thresholds.

What's not worked?

1/ UK trade is more unbalanced between goods and services than ever before.

Increased frictions with the EU have decreased overall levels of trade in goods between the two blocs. From a deficit perspective, the trade balance in goods has widened, most notably in manufactured goods and food and drink. On the flip side, UK services trade continues to boom, especially telecoms and IT as well as "other business services" which captures things like law, management consultancy, and accountancy. Geographically, the UK's services surpluses with both the US and the EU have increased materially in recent years ([Figure 29](#)). At a high level, since leaving the EU, the UK has leaned further into its comparative advantage on services rather than rebalancing towards manufacturing and goods trade ([Figure 30](#)). Indeed, the UK is now far more unbalanced than countries of a similar wealth ([Figure 31](#)).

2/ Non-tariff barriers and trade friction. The TCA delivered zero tariffs and zero quotas – but raised substantial costs via non-tariff barriers (NTBs) on UK-EU trade. The TCA eliminated tariffs on goods meeting rules of origin requirements, but the reintroduction of customs declarations, regulatory border checks, and rules of



origin compliance has imposed significant costs on UK-EU goods trade. Academic work from the LSE CEP, CEPR, and the UK Trade Policy Observatory [saw](#) a 15-25% reduction in UK goods trade intensity with the EU attributable to these NTBs, after controlling for the pandemic and other factors.

A recent [paper](#) by the Productivity Institute suggested that Brexit led to a drop in imports of 23.7% and exports by 18.6%, with business investment also suffering by 2.5% (as a result of the drop-off in trade intensity). A separate [study](#) showed that non-tariff barriers raised prices by 6% (implying a pass-through of 50-80%) with households losing nearly GBP 5.8bn in added welfare costs.

3/ Regional policy. EU regional policy was a major, long-running transfer to the UK's poorer regions: between 1975 and 2020 the UK [received](#) around GBP 66 billion from Brussels – historically supporting west Wales, Cornwall, the Scottish Highlands, Merseyside and south Yorkshire. Had the UK stayed in, external [analysis](#) suggests it would have been entitled to around EUR 13 billion of structural funds for 2021–27 – a 22% increase on the prior period, as worsening regional inequality pushed more areas into the “less developed” category. The replacement – the UK Shared Prosperity Fund – has been widely judged to fall short: the Welsh Government estimates it alone faces a [shortfall](#) of around GBP 772 million against what EU funds would have delivered over 2021–25.

To add to this, empirical work show that UK regions underperformed their counterparts elsewhere. Fetzer & Wang (2020) [showed](#), via local synthetic controls (local doppelgangers) that in 2016–2019 many areas grew more slowly than their no-Brexit counterfactual. Interestingly, they also found that costs tended to be higher in areas that voted to leave the EU, had larger manufacturing sectors and more low-skilled workers – i.e. the places promised the most gains bore disproportionate early costs.

The grey zone: neither worked nor didn't work

1/ Some equity sectors have continued to outperform, some have continued to lag In the market's scorecard we highlighted how in aggregate both UK major and midcap equity indices have underperformed peers, most notably over the past few years. However, the sectoral breakdown presents a more nuanced picture, with a different story comparing UK sectors to their European peers and to their US equivalents ([Figure 32](#)). Interestingly, against European peers, some sectors that outperformed during the uncertainty period have largely continued this trend since 2020 (most notably materials), though others such as financials have lagged. Perhaps most striking of all, however, is the underperformance of technology shares (despite strong contributions to UK GDP growth), in both of our two Brexit periods and relative to both European and US equivalents.

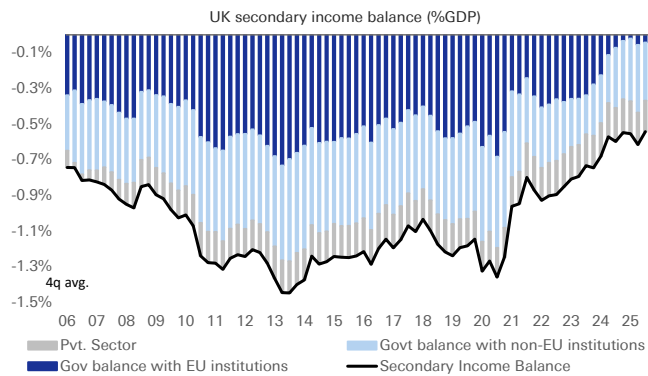
2/ Defence and security. For most of the post-Brexit period defence barely registered on the EU–UK agenda, with NATO and bilateral frameworks (such as the 2010 Lancaster House treaty with France) serving as the default. The geopolitics of 2025 changed that abruptly: the May 2025 EU–UK summit produced the first-ever Security and Defence Partnership, establishing structured dialogue across maritime, space, cyber and hybrid-threat domains. In November 2025, talks on UK participation in the EU's EUR 150 billion “Security Action for Europe” (SAFE) defence-procurement programme broke down, exposing persistent post-Brexit friction even as third countries like Canada moved to associate. The UK's eventual



role as a defence leader in Europe remains in question, and arguably has left the UK more exposed in a post-Brexit world.

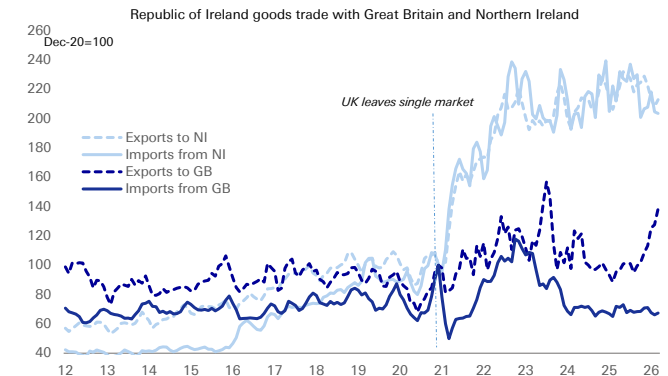
3/ Immigration. Ending free movement with the EU was meant to cut migration; instead, overall net migration rose to a peak of over 900,000 in 2023 before falling back to 431,000 in 2024. The CER–Portes counterfactual [found](#) that by 2024, Brexit had reduced EU-born workers by about 2.3% of the workforce, offset by a slightly larger rise in non-EU workers of around 2.95%, for a net increase of roughly 207,000 foreign-born workers — about 0.6% of the total workforce.

Figure 27: UK saves c. 0.6% of GDP on payments to EU with divorce payments having now tapered down



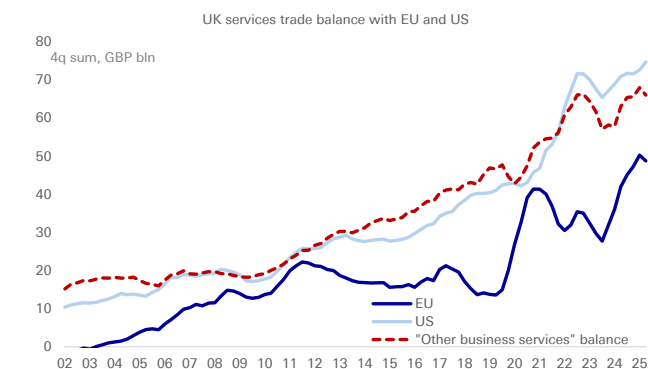
Source : Deutsche Bank, Haver Analytics

Figure 28: Brexit deals have successfully preserved free movement of goods across the Irish border



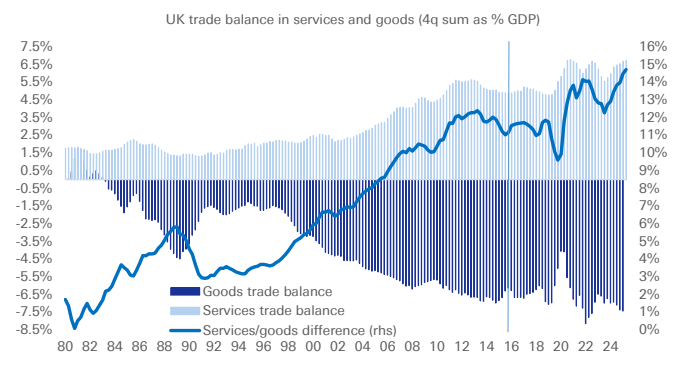
Source : Deutsche Bank, Haver Analytics

Figure 29: UK services surplus has grown with both the EU and the US....



Source : Deutsche Bank, Haver Analytics

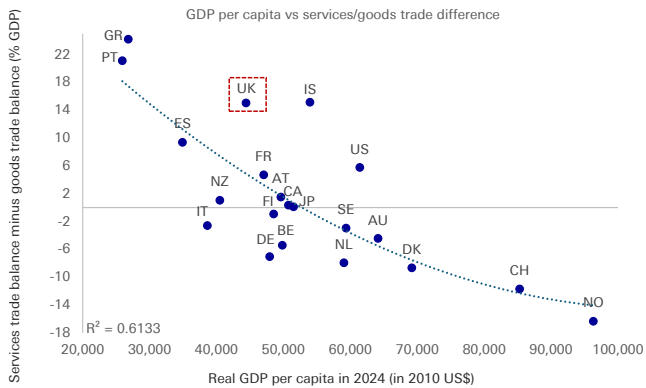
Figure 30: ..but overall UK trade more unbalanced than ever between service surplus and goods deficit



Source : Deutsche Bank, Haver Analytics

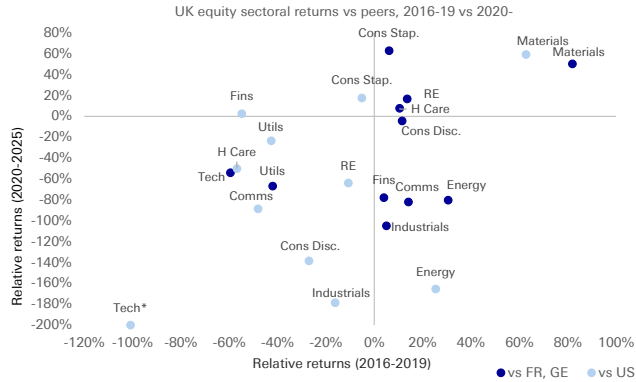


Figure 31: UK far more unbalanced between goods and services trade than nations of comparable wealth



Source : Deutsche Bank, OECD, Haver Analytics

Figure 32: Sectoral breakdown shows a mixed picture vs Europe and the US over the past decade



Source : Deutsche Bank, Bloomberg Finance LP
*tech vs US truncated for chart visibility



The Look Ahead: What's Next?

The impact of Brexit – though uncertain in scale – remains clear: the UK has lost output, employment, and has seen a larger cost of living shock.

So, what next? In this section, we look at the potential paths ahead for the UK. First, we look at how the UK can build on the current TCA deal. Second, we ask the big medium-term question: is there a path back for the UK into the EU? And, if so, what form could this take? Finally, we end with some thoughts on what (and how) the UK should consider as it rethinks its relationship with its largest trading neighbour.

The near-term questions: how can the UK improve on the TCA?

While policy debates have centered around the bigger (perhaps politically challenging) questions, there's more the UK can do to improve on the current TCA.

Recent policy proposals have focused on reducing trade and non-trade barriers between the UK and EU. Progress on these could have a measurable impact on UK GDP. Such 'Brexit reset' proposals can be summarised below:

Figure 33: Brexit reset proposals

Improving the TCA		
Policy proposal	Description	Main barrier reduced
Sanitary and Phytosanitary agreement (SPS)	Simplifies border checks and provides for dynamic alignment of food safety and animal welfare standards with the EU.	Agricultural and food product trade barriers
Visa and transport barriers for touring artists	Introduces targeted visa waivers for performers and technical crews and reduces transport frictions for longer tours.	Cross-border mobility
Mutual recognition of professional qualifications	Supports recognition of regulated professional qualifications, including in sectors such as nursing and legal services.	Labour mobility
Youth Mobility Scheme	Allows UK and EU 18–30-year-olds to move for work, study or other purposes for up to four years, with proposals also covering domestic tuition-fee treatment.	Labour, education and mobility barriers
Emissions Trading Scheme linkage	Links the UK and EU carbon markets, reducing carbon-price-related frictions and potential CBAM-related costs for covered trade.	Trade frictions
Product safety and metrology	Aligns UK product-safety and metrology rules with EU requirements, reducing duplicate compliance checks and easing market access for traded goods.	Regulatory barriers

Source : Deutsche Bank

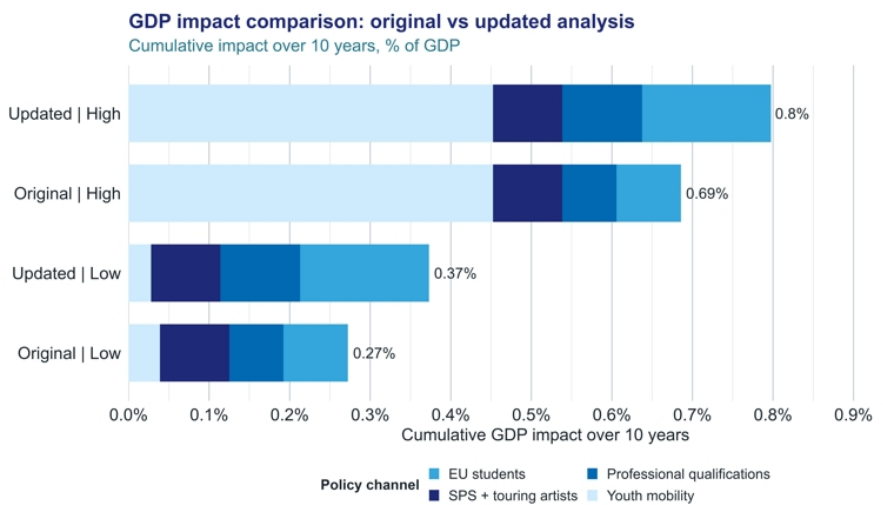


We quantify the GDP impact of the first four policy proposals in the table. Following Springford (2024), we update the underlying data and present a range of estimates for their effect on UK GDP. These calculations are approximate and draw on available OBR estimates and relevant academic literature. The estimates measure the cumulative impact on UK GDP over a 10-year horizon, relative to a counterfactual in which the policies are not implemented.

Overall, we estimate a cumulative GDP impact of +0.4–0.8% over 10 years. Our updated estimates are slightly higher at the top of the range, mainly because of the larger assumed effect from mutual recognition of professional qualifications. If the UK were treated as re-entering the relevant EU labour market, UK workers would account for around 15% of regulated professionals. Combined with higher assumed inflows of EU regulated professionals than outflows of UK regulated workers, this produces a somewhat stronger effect than in the original estimates. The low and high estimates vary primarily with assumptions about take-up of the Youth Mobility Scheme (see the appendix for more detail).

The chart below compares Springford’s original estimates with our updated estimates:

Figure 34: Estimated impact of a Brexit reset



Source: OBR, OECD, Eurostat, UN, HESA, HEPI, ONS and Centre for European Reform.

Source : Deutsche Bank, Springford (2024)

Because the Youth Mobility Scheme is an important source of uncertainty, we test two alternative assumptions: first, we assume a diminishing annual growth rate providing a more realistic projection of scheme take-up; and second, we vary the productivity assumption using OBR scenarios in which additional migration has a positive, negative or neutral effect on potential GDP. The effects of GDP are broadly negligible here, widening the overall impact to 0.33-0.84%.

Overall, the results suggest that the GDP effects are material, although the exercise does not capture wider general-equilibrium effects. The estimates should therefore be interpreted as a partial assessment of the potential impact of Brexit reset policies.



Finally, these estimates *exclude* the potential effects of UK-EU ETS linkage and product safety and metrology proposals. The table below summarises the main channels through which these policies could affect the UK economy:

Figure 35: UK-EU ETS and product safety changes can also boost GDP materially

Other policies to consider		
Policy proposal	Channels	Impact on GDP
UK-EU ETS Linkage	1. Lower UK carbon prices than otherwise, reflecting increased liquidity and access to the EU ETS market. 2. Lower costs for UK exporters by removing the need to pay a carbon price differential.	1. Lower intermediate input costs due to lower carbon credit prices, with potential pass-through to consumer prices and GDP. 2. Support for export competitiveness in affected sectors, raising export receipts and GDP growth.
Product safety and metrology	Reduces duplicate compliance and conformity-assessment costs for firms trading goods with the EU.	Lower compliance costs could improve exporter competitiveness and support GDP growth.

Source : Deutsche Bank

Including these additional proposals would likely raise the estimated GDP impact, as both ETS linkage and product safety and metrology could reduce costs for firms and support trade competitiveness.

Overall, the estimates point to a positive but partial view of the GDP impact from the Brexit reset proposals. However, they should provide some indication of the overall effects of adopting each of these proposals.

The big medium-term questions: is there a path back?

Beyond the very near term, the bigger question remains: is there a path towards closer alignment with the EU? In this section, we set out some of the thinking around the UK's options. Here, there are two: one, building on the TCA and pushing towards either a customs union or single market; or two, rejoining the EU.

Building on the TCA: customs union or single market?

The previous section's balance sheet pointed to a single asymmetry: Brexit's costs are concentrated at the core — via re-erected trade and regulatory friction with the UK's largest market — while its gains sit at the margin.

Any forward path therefore is based on how much of that core friction can be removed, and at what price in sovereignty. The two structural options on the table are a customs union and single-market membership (or a close emulation of it). They are not the same thing, they remove different frictions, and the empirical literature attaches very different magnitudes to each.

Customs Union: A customs union would align the UK's external tariff with the EU's and remove the customs border between them, which does two concrete things.



First, it eliminates rules-of-origin compliance. This is the requirement to prove what share of a product originated in the UK or EU to qualify for zero tariffs under the current TCA. Such compliance costs are [estimated](#) to add 2–8% to the cost of exporting goods, the burden falling heaviest on heavy industry and integrated manufacturing supply chains. The friction is real and quantified: in 2021, the TCA [reduced](#) the count of product-destination export relationships with EU countries per quarter by around 30%.

Second, a customs union would restore frictionless participation in European supply chains, where components cross the Channel multiple times before final assembly — automotive and chemicals being the textbook cases. Under a customs union those repeated crossings no longer trigger origin checks. A UK–EU mutual-recognition agreement on conformity assessment — a natural addition to a customs union — has been [estimated](#) to raise UK goods exports to the EU by 10% on average, and by up to 25% in chemicals and machinery.

What's the biggest limitation of a customs union? A customs union is a goods-only instrument. It does nothing for services. It also removes the UK's freedom to strike independent goods-trade deals, since the common external tariff would be set in Brussels. And it does not, by itself, remove SPS (food-safety) border checks, which require a separate veterinary agreement (something that would need to be agreed separately).

Single Market: The single market is a regulatory union: product and service regulations are harmonised or mutually recognised, so that non-tariff barriers between members fall to virtually zero. Re-entry would remove the bulk of the friction Brexit created, and crucially it would do so for services — the UK's structural strength.

Beyond the direct trade channel, single-market membership delivers a productivity dividend that a customs union cannot. Deeper market integration intensifies competition. OBR [estimates](#) suggest that the biggest cost from Brexit in the long run can be attributed to a productivity channel — a 4% long-run productivity loss. Re-entry would also restore the labour-supply flexibility, investment certainty and FDI attractiveness that the uncertainty channel of Brexit eroded.

What would a single market entry cost? The single market's price is sovereignty. Membership requires accepting the four freedoms — including freedom of movement — and submitting to EU regulation designed without a UK seat at the table. It also implies a budget contribution. These are precisely the red lines that successive governments have ruled out, which is why the single market is the larger economic prize but the smaller political probability.

To rejoin the EU or not to?

A key consideration when assessing the UK's longer-term relationship with the EU is public support, and what the UK public thinks about Brexit and its future.

This [piece](#) by polling expert John Curtice nicely summarises the state of play. When asked how they would vote in a hypothetical second referendum, polls on average this year have shown around 60% support for being in the EU, vs 40% for staying out. Brexit is seen by a majority of voters to have had a negative impact on both the economy and immigration. Interestingly, given the large scale of non-EU net migration into the EU over the past few years noted above, the view that it has had a negative impact on the view towards immigration is equally held by those who

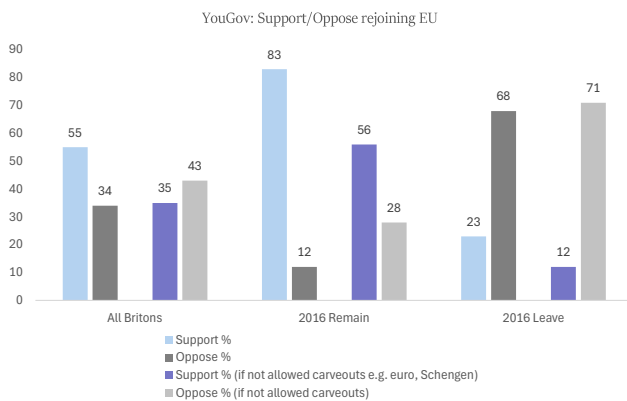


voted Remain as those who voted Leave in 2016.

To be sure, when given more context about the [potential preconditions](#) for rejoining the EU, the picture amongst voters becomes more split. For instance, if rejoining the EU had to be accompanied by the UK adopting the euro, polling suggests UK public support drops materially per [YouGov](#), to 35% ([Figure 36](#)). On the economic side, UK fiscal picture would have to improve to meet the convergence criteria for the euro, both in terms of running a narrower fiscal deficit and lowering (or illustrating credible path towards lowering) debt/GDP ([Figure 37](#)).

Here, the wider continental context is important. It is not inconceivable that the next decade or two sees a variety of countries across northern and eastern Europe vote on either joining the EU (e.g. [Norway](#), [Iceland](#)) or on adopting the euro (e.g. [Sweden](#), [Hungary](#), Czechia). By the time that the UK were to hold any hypothetical vote on closer ties, the bar for the EU to allow the UK to rejoin on its pre-Brexit terms would likely be even higher. Even now, the relationship with the UK does not feature near the top of the EU's priority list. We explore this and the wider view of Brexit from across the channel in the next section.

Figure 36: UK public supports rejoining EU, but only on similar pre-Brexit terms



Source : Deutsche Bank, YouGov

Figure 37: UK would likely need material fiscal consolidation if euro membership was made a condition to rejoin

Euro convergence criteria			
	Rule	UK latest reading	EU reference rate or target
Inflation	Less than 1.5% above 3 lowest EMU member states	3.0%	2.9%
Long-term yields	No more than 2 ppts above three best EMU member states	4.6%	3.4%
Fiscal deficit	Not exceed 3% GDP	4.2%	3.0%
Debt/GDP	Gross debt to GDP below 60% or diminishing at satisfactory pace	94.0%	60.0%
Currency volatility	2 years in ERM II where EUR/GBP trades in +/- 15% range of agreed central rate	7.3%*	+/- 15% range from central rate

Source : Deutsche Bank, Haver Analytics, Bloomberg Finance LP

What about the EU side?

Pragmatic rapprochement without reintegration. The UK's relationship with the EU ten years after the 23 June 2016 referendum is best understood as a shift from membership to structured third-country cooperation. Institutionally, the relationship is now more structured than it was immediately after Brexit, with annual summitry and multiple negotiation tracks under the 2025 "reset" (see [here](#)). Substantively, however, it remains selective and transactional rather than integrated. The most likely near-term outlook from an EU perspective is incremental deepening in sectors where geopolitical pressure and economic interdependence are strongest.

The UK-EU reset has produced real, but limited results so far. The reset in UK-EU relations has produced real but limited results—primarily on defence, food trade and energy. Stumbling blocks on further progress are disagreements on financial contributions by the UK in return for access to EU defence loan programs and



access to the joint electricity market.

- On defence, the first joint UK-EU [summit](#) after Brexit in May 2025 produced a Security and Defence Partnership. However, the fact that both sides could not find a compromise on the level of the UK's financial contribution for allowing British firms to participate in the EU's EUR 150bn SAFE defence loan program, is a setback in defence integration.
- On food trade, the UK and EU have agreed to work towards a Sanitary and Phytosanitary agreement on food and agricultural standards, which the UK hopes to be in play by 2027.
- And on energy, the EU Council green-lighted talks on electricity market integration in early 2026. However, the EU will likely insist that in return for access to the EU single market for electricity, the UK should contribute to EU cohesion payments, like [Norway](#) and [Switzerland](#).

UK-EU relations do not feature prominently at the top of the EU agenda. The reality is while the UK continues to debate what its future with the EU looks like, the EU has other more pressing issues.

The EU Commission's key policy priorities are centred around managing trade relations with the US and China, supporting Ukraine and improving its competitiveness (see our recent note [here](#)). As such, improving UK-EU relations are of lower-order importance, although deeper defence, electricity and trade integration would be beneficial for both sides (e.g. by better reaping the potential of North Sea wind). However, there is little in UK-EU relations so far that offers tangible benefits for national leaders in EU capitals and thus, negotiations remain at the technical rather than strategic level.

Relationship remains constrained by UK red lines and EU caution. The political will exists on both sides to further deepen ties as global geopolitical developments strongly favour selective rapprochement. But the relationship remains constrained by UK red lines (not rejoining of the single market or the customs union, not reopening freedom of movement) and EU caution and fear of cherry-picking. Both sides can be described as transactional in their approach limiting the willingness to be creative in improving their relationship.¹

Next critical milestones to watch. The TCA review and the upcoming 22 July 2026 summit are the next critical milestones. Legally, the 2026 review is anchored in Article 776 TCA, which provides for a review of implementation five years after entry into force and every five years thereafter. The review does not constitute a commitment to reopen the TCA and the EU prefers a "light-touch" assessment focused on implementation. EU council decisions on the youth experience scheme (see [here](#)), a common sanitary and phytosanitary area (see [here](#)) and emission trading (see [here](#)) show that the preferred EU-UK method in the reset phase is not to reopen the TCA, but instead, to build targeted new agreements alongside it. For areas where the EU thinks that the UK benefits more than the EU from new agreements, other package deals are likely to be asked for.

¹ See also CER, EU-UK relations - Will 2026 be the year to reset the reset?, February 2026



A hypothetical path ahead

The path ahead for the UK remains riddled with uncertainty. Politically, the push for further integration with the EU remains slow and disparate. Economically, the case for integration remains strong.

Social perception of Brexit has also changed in the past decade. More people view Brexit as a mistake. And the latest polls suggest that the UK would command a majority to rejoin the EU – but only under the right circumstances.

The main question, however, is at what cost would further integration come? If the UK could retain some of the exemptions that it benefitted from prior to its departure from the EU alongside maintaining some of the trade, regulatory and immigration freedoms, the case to rejoin the EU would be strong.

The reality, however, is that any future deal with the EU won't have as many exemptions. Politically, as well, no major political party has pushed a mandate for wholesale changes to the UK's relationship with the EU. Moreover, as we have noted, it takes two (or really 28 countries) to tango. Fears around any rapprochement of UK-EU reintegration due to fragmented politics (and remaining EU scepticism) will likely hinder any progress on a better deal.

So, what should the UK do? A sensible approach could be for a two-staged approach. The first, given the political constraints, would be to build on the current TCA to close some of the gaps in non-tariff barriers left as part of the original Brexit deal. This would include things like implementing the agri-food deal, establishing a Youth Experience Scheme, discounting university prices for EU students, reducing rules of origin checks, and agreeing on mutual recognition of qualifications. Our own analysis suggests that this could boost output meaningfully, scraping back some of the lost output in GDP. Doing so could even give the UK enough of a growth uplift to partially offset its diminishing fiscal headroom.

The second-stage would involve broadening out the UK's integration with the EU on things like defence, AI, and financial services. Should there be political appetite to push further towards the EU via either joining the Single Market, customs union, or re-joining the EU, no move should be made without a clear public mandate in order to avoid the political paralysis that followed after the Brexit referendum. The UK should also look to prioritise carve outs on its existing trade deals (though we think this could be difficult for the EU to agree to).

To be sure, in the current global ecosystem, the UK should prioritise its ability to retain flexibility in sectors of the future such as AI. Its ever growing reliance on services relative to goods - far larger than nations of comparable wealth - means that the UK may still benefit from use of its increased sovereignty and flexibility, which Brexit in theory has allowed for.



Appendix

A. The Synthetic Control Method

A1. The counterfactual problem

The impact of Brexit cannot be simply measured by a before-and-after comparison. Why? Because the UK simultaneously experienced a pandemic, an energy crisis and a sharp monetary tightening. Isolating the Brexit-specific effect requires a credible counterfactual — an estimate of what UK GDP, employment and prices would have done had the 2016 vote gone the other way, holding the other shocks constant. The synthetic control family constructs that counterfactual from a donor pool of economies that did not undergo Brexit.

A2. Standard SCM (used for GDP)

The Synthetic Control Method (Abadie, Diamond & Hainmueller, 2010) builds a "synthetic UK" as a weighted average of donor economies. The weights are chosen so the synthetic UK matches the actual UK as closely as possible across the pre-referendum period, on both the outcome's own trajectory and a set of economic predictors. Two constraints are central: the weights are non-negative and sum to one. This makes the synthetic UK a convex combination of real economies — it can never lie outside the range of the donor pool, so the counterfactual is always economically plausible and the method cannot extrapolate to an implausible level.

The post-2016 gap between the actual UK and its synthetic counterpart is the estimated Brexit effect. Because the outcomes are modelled in logs, this gap reads directly as a percentage. Statistical credibility rests on small pre-treatment fit error (RMSPE), confirming the synthetic tracks the UK before treatment.

Why is the SCM the right tool? The UK exhibits a tight convex match on GDP, employment, and prices (low pre-RMSPE), for one. Additionally, GDP's principal post-treatment confound (the pandemic) enters largely as a level effect that the convex blend handles well. The SCM's constrained form — its core strength — is not a binding limitation here.

A3. SCM Weights

We include our estimated weights for our SCM (including factor-augmented) below for our key three variables: GDP, employment, prices.



Figure 38:SCM weights

SCM Weights			
	GDP	Employment	Prices
Australia	39.2%	4.0%	33.7%
Austria		0.6%	54.7%
Canada		11.3%	0.3%
Denmark	0.1%	0.5%	3.7%
France		1.1%	0.1%
Germany			0.1%
Greece		0.5%	0.1%
Hungary	17.9%	0.8%	5.9%
Ireland		1.2%	
Italy	15.9%	0.7%	0.3%
Japan		0.3%	
Netherlands		21.8%	
New Zealand		4.5%	0.1%
Norway		0.8%	0.2%
Portugal	4.3%	0.6%	0.1%
South Korea		0.5%	
Spain		2.3%	0.2%
Sweden		1.6%	0.3%
Switzerland	22.3%	2.5%	
United States		44.4%	

Source : Deutsche Bank

References: Abadie, Diamond & Hainmueller (2010), JASA; Abadie (2021), JEL; Xu (2017), Political Analysis; Bai (2009), Econometrica.

A6. Limitations of SCM

Our approach to estimating the impact of Brexit (thus far) has its own limitations. We set them out below.

Synthetic control. The synthetic control method, for all its transparency, rests on assumptions that aren't perfect.

The counterfactual is only as good as the donor pool: it assumes some weighted combination of economies can credibly reproduce the UK's pre-referendum trajectory, and that those donors were not themselves materially affected by Brexit or by idiosyncratic shocks of their own over the estimation window.

The method also assumes no anticipation — that the UK's pre-2016 path was not distorted by the prospect of the referendum — and that the relationship between the UK and its synthetic twin, calibrated before 2016, would have held absent the treatment. A close pre-treatment fit makes these assumptions more plausible but



cannot prove them.

Inference is another constraint: the synthetic control has no conventional standard errors. Estimates are also sensitive to specification choices — the donor set, the predictor list, and the treatment date — and the further the analysis runs beyond the referendum, the more the accumulating overlay of unrelated shocks (a pandemic, an energy crisis, a monetary tightening cycle). This erodes the cleanliness of the counterfactual. We mitigate these concerns by ensuring a tight pre-treatment fit, but they cannot be eliminated.

Overall, use of a SCM does not deliver a definitive causal estimate; it merely provides a disciplined, transparent counterfactual under stated assumptions. We regard the convergence of our results with independent external estimates as more informative than any single point estimate. All figures should be read as central estimates surrounded by genuine, if unquantified, uncertainty.

B. Detailed workings on TCA adjustments

This appendix sets out the sensitivity analysis used to estimate the GDP impact of selected Brexit reset proposals. The approach updates Springford (2024) with more recent data and tests how the results vary under alternative assumptions. We refer to the original article for the full workings behind these calculations.

The quantified policies are the first four proposals listed in the main table.

- ETS linkage and product safety and metrology are treated qualitatively, given the broader range of assumptions and data required for a robust estimate.
- The recent data used to update the estimates are as follows:
- SPS: Updated UK agrifood exports and imports to and from the EU to 2025.
- EU students: Updated the number of EU-domiciled students in the UK to 2024/25. We assume that universities can accommodate the relevant increase in demand fully (given the drop in student visa applications).
- Mutual recognition of professional qualifications: Updated total intra-EU recognition decisions to 2024.
- Youth Mobility Scheme: Updated Eurostat data on young people in employment in the EU, HMRC data on EU young people in payrolled employment, and UN data on UK young people in the EU to 2024/25.

The scenario assumptions are as follows:

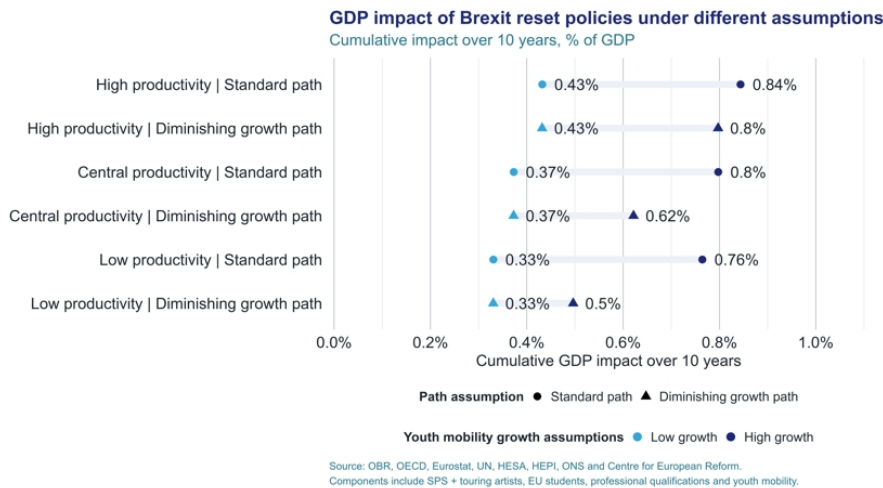
- Path assumptions: Instead of applying a constant average annual growth rate, we use a diminishing growth rate for projected take-up of the Youth Mobility Scheme. We model this using a simple AR(1) process that converges to a steady growth rate.
- Productivity assumptions: We apply OBR estimates for the impact of additional migration on potential GDP.
 - The central assumption assumes additional migrants have the same productivity per worker as the existing population, for example if capital per worker is unchanged or any dilution is offset by higher total factor productivity growth. Under this assumption, GDP is around 1.5% higher.



- The low assumption assumes lower overall productivity, for example due to lower capital per worker, resulting in a smaller GDP increase of around 1%.
- The high assumption assumes higher productivity, reflecting additional migrants having a much higher participation rate than the adult UK population. Under this assumption, GDP is around 2.2% higher.

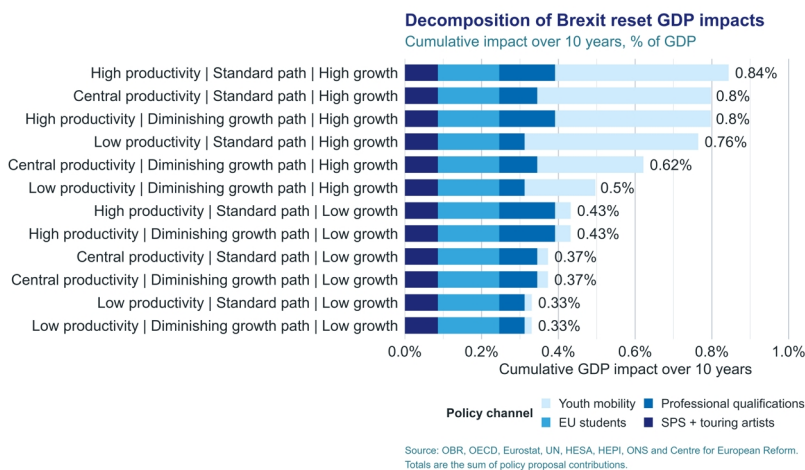
The figures below provide a more detailed overview of the policy proposals and their contributions to the estimates.

Figure 39: Brexit reset policies under different assumptions



Source : Deutsche Bank

Figure 40: Decomposition of Brexit reset GDP impacts



Source : Deutsche Bank



Appendix 1

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Sovereign Ratings vs. Reality: India's Case for a Higher Rating

June 18, 2026

A cross-country comparison based on [latest IMF data](#) reveals important insights into India's fiscal position and sovereign rating relative to global peers. Advanced economies such as Japan, Italy, the United States, France and the United Kingdom continue to carry substantially higher public debt burdens—ranging from around 100% to over 200% of GDP—yet maintain significantly stronger sovereign ratings. In contrast, India's public debt ratio, is lower relative to these economies. This divergence suggests that sovereign ratings are influenced by a broader set of factors beyond debt levels alone, and that India's rating appears conservative when viewed purely through the lens of debt metrics.

India's macroeconomic fundamentals remain robust, characterized by sustained growth outperformance, anchored inflation, positive real interest rates, and a sound financial system. **Debt sustainability analysis** indicates that public debt is likely to follow a declining trajectory, supported by a favorable growth-interest rate differential.

India's sovereign credit profile reflects a combination of improving fiscal dynamics, strong growth prospects, and a resilient debt structure. While short-term fiscal deficits remain relatively high, medium-term consolidation, stable debt dynamics, and structural strengths suggest a stronger underlying credit position than implied by current ratings. **On balance, there appears to be a credible case for a reassessment of India's sovereign rating toward the upper end of the BBB range, particularly if fiscal consolidation continues broadly as envisaged.**

Authors

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Chief Economist



Sovereign Ratings vs. Reality: India's Case for a Higher Rating

Introduction

The pandemic in 2020 had a severe impact on the deficit and debt dynamics of almost all countries in the world, though in varying degrees. India was also severely impacted, with the general government deficit and debt rising sharply in the immediate aftermath of the pandemic, which was unavoidable. Since then, thanks to the strong resolve of the authorities, significant improvement has been achieved on the fiscal front, culminating first in a [ratings outlook upgrade](#) to positive from stable by S&P Global Ratings on 29 May 2024 and then a subsequent [sovereign ratings upgrade to BBB from BBB-](#) on 14th August 2025 after a gap of 18 long years.

Fiscal consolidation has gathered significant momentum in the last few years, thanks to robust growth, fiscal marksmanship and particular focus on improving the quality of fiscal spending. Indeed, both the interim budget in Feb 2024 and the post-elections union budget in July 2024 [exceeded expectations](#) as regards to the fiscal deficit target, which is praiseworthy. The FY26 Union Budget also saw the central government announcing a further moderation in the fiscal deficit target to 4.4% of GDP, vs. a revised estimate outturn of 4.84% of GDP in FY25, which was finally met, despite concerns related to higher tariffs imposed by USA in 2025, a lower-than-expected nominal GDP growth profile and revenue uncertainty due to GST rates rationalisation.

Amidst ongoing concerns related to tariff uncertainty in the beginning of this year and in the backdrop of heightened geopolitical tensions, the government presented the Union Budget for FY27 on 1st February 2026. Striking a delicate balance between the dual objectives of supporting growth and employment, while remaining on the path of fiscal consolidation, the budget set a fiscal-deficit target of 4.3% of GDP for FY27, with the authorities reemphasizing the medium-term fiscal goal of reducing the centre's debt/GDP ratio to the pre-pandemic level of 50% by FY31, while setting the FY27 target at 55.6% of GDP.

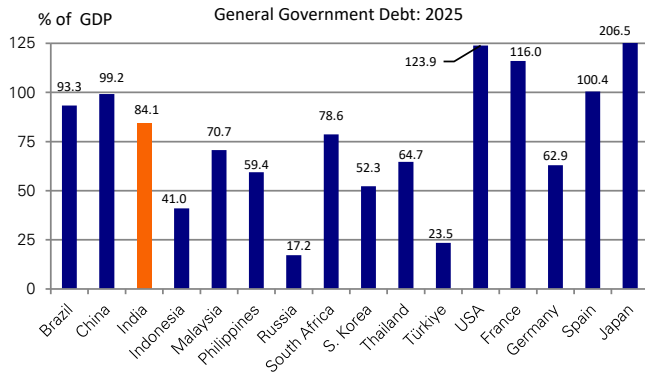
Indian sovereign ratings relative to rest of the world

In the following pages, we present a series of charts and tables using [latest IMF data](#) for major advanced and emerging economies (including India) covering six key dimensions:

1. General government debt as a % of GDP;
2. General government budget deficit as a % of GDP;
3. Expected change in debt and deficit between 2025 and 2031 based on IMF's forecasts;
4. Ranking of each of these economies by their size (2025 data; nominal GDP in USD trn terms);
5. Sovereign credit ratings assigned by S&P, Moody's and Fitch;
6. We also provide a table which show the IMF's interpretation of credit rating scale of major credit rating agencies.

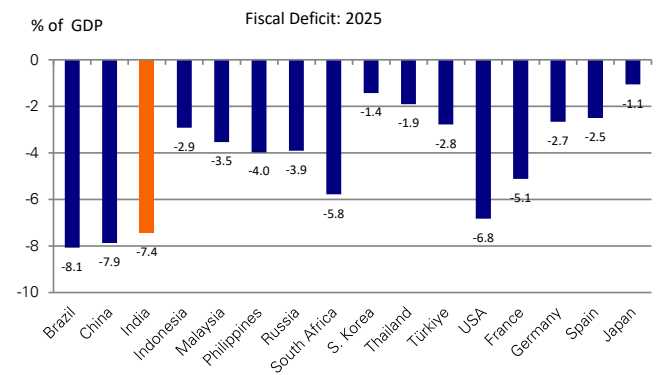


Figure 1: General Government Debt: 2025



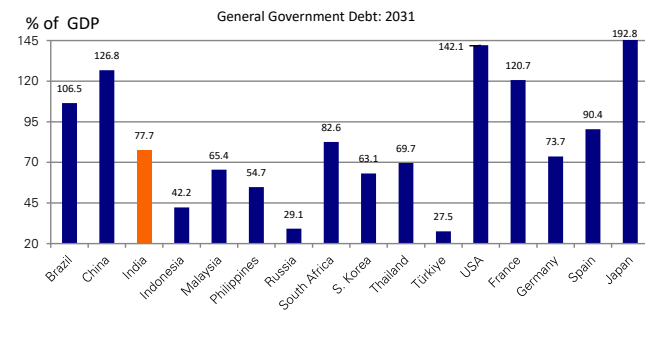
Source : IMF: World Economic Outlook Database, April 2026

Figure 2: General Government Deficit: 2025



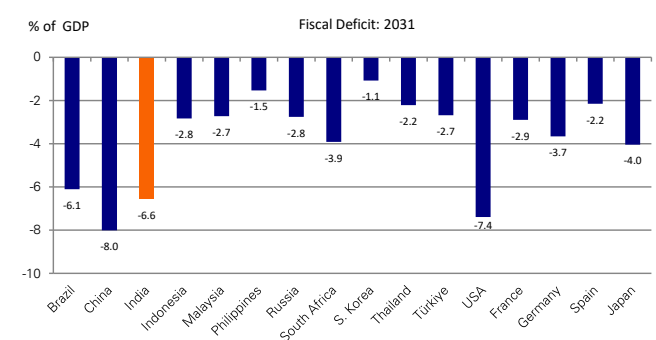
Source : IMF: World Economic Outlook Database, April 2026

Figure 3: General Government Debt: 2031 F



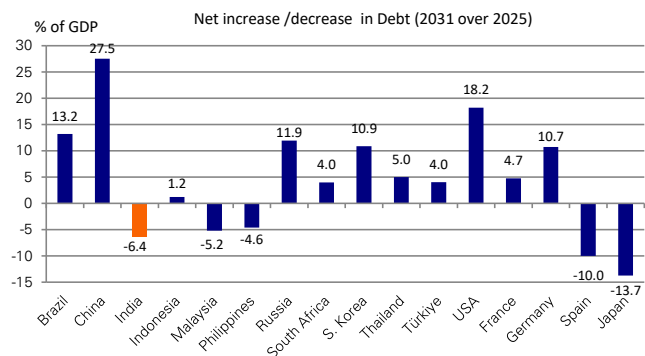
Source : IMF: World Economic Outlook Database, April 2026

Figure 4: General Government Deficit: 2031 F



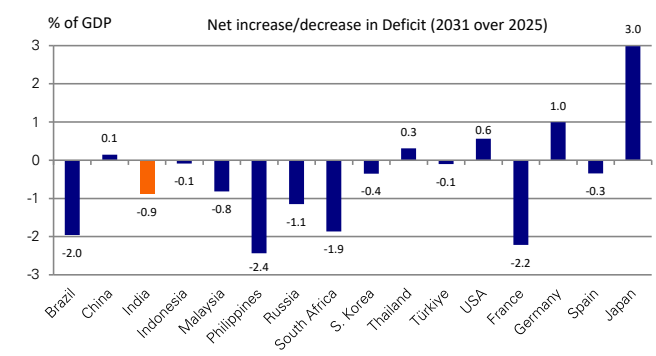
Source : IMF: World Economic Outlook Database, April 2026

Figure 5: Net change in Debt: 2031 over 2025



Source : IMF: World Economic Outlook Database, April 2026

Figure 6: Net change in Deficit: 2031 over 2025



Source : IMF: World Economic Outlook Database, April 2026



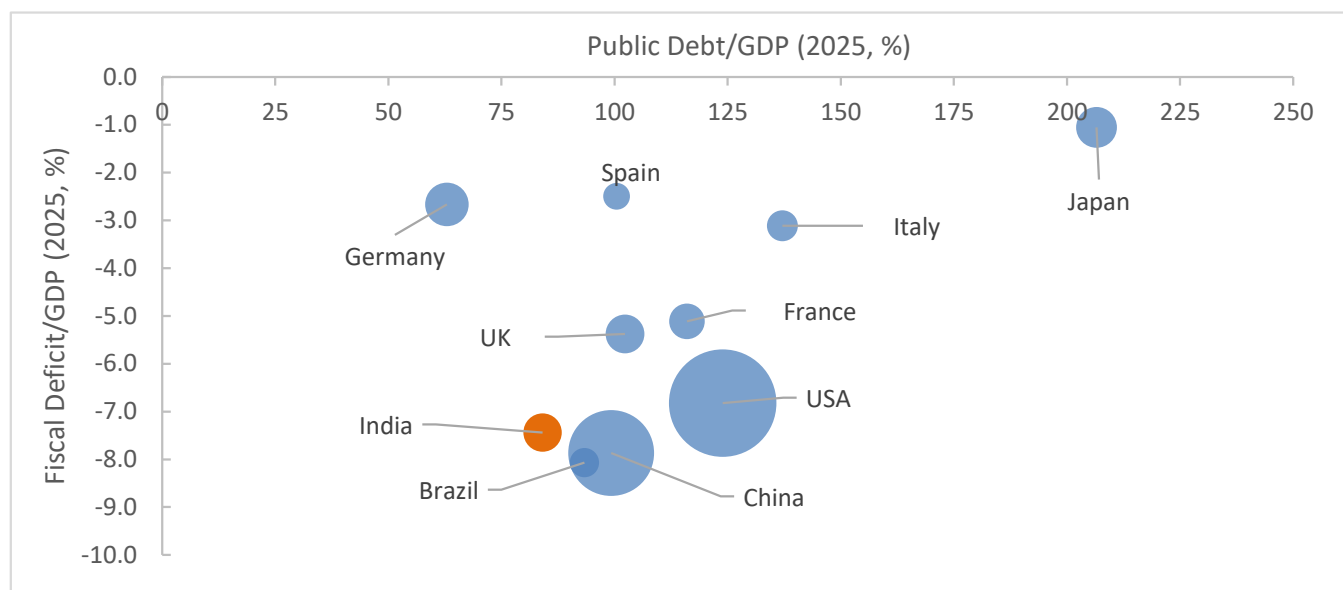
India's sovereign credit ratings, debt and deficit profile and economic size relative to other economies - a summary

Figure 7: Debt, deficit and creditworthiness - advanced and emerging economies

	Country	Nominal GDP USD trn, 2025	Rank By size	Public debt/GDP 2025	Fiscal deficit/GDP 2025	Credit Rating		
						S&P	Moody's	Fitch
1	USA	30.8	1	123.9	-6.8	AA+	Aa1	AA+
2	China	19.6	2	99.2	-7.9	A+	A1	A
3	Germany	5.0	3	62.9	-2.7	AAA	Aaa	AAA
4	Japan	4.4	4	206.5	-1.1	A+	A1	A
5	UK	4.0	5	102.3	-5.4	AA	Aa3	AA-
6	India	3.9	6	84.1	-7.4	BBB	Baa3	BBB-
7	France	3.4	7	116.0	-5.1	A+	Aa3	A+
8	Italy	2.6	8	137.1	-3.1	BBB+	Baa2	BBB+
9	Brazil	2.3	10	93.3	-8.1	BB	Ba1	BB
10	Spain	1.9	11	100.4	-2.5	A+	A3	A
11	S. Korea	1.9	12	52.3	-5.8	AA	Aa2	AA-
12	Turkiye	1.6	15	23.5	-2.8	BB-	B1	BB-
13	Indonesia	1.4	16	41.0	-2.9	BBB	Baa2	BBB
14	Thailand	0.6	29	64.7	-1.9	BBB+	Baa1	BBB+
15	Philippines	0.5	33	59.4	-4.0	BBB+	Baa2	BBB
16	Malaysia	0.5	34	70.7	-3.5	A-	A3	BBB+
17	South Africa	0.4	40	78.6	-5.8	BB	Ba2	BB-

Source : IMF: World Economic Outlook Database, April 2026, S&P, Moody's and Fitch

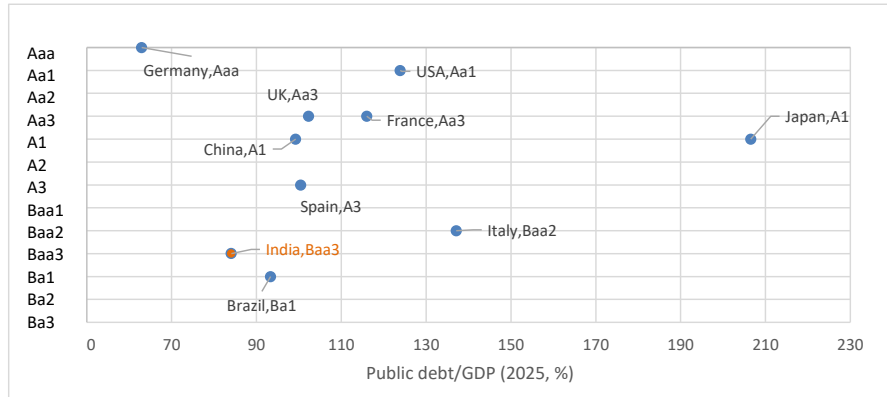
Figure 8: Debt, deficit and GDP size across major economies (2025)



Source : IMF, S&P, Moody's and Fitch. Note: Bubble size = Nominal GDP

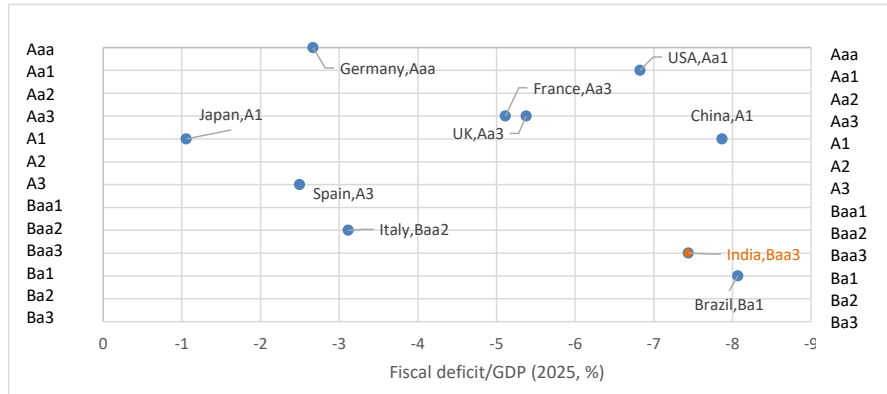


Figure 9: Debt/GDP vs. Moody's credit ratings across major economies (2025)



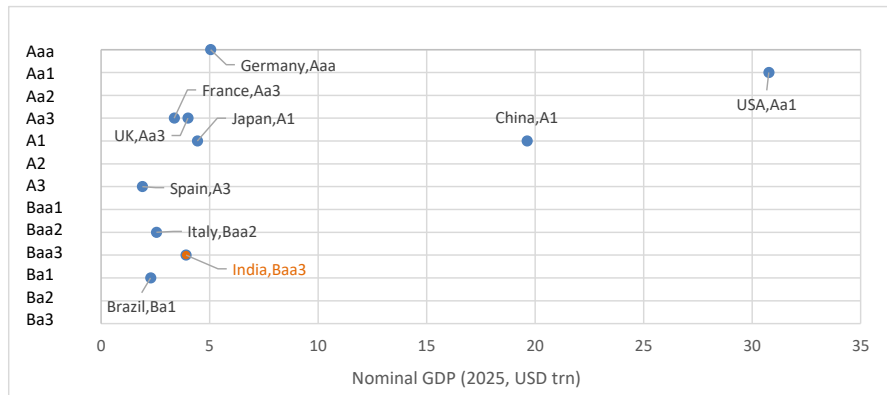
Source : IMF, Moody's

Figure 10: Deficit/GDP vs. Moody's credit ratings across major economies (2025)



Source : IMF, Moody's

Figure 11: Nominal GDP vs. Moody's credit ratings across major economies (2025)



Source : IMF, Moody's



Figure 12: IMF's interpretation of credit rating scale of some major credit rating agencies

Interpretation	Fitch and S&P	Moody's
Highest quality	AAA	Aaa
High quality	AA+	Aa1
	AA	Aa2
	AA–	Aa3
Strong payment capacity	A+	A1
	A	A2
	A–	A3
Adequate payment capacity	BBB+	Baa1
	BBB	Baa2
	BBB–	Baa3
Likely to fulfill obligations, on going uncertainty	BB+	Ba1
	BB	Ba2
	BB–	Ba3
High-risk obligations	B+	B1
	B	B2
	B–	B3
Vulnerable to default	CCC+	Caa1
	CCC	Caa2
	CCC–	Caa3
Near or in bankruptcy or default	CC	Ca
	C	C
	D	D

Source : Economic Survey 2020-21 Volume 1, [IMF: 2010: The Uses and Abuses of Sovereign Credit Ratings](#)



Observations

* **Do India's current sovereign ratings adequately reflect its economic fundamentals?** India appears fiscally stronger than several countries that enjoy significantly higher sovereign ratings, particularly when debt levels, economic growth prospects and future fiscal trends are considered together. While India still runs a relatively large fiscal deficit, its debt burden is moderate and is expected to improve over time. This raises a legitimate question as to whether India's current sovereign ratings fully reflect its economic fundamentals and growth potential.

* **Public debt/GDP and sovereign ratings:** The 2025 IMF data show a wide heterogeneity among countries. The highest debt/GDP ratios are observed in the case of Japan (206%), Italy (137%), USA (124%), France (116%), and UK (103%). These countries have accumulated substantial public debt over many years due to aging population dynamics, welfare commitments, financial crises and pandemic-related spending. Despite these elevated debt levels, they continue to enjoy substantially higher sovereign ratings compared to India. As per the IMF's data, India's public debt/GDP and general government budget deficit stood at 84% and 7.4% respectively. Only Germany and some emerging economies have materially lower debt levels compared to India.

* **General government deficit/GDP and sovereign ratings:** India's general government budget deficit remains elevated at around 7.4% of GDP, which is on the higher spectrum of the economies considered in our analysis. However, the IMF's projections till 2031 factor in a meaningful consolidation of India's deficit (from 7.4% of GDP in 2025 to 6.6% of GDP by 2031) and public debt (from 84.1% of GDP in 2025 to 77.7% of GDP by 2031) by the end of this decade. The improvement suggests i) continued economic growth (10.8% average nominal GDP growth between 2026-2031); ii) rising tax revenues; and iii) better fiscal and expenditure discipline. **Indeed, India's debt trajectory appears more favorable than that of several major economies, where debt ratios are projected to increase further in the coming years.**

* **Size of the economy and sovereign ratings:** As far as size of the economy is concerned, **India is currently the 6th-largest economy, comparable to the UK and larger than France, and slated to become the third largest before the end of this decade, as per our and IMF forecasts.** Yet, India's sovereign ratings currently remain at the lowest investment grade (Moody's and Fitch). Therefore, on the basis of the size of the economy, India appears underrated, in our view.

* **Funding of the public debt and sovereign ratings:** In this respect, it is instructive, in our view, to reflect on the IMF's interpretation of credit rating scale of major credit rating agencies. As per Fitch/S&P scale, A range (A+, A, A-) signifies "Strong payment capacity", while BBB range (BBB+, BBB, BBB-) reflects "Adequate payment capacity" and BB range and below highlight increasing uncertainty and risk, as per the IMF's interpretation. India currently sits at BBB as per S&P, while ranked at the lowest level of investment grade by Fitch (BBB-) and Moody's (Baa3). That places India at the lowest rung of "adequate payment capacity".

In our view, **there is little risk associated with the funding of the public debt** as bulk of India's debt is in domestic currency. Indeed, foreign currency denominated debt is small - less than 5% of GDP - and even within that, more than half of it is owed to multilateral institutions. A country, like India, with mostly domestic currency debt, does not face currency mismatch risk (unlike EM crisis cases), can rely on its



domestic financial system to absorb debt, has more monetary flexibility (central bank support) and is less exposed to external funding crises. **These are typically characteristics associated with higher creditworthiness (often A-category countries).**

India, in our view, shows traits consistent with “strong payment capacity”, being a large, diversified domestic economy (#6 globally; on its way to become #3 before the end of this decade); holding predominantly local-currency debt; deep and growing domestic financial market; limited external vulnerability compared to many EM peers. These characteristics align more closely with “A category” descriptors than the BBB range in our view. While S&P upgraded India's sovereign ratings one notch higher to BBB, from BBB- in August 2025, both Fitch (BBB-) and Moody's (Baa3) have kept India's sovereign ratings at the lowest level of investment grade.

Even if the rating agencies do not provide India with an A-category sovereign rating, reflecting "Strong payment capacity", due to lower-per-capita income relative to peers, **there could be merit to at least consider upgrading India to the upper rung of the "Adequate payment capacity" (BBB+ for S&P and Fitch) and Baa1 for Moody's, which will require one more rating upgrade by S&P and a double-notch ratings upgrade by Fitch and Moody's, in our view.**

Figure 13: India's sovereign credit rating (1998 -2024)

Date	S&P	Moody's	Fitch
June 1998		Ba2*	
October 1998	BB*		
March 2000			BB+*
November 2001			BB*
February 2003		Ba1*	
January 2004			BB+*
January 2004		Baa3	
February 2005	BB+*		
August 2006			BBB-
January 2007	BBB-		
November 2017		Baa2	
June 2020		Baa3	

*Speculative Grade; Green highlights ratings upgrade; Red highlights ratings downgrade, Black indicates first rating

Source : Economic Survey 2020-21 Volume 1, Compiled from S&P Global, Fitch and Moody's



A debt sustainability exercise for India

Next, we undertake a debt sustainability exercise for India, to ascertain whether the forecasted debt consolidation path has changed materially on account of the current oil-price shock. In our view, this is useful for providing a reference point of the progress that is likely under the baseline scenario. Then, using this reference point, we calculate the upside and downside risks, based on various scenarios. This assumes particular importance, as Government of [India's medium-term fiscal roadmap](#) is now aimed towards achieving a sustained debt consolidation path by the end of this decade, but without pre-committing explicitly to any fiscal deficit target. **As per the plan, the centre aims to reduce its debt/GDP ratio to the pre-pandemic level of 50% by FY31, from about 55.6% currently.**

Fiscal snapshot at the general government level

The two tables below summarize the fiscal performance at the general government level pre- and post-Covid. General government budget and primary deficits were on a path of consolidation until FY19, while interest payments remained broadly sticky at around 4.8% of GDP. The Covid-19 pandemic impacted the fiscal and debt position severely, with **general government deficit rising to 13.1% of GDP by FY21, from 5.8% of GDP in FY19.** This is despite the central government being extremely prudent with its targeted expenditure support for the absolutely vulnerable and middle-class section of the population. Interest payments as a % of GDP increased to 5.4% of GDP by FY21, from 4.8% of GDP in FY19, while **general government debt increased to 88% of GDP in FY21, from about 70% in FY19.**

Figure 14: General Government fiscal snapshot

% of GDP	FY20	FY21	FY22	FY23	FY24	FY25	FY26	FY27F
Revenue	20.7	19.8	21.6	22.2	22.5	22.5	22.6	22.7
Expenditure	27.9	32.9	32.0	31.2	30.9	30.0	29.9	30.0
Interest payment	4.8	5.4	5.3	5.2	5.3	5.2	5.3	5.2
General government deficit	7.2	13.1	10.3	9.0	8.4	7.5	7.3	7.3
Primary deficit	2.4	7.7	5.1	3.7	3.2	2.3	2.2	2.3

Source: Ministry of Finance, Deutsche Bank forecasts

Figure 15: Liability position of the centre and the states

% of GDP	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
I. Central govt debt	47.1	47.4	45.5	48.9	49.4	52.3	61.5	58.8	57.9	58.1	57.2	57.2
II. State govt debt	21.0	22.5	23.8	25.1	25.3	26.7	31.0	29.1	28.0	27.5	27.5	27.5
III. Central loans to state	1.2	1.1	1.0	3.7	3.2	2.8	3.5	3.6	3.4	3.4	3.3	3.3
IV. Investment in treasury bills by states	1.0	1.2	1.3	1.2	1.0	0.9	1.2	1.3	1.0	1.1	1.1	1.1
General govt debt = I + II - III - IV	65.9	67.6	67.1	69.0	70.4	75.2	87.8	83.0	81.3	81.1	80.3	80.3

Source: Ministry of Finance, Deutsche Bank forecasts

States' debt/GDP was also affected severely, rising from 21% of GDP in FY19 (excluding central loans to states and investment in treasury bills by states) to 26% of GDP by FY21. States' combined fiscal deficit also increased to 4.1% of GDP in FY21, from 2.5% of GDP in FY19. Meanwhile, the **centre's** fiscal deficit increased to 9.2% of GDP in FY21, from 3.4% of GDP in FY19 and debt/GDP worsened to 61.5% of GDP in FY21, from 49.4% of GDP in FY19.



Figure 16: Centre and state fiscal snapshot

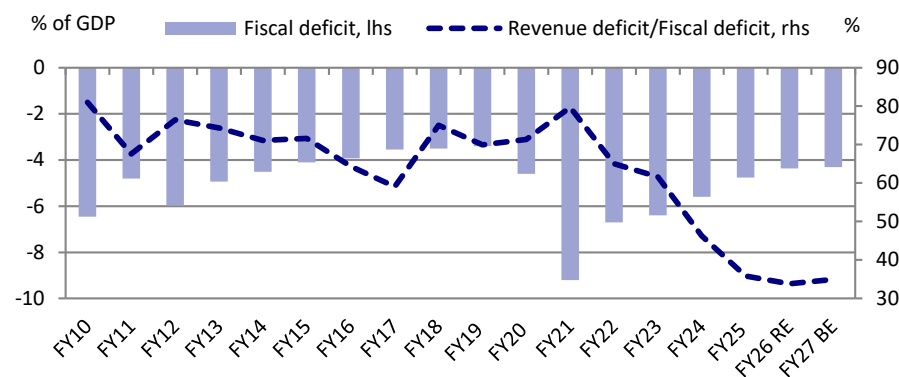
% of GDP	FY22	FY23	FY24	FY25	FY26	FY27F	FY28F
Central government balance	-6.7	-6.4	-5.7	-4.9	-4.4	-4.3	-4.2
Government revenue	9.4	9.0	9.6	9.7	9.9	9.4	9.8
Government expenditure	16.2	15.4	15.3	14.6	14.3	13.8	14.0
Central primary balance	-3.3	-3.0	-2.0	-1.4	-0.8	-0.6	-0.5
Consolidated deficit	-9.5	-9.1	-8.5	-7.7	-7.2	-7.1	-7.0
Memo							
State fiscal deficit	-2.8	-2.7	-2.8	-2.8	-2.8	-2.8	-2.8
Public sector debt/GDP	83.0	81.5	81.1	80.3	80.8	79.8	79.5

Source : Ministry of Finance, Deutsche Bank forecasts

Centre's quality of fiscal spending has improved significantly, but has peaked out

An indicator to track in this regard is the **revenue deficit/fiscal deficit ratio** (lower the ratio, the better). Since FY17 (which recorded a low of 59.1%), this ratio moved up to a peak of nearly 80% in FY21, but it has improved once again and fallen below 40%. Revenue deficit/fiscal deficit moderated to 33.8%, from 35.8% in FY25. Beyond this, we see little scope for this ratio to improve significantly, given that the centre's capex spending allocation is reaching a peak, while it may be difficult to reduce revenue expenditure further as most of these expenditures are by definition "committed expenditure". Indeed, the authorities are targeting a revenue deficit/fiscal deficit ratio of 34.9% in FY27, higher than 33.8% in FY26.

Figure 17: Centre's quality of fiscal consolidation has improved significantly



Source : Various budget documents, RBI, MOF and Deutsche Bank

Short-term fiscal projections

Since the peak deterioration of the fiscal and debt dynamic in FY21, owing to the adverse impact of the Covid-19 pandemic, significant progress has been made on the fiscal front, both at central and state government level.

- **Centre's fiscal deficit** has come down to 4.4% of GDP in FY26 and the government has set a target of 4.3% of GDP for FY27. **Despite the oil-price shock, we think the central government has enough buffers to be able to meet the FY27 fiscal deficit target of 4.3% of GDP.** The below table shows our latest projections for FY27 over the FY26 outturn.



Figure 18: Latest FY27 fiscal projections: Deutsche Bank vs. Government estimates

	Key items	2024-25 Actual	2025-26 RE	2026-27 DB Estimate	2026-27 Budget Estimate	2024-25 Actual	2025-26 RE	2026-27 DB Forecast	2026-27 Budget Estimate	FY26 RE over FY25 Actual	FY27 DB est over FY26 RE	FY27 BE over FY26 RE
S. no		INR bn	INR bn	INR bn	INR bn	% of GDP	% of GDP	% of GDP	% of GDP	% yoy	% yoy	% yoy
1	Revenue Receipts (2+3)	30366	33423	35280	35332	9.55	9.67	9.20	9.0	10.1	5.6	5.7
2	Tax Revenue (Net to Centre)	25000	26747	27840	28669	7.86	7.74	7.26	7.29	7.0	4.1	7.2
3	Non Tax Revenue	5366	6677	7439	6662	1.69	1.93	1.94	1.7	24.4	11.4	-0.2
4	Recovery of Loans	246	302	307	384	0.08	0.09	0.08	0.1	22.6	1.6	27.2
5	Other Receipts (disinvestments)	172	338	499	800	0.05	0.10	0.13	0.2	96.7	47.3	136.4
6	Total Receipts (1+4+5)	30784	34064	36085	36515	9.68	9.86	9.41	9.29	10.7	5.9	7.2
7	Total Expenditure (8+10)	46529	49648	52728	53473	14.63	14.37	13.75	13.61	6.7	6.2	7.7
8	On Revenue Account	36009	38691	41300	41255	11.32	11.20	10.77	10.5	7.4	6.7	6.6
9	of which: Interest Payments	11156	12743	14189	14040	3.51	3.69	3.70	3.6	14.2	11.3	10.2
10	On Capital Account	10520	10958	11428	12218	3.31	3.17	2.98	3.1	4.2	4.3	11.5
11	Revenue Deficit (8-1)	5643	5268	6021	5923	1.77	1.52	1.57	1.51			
12	Fiscal Deficit (7-6)	15744	15585	16643	16958	4.95	4.51	4.34	4.31			
13	Primary Deficit (12 - 9)	4589	2842	2454	2918	1.44	0.82	0.64	0.74			
	<i>Memo item</i>											
14	Nominal GDP, %yoy	318073	345472	383473	393004					8.6	11.0	13.8

Source : Various budget documents and Deutsche Bank

- **States' combined fiscal deficit** is likely to stay steady at 2.8% of GDP, as per our conservative baseline assumption. Prior to Covid, states' fiscal deficit was at 2.4% of GDP and 2.6% of GDP in FY19 and FY20, respectively.
- **General government deficit** is likely to moderate to 7.1% of GDP in FY27, from 8.5% of GDP in FY24.
- **General government debt** is likely to moderate to 79.8% of GDP in FY27, due to higher-than-expected nominal GDP growth, from 80.3% of GDP in FY26.
- **Central government deficit with and without EBR (Extra Budgetary Resources):** Prior to the Covid-19 pandemic, the central government accounted certain Extra Budgetary Resources as off-balance sheet items, which ideally should have been calculated as on-balance sheet expenditure, resulting in a higher-than-reported fiscal deficit. For example, in FY19, when the reported fiscal deficit was 3.4% of GDP, the EBR in that fiscal year was 0.9% of GDP; therefore, incorporating the EBR would have resulted in fiscal deficit rising to 4.3% of GDP. In FY17 and FY18, the reported fiscal deficit was 3.5% of GDP, but adding 0.5% of GDP of EBR for both those years, the augmented fiscal deficit of the central government stood at 4.0% of GDP. Post FY22, the central government has taken all expenditure on balance sheet and the practice of providing off-balance sheet EBR has stopped, in a bid to promote fiscal transparency. We assume that, in the coming years, the centre's fiscal deficit will not fall below 4.0% of GDP, which would be similar to the pre-pandemic low of 4.0% of GDP (after adding 0.50% of GDP worth EBR to the headline fiscal deficit of 3.5% of GDP). Assuming the states' fiscal deficit stabilizes at 2.8% of GDP, this will likely result in general government deficit stabilizing at the current 6.8% of GDP within the forecast horizon.

In the rest of this report, we use our own economic forecasts to present a debt sustainability analysis of the general government to ascertain the medium-term debt/GDP trajectory under various scenarios.

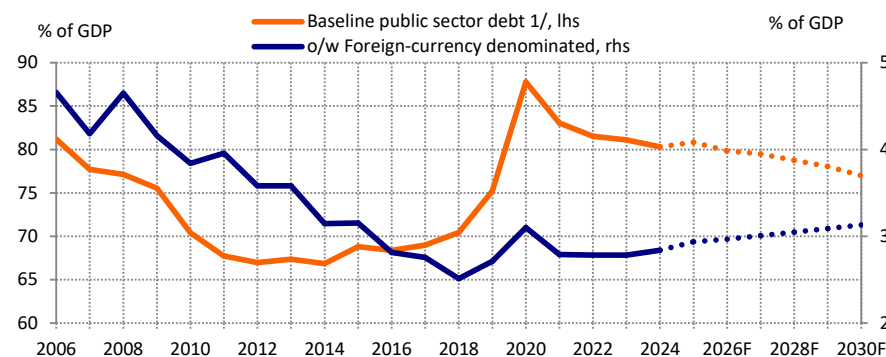


Baseline assumptions and projection

- Real GDP grows around 6.5% average in the rest of this decade (till FY31); nominal GDP growth averages about 10.5-11% during the forecasting period;
- With a flexible inflation targeting framework firmly in place, CPI inflation averages in the 4.0-4.5% range for the rest of this decade; we have assumed GDP deflator (mix of CPI and WPI) to average 4.5% in the years ahead;
- Real interest rate on public debt works out to 2.5% on an average (derived from 7.0% nominal rate and 4.5% GDP deflator-based inflation);
- We assume general government deficit (centre + state) to trough at 6.8% of GDP through the forecasting period, with the centre's fiscal deficit stabilizing around 4.0% of GDP, and 2.8% of GDP in case of states. There is scope for general government deficit to be lowered further beyond this, but we have assumed for now that, given the need for supporting growth through fiscal impulse and accommodating 8th Pay Commission recommended higher wages in the coming years, the combined deficit may not fall significantly below the 7.0% of GDP mark (pre-Covid 10-year average was 6.9% of GDP).
- The primary deficit eases in the period ahead, averaging close to 2.2% of GDP; primary spending rises by 5-6% in real terms, while revenues rise 10.5-11% on an average in nominal terms, in line with the projected nominal GDP growth for the rest of this decade.
- The rupee maintains a depreciation bias in the medium term; but given India's relatively small public external debt burden (2.8-3.0% of GDP), the exchange rate assumption matters little in the debt sustainability exercise.

Under this baseline scenario, public debt is projected to decline to about 75.1% of GDP by 2030 (FY31), from about 80.3% in FY26. This outcome is primarily driven by the assumption that the real growth-real interest rate differential stabilizes at 4-4.5% during the forecasting period. **India's debt burden does not look onerous under this scenario, but the interest cost of servicing the debt remains high during the forecasting period, accounting for 16-16.5% of total consolidated spending (or about a quarter of central government spending).** Given that India needs to ramp up total public spending on key sectors such as health, education and defense, the importance of reducing debt and interest costs is all too apparent.

Figure 19: Baseline Debt/GDP ratio - on a steady downward trajectory



Source : MOF, Deutsche Bank. Note: 1/ Combined Central and State level debt



Problems associated with long-term projections - a cautionary tale

A word of caution - medium-term forecasts are subject to various risks which are difficult to anticipate and therefore the actual outturn could be appreciably different from the projected path. The Covid-19 pandemic is a testimony to this fact. A few years prior to the Covid-19 pandemic in 2020, the central government had formed an expert committee in 2016 to recommend a desirable fiscal and debt consolidation path for India over the medium term.

The FRBM committee recommended the central government continues on the path of fiscal consolidation, with the medium-term goal of bringing the centre's fiscal deficit down to 2.5% of GDP by FY23 (from 3.5% of GDP in FY17), which would result in the centre's debt/GDP coming down to 40% of GDP (from about 49% in FY18). The committee also recommended a desirable fiscal path for the state governments, so that cumulatively the debt/GDP of states can remain constant at around 20% of GDP throughout the forecasting period. This would require state fiscal deficit to reduce from 3.0% of GDP in FY17 - by about 1% of GDP - to 2.0% by FY23. If this was achieved, then India's overall public debt/GDP ratio would have moderated to about 60% of GDP by FY23, a 10% drop from FY18 levels (general government deficit was close to 70% of GDP in FY18).

But then Covid-19 happened in 2020, and the seismic growth shock pushed general government debt/GDP close to 90% in FY21, a 20% increase from FY18 levels. By FY23, public debt moderated but it was still above 81.5% of GDP. India's public debt/GDP is expected to moderate to 75.1% by 2030 (FY30/31), but that will still be higher than the 70% debt/GDP that was recorded in FY18. Or, in other words, a seismic shock like the Covid-19 pandemic set India's debt/ GDP trajectory back by a decade. This is true not just for India, but for most countries around the world.

Figure 20: FRBM committee recommended fiscal target

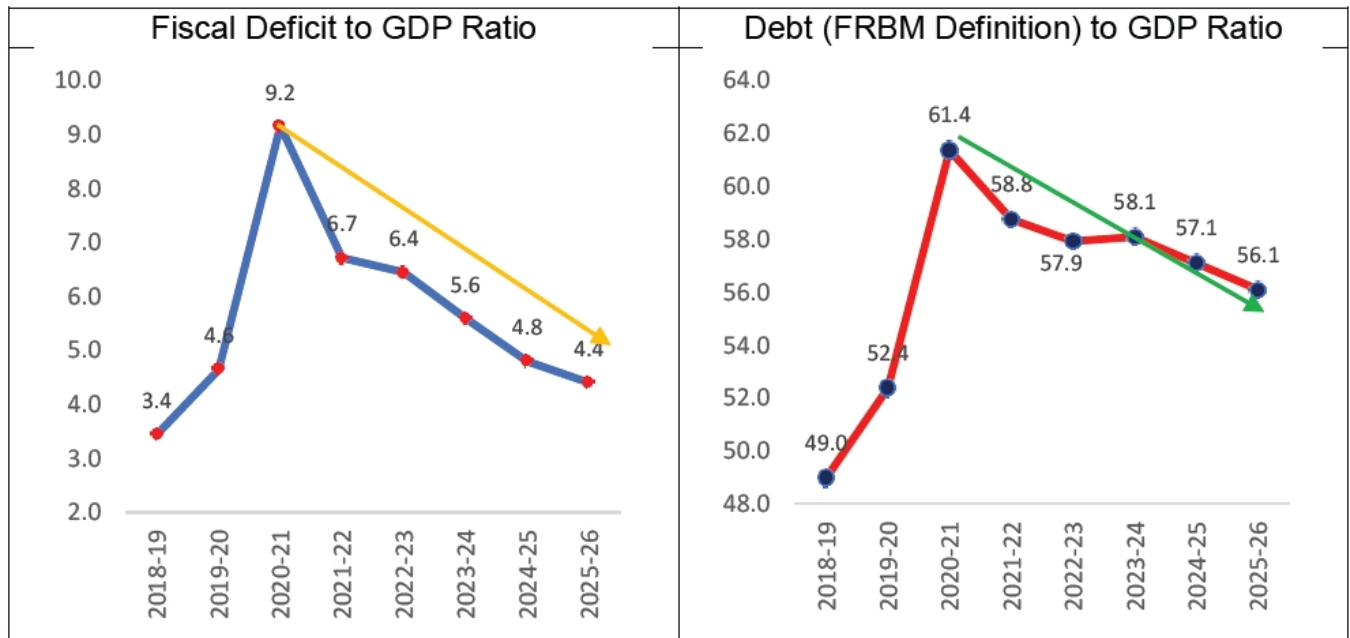
% of GDP	FRBM committee recommended target			DB estimate
	Central govt.	Sate govt. fiscal	General govt.	General govt.
FY17	3.5	3.0	6.5	6.5
FY18	3.0	2.8	5.8	6.2
FY19	3.0	2.7	5.7	6.0
FY20	3.0	2.5	5.5	6.0
FY21	2.8	2.3	5.1	6.0
FY22	2.6	2.2	4.8	6.0
FY23	2.5	2.0	4.5	6.0

Source: FRBM Review Committee Report, Deutsche Bank

Therefore, it is important to recognize that the baseline scenario of debt/GDP projections can easily be derailed, if there is a large growth shock within the forecasting horizon. **The baseline debt/GDP projection does not incorporate any domestic or external shock. But, as has been illustrated vividly through the last decade, India's fiscal regime is vulnerable to various shocks.** It has also been seen that, even after an extended high-growth period, fiscal consolidation proves to be transitory when growth shocks materialize, or an external shock (global tariff shock, for example) weakens the fiscal position indirectly by impacting growth and revenue adversely.

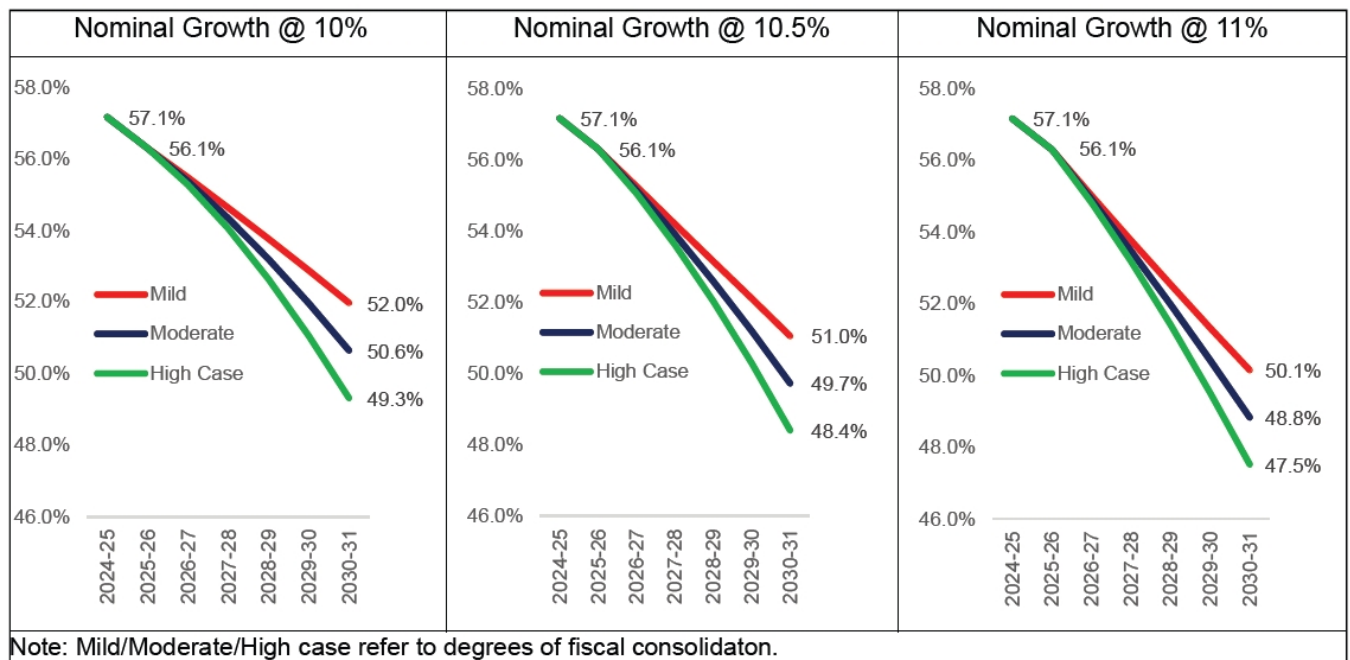


Figure 21: Central government fiscal deficit and debt/GDP



Source : Ministry of Finance - Government of India

Figure 22: Central govt. debt/GDP projection by Ministry of Finance, Government of India



Source : Ministry of Finance



Keeping this in mind, in the rest of this note, **we introduce some shocks to our baseline scenario and see how the projections change** if indeed some of the key macro variables associated with debt dynamic were to take a turn for the worse in the coming years.

Stress Tests

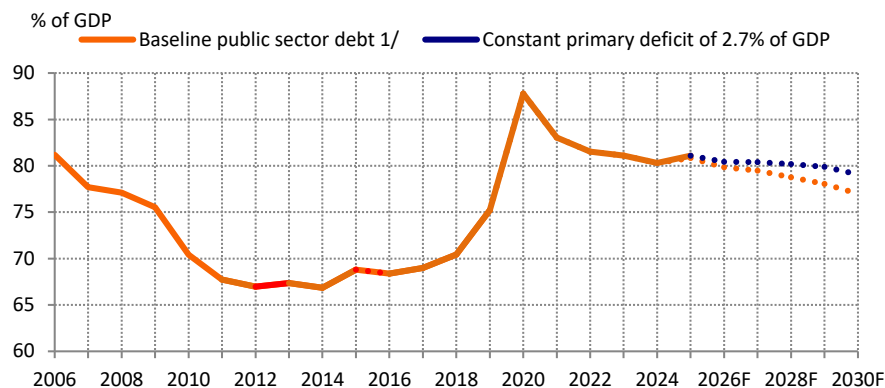
Shock 1: No change in fiscal effort - primary deficit stays around 2.7% of GDP

If the primary deficit stays at around 2.7% of GDP (higher than our baseline assumption of about 2.2% of GDP), and the growth/interest rate nexus discussed above remains in place, India's debt path would still be on downward path, but the **debt/GDP ratio would fall to around 77.3% of GDP by 2030 (FY30/31)**. A flatter path of debt adjustment should be a source of worry as fragility to shocks would rise.

State fiscal finances pose a big risk to the overall fiscal consolidation agenda.

While on an aggregate basis, states' combined fiscal deficit has moderated once again below 3% of GDP (after rising to 4.1% of GDP in FY21 due to the impact of Covid-19), there is a large degree of heterogeneity and vulnerability regarding the fiscal health of certain states, which warrant close monitoring. **The states that would likely remain the most vulnerable to debt sustainability risks are Punjab, West Bengal, Bihar, Rajasthan and Kerala, given their weak fiscal and debt metrics even prior to the Covid-19 crisis, as per our analysis.**

Figure 23: Debt dynamic favorable to achieve decline in debt path even with modest fiscal effort



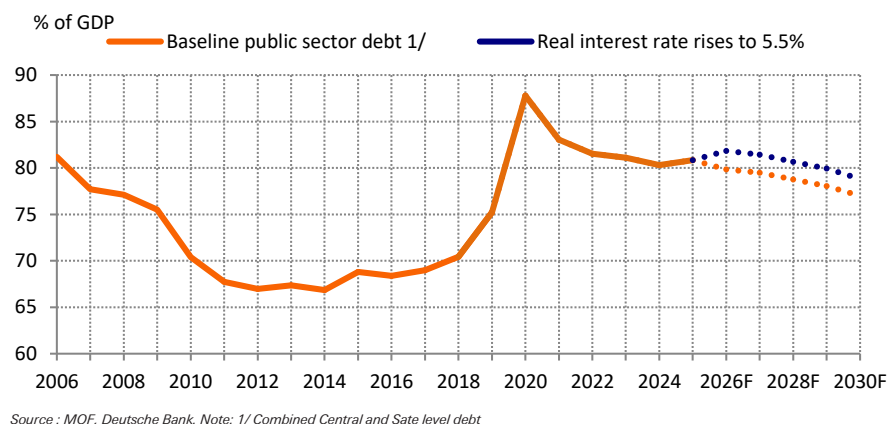
Source : MOF, Deutsche Bank. Note: 1/ Combined Central and State level debt

Shock 2: Interest rate shock - real interest rate rises to about 5.5% on an average

If CPI inflation increases above the 6% upper threshold inflation target range in the years ahead, RBI would be compelled to hike the policy rate, which may increase the real interest rate to mid single digit, when measured in terms of WPI and GDP deflator. Under the interest rate shock scenario, real interest rate paid on public debt is raised by one standard deviation of the past average; **under this scenario, the debt trajectory flattens and debt/GDP comes down only to 76.9% of GDP by FY31 (2030).**



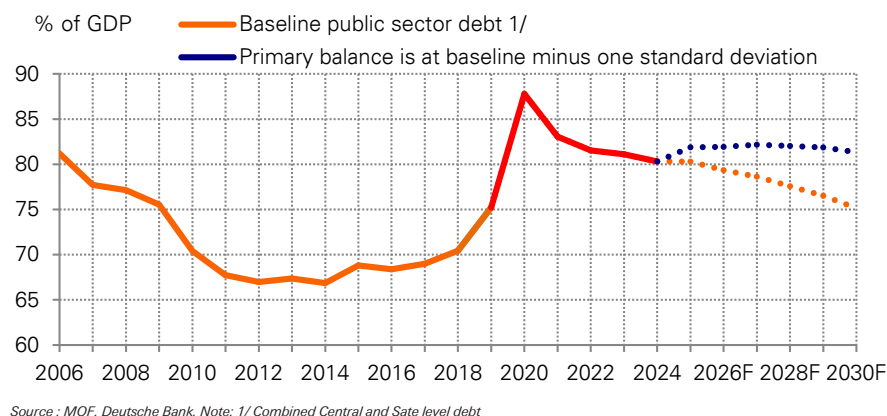
Figure 24: A rise in real interest rate could cause adverse debt dynamic



Shock 3: Fiscal shock - primary deficit rises to 3.5% of GDP within the forecasting period instead of coming down to 2.2% of GDP

If the primary deficit rises to around 3.5% of GDP (higher than our baseline assumption of about 2.2% of GDP), and the growth/interest rate nexus discussed above remains in place, India's debt path would flatten considerably, with the **debt/GDP ratio likely to remain unchanged at about 81.3% of GDP by 2030 (FY31)**.

Figure 25: A fiscal shock will affect the debt dynamic

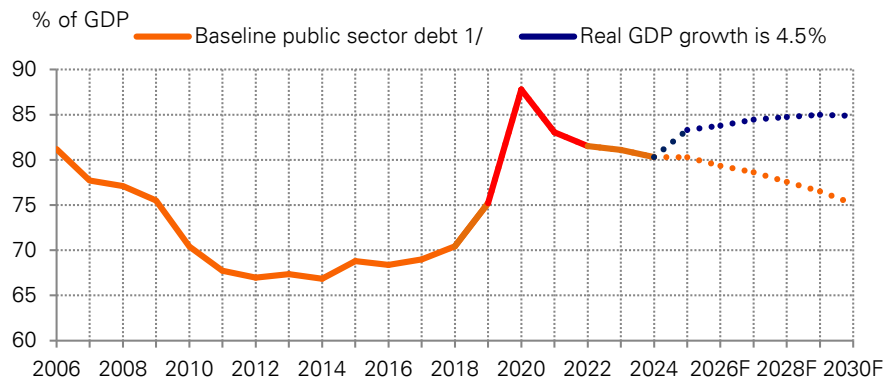


Shock 4: Growth shock - real GDP growth moderates to 4.5%

Here we lower real GDP growth by 200bps, which pegs economic growth to around 4.5%. The shock impacts the debt path severely, **pushing up the debt ratio to 84.9% by FY31 (2030)**, 10% higher than our baseline estimate of debt/GDP falling to 74.8% by the end of this decade. Indeed, the biggest risk to debt sustainability arises from a growth shock, as was witnessed during the time of Covid-19 pandemic. Of course, under such a scenario, interest rates would ease, real rates would fall, but the overall impact of lower growth and presumably higher fiscal deficit would push the general government debt/deficit significantly higher.



Figure 26: Debt sustainability hinges critically on sustained, strong growth



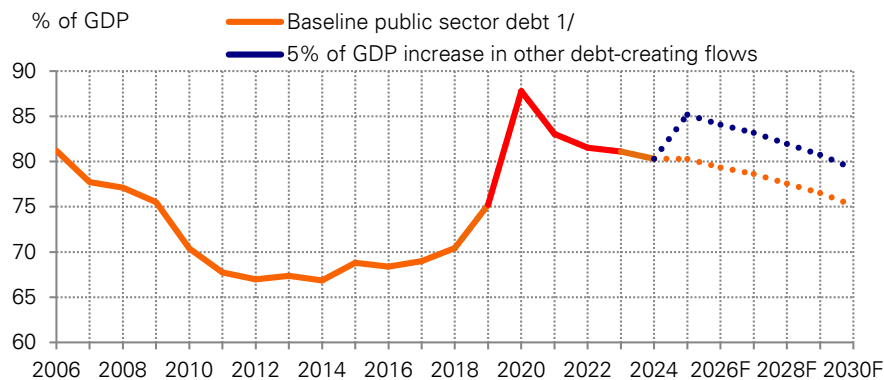
Source : MOF, Deutsche Bank. Note: 1/ Combined Central and State level debt

Shock 5: Contingent liability shock of 5% of GDP

In this scenario, we assume that the government's contingent liabilities would rise suddenly. To account for such a risk, we raise the government's liabilities by 5% of GDP in FY25/26. This first raises the debt/GDP to 85.2% in FY26, thereafter moderating to 79.2% by the end of FY30/31 (2030).

Earlier such risks arose mainly from banking sector NPAs which had deteriorated significantly in the last decade. However, the public sector bank balance sheets have been cleaned up and the NPAs have fallen below 3%, a record low. Now the risk of contingent liabilities arises mostly from state finances. As per RBI data, overall state guarantees amounted to about 3.7% of GDP by FY21. The guarantees are likely to have moderated to 0.8% of GDP, as per FY23 budget estimate figures are concerned. If these guarantees (contingent liabilities) are accounted as on balance sheet expenditure at any point of time, then both general-government deficit and debt would go up by a commensurate amount, ceteris paribus.

Figure 27: A one-off increase in liabilities would delay debt reduction



Source : MOF, Deutsche Bank. Note: 1/ Combined Central and State level debt

While the centre has stopped the practice of providing off-balance sheet resources (Extra Budgetary resources or EBR) and now everything is accounted as on-balance sheet expenditure, a similar accounting treatment by states at a later point of time could increase deficit and debt, a non-trivial risk, in our view. Recall that in past years, even before the Covid-19 crisis, a decision to accommodate the interest



burden of the UDAY scheme as an on-balance sheet expenditure item along with the costs of farm loan waivers given by certain states deteriorated the health of the states' fiscal balances materially, a risk which exists even today, given the guarantees that exist in the form of contingent liabilities.

Figure 28: 'Freebies' announced by the states in 2022-23

	% of GSDP	% of Revenue Receipts	% of Own Tax Revenue
Andhra Pradesh	2.1	14.1	30.3
Bihar	0.1	0.6	2.7
Haryana	0.1	0.6	0.9
Jharkhand	1.7	8.0	26.7
Kerala	0.0	0.0	0.1
Madhya Pradesh	1.6	10.8	28.8
Punjab*	2.7	17.8	45.4
Rajasthan	0.6	3.9	8.6
West Bengal	1.1	9.5	23.8

Source : RBI and Deutsche Bank. Note: * Dhasmana, I. (2022). "Not all states are so financially weak that they can't announce freebies". Business Standard. April 2022.

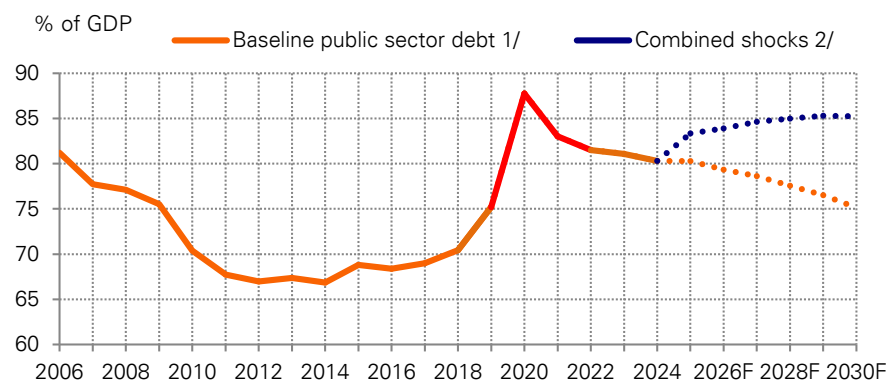
Figure 29: Guarantees issued by State Governments (% of GSDP)

	Bihar	Kerala	Punjab	Rajasthan	West Bengal	Andhra Pradesh	Uttar Pradesh	Haryana
2017-18	1.1	2.5	4.5	7.5	0.9	4.6	6.3	2.2
2018-19	1.0	3.4	0.9	7.6	0.6	6.2	6.9	2.6
2019-20	0.9	3.2	4.1	8.1	0.5	8.1	6.7	2.7
2020-21	2.6	4.6	5.3	8.2	0.6	11.0	7.9	2.3
2021-22 (RE)	3.6	-	5.7	-	1.1	9.8	-	-

Source : RBI and Deutsche Bank. Note: RE refers to revised estimates.

Shock 6: Combined shock - What if shocks were multiple in nature? There could be occasions when a growth shock eventually leads to a fiscal shock which then translates into an interest rate shock. What happens to the debt profile in case of such a combined shock scenario? With this in mind, we construct a scenario incorporating shocks half the size of the ones discussed above but in conjunction with one another. We find that the impact on debt is immediate and unambiguously adverse (the **debt/GDP ratio rises to 85.2% by FY31**). While the probability of such a manifestation is low, it is important to be cognizant of such eventualities.

Figure 30: Debt path can turn higher if hit by multiple shocks



Source : MOF, Deutsche Bank. Note: 1/ Combined Central and State level debt



India's debt servicing ability remains healthy

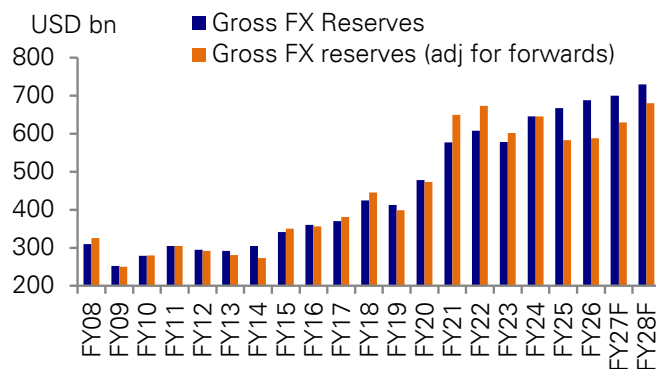
As our exercise shows, public debt/GDP is likely to be on a sustained downtrend due to positive growth-interest differential and there is little risk associated with the funding of the public debt as bulk of the debt is in domestic currency. Foreign currency denominated debt is small - less than 5% of GDP - and even within that more than half of it is owed to multilateral institutions.

India's macro outlook - both in the short and medium term - remains bright, with likelihood of sustained strong growth outperformance amidst anchored inflation, positive real rates, continued fiscal consolidation, healthy external and domestic financial sector and expected macro dividend from ongoing supply-side reforms. As our exercise shows, public debt/GDP seems likely to be on a sustained downtrend due to positive growth-interest differential and there is little risk associated with the funding of the public debt as bulk of the debt is in domestic currency.

Our analysis reveals that, despite GST rates rationalisation of 2025 and an oil price shock this year, **it is possible for India to lower its debt/GDP to 75.1% of GDP by FY31**, provided nominal GDP growth averages around 10.5-11% during the forecasting period. In our view, barring some unforeseen shocks, a 10.5-11% nominal GDP growth assumption is realistic based on an average 6.5% real GDP growth and 4-4.5% inflation (in terms of GDP deflator) over the forecasting period.

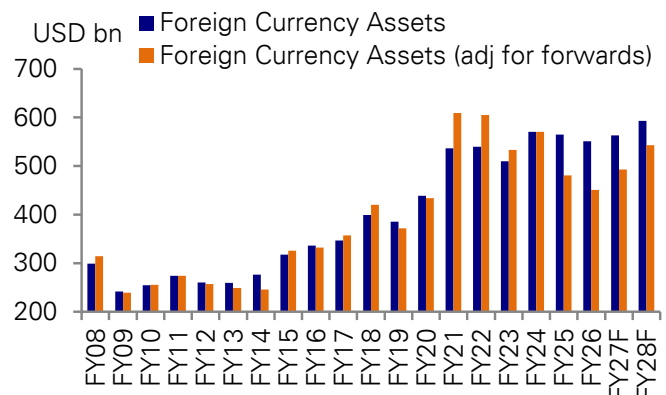
Our forecast is similar to IMF's estimate, which sees India's public sector debt/GDP moderating to 75.4% by 2031 (see, "[Staff Report for the 2025 Article IV Consultation for India](#)", Nov 2025), but is slightly higher compared to RBI's forecast of 73.4% over the same forecasting horizon (see, "[The Shape of Growth Compatible Fiscal Consolidation](#)", Feb 2024).

Figure 31: Gross Foreign Exchange Reserves



Source : CEIC, RBI and Deutsche Bank. Note: FY27,28 F refer to DB forecasts.

Figure 32: Foreign Currency Assets



Source : CEIC, RBI and Deutsche Bank. Note: FY27,28 F refer to DB forecasts.



Figure 33: India's key external debt (% unless indicated otherwise)

End-March	External Debt (US\$ billion)	Ratio of External Debt to GDP	Debt Service Ratio	Ratio of Foreign Exchange Reserves to Total Debt	Ratio of Concessional Debt to Total Debt	Ratio of Short-Term Debt to Foreign Exchange Reserves	Ratio of Short-Term Debt (original maturity) to Total Debt
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
1991	83.8	28.3	35.3	7.0	45.9	146.5	10.2
1996	93.7	26.6	26.2	23.1	44.7	23.2	5.4
2001	101.3	22.1	16.6	41.7	35.4	8.6	3.6
2006	139.1	17.1	10.1 [#]	109.0	28.4	12.9	14.0
2007	172.4	17.7	4.7	115.6	23.0	14.1	16.3
2008	224.4	18.3	4.8	138.0	19.7	14.8	20.4
2009	224.5	20.7	4.4	112.2	18.7	17.2	19.3
2010	260.9	18.5	5.8	106.9	16.8	18.8	20.1
2011	317.9	18.6	4.4	95.9	14.9	21.3	20.4
2012	360.8	21.1	6.0	81.6	13.3	26.6	21.7
2013	409.4	22.4	5.9	71.3	11.1	33.1	23.6
2014	446.2	23.9	5.9	68.2	10.4	30.1	20.5
2015	474.7	23.8	7.6	72.0	8.8	25.0	18.0
2016	484.8	23.4	8.8	74.3	9.0	23.2	17.2
2017	471.0	19.8	8.3	78.5	9.4	23.8	18.7
2018	529.3	20.1	7.5	80.2	9.1	24.1	19.3
2019	543.1	19.9	6.4	76.0	8.7	26.3	20.0
2020	558.3	20.9	6.5	85.6	8.8	22.4	19.1
2021	573.4	21.1	8.2	100.6	9.0	17.5	17.6
2022	618.8	19.9	5.2	98.1	8.3	20.0	19.7
2023	623.9	19.1	5.3	92.7	8.2	22.2	20.6
2024 PR	668.9	19.2	6.7	96.6	7.4	19.7	19.1
2025 PR	736.4	19.8	6.6	90.8	6.9	20.1	18.3
end-June 2025 PR	746.8	19.7	6.6	93.5	7.1	19.3	18.0
end-September 2025 PR	747.2	20.1	6.0	93.7	7.0	19.7	18.5
end-December 2025 P	765.5	20.4	5.8	89.8	6.7	21.9	19.7

Source : RBI. Note: PR: Partially Revised; P: Provisional. #: Works out to 6.3 per cent with the exclusion of India Millennium Deposits (IMDs) repayments of US\$ 7.1 billion and pre-payment of external debt of US\$ 23.5 million. Note 1: Figures are rounded to one decimal place. Note 2: Ratio of external debt to GDP from end March 2024 (P) onwards is based on the new GDP series (Base Year: 2022/23)



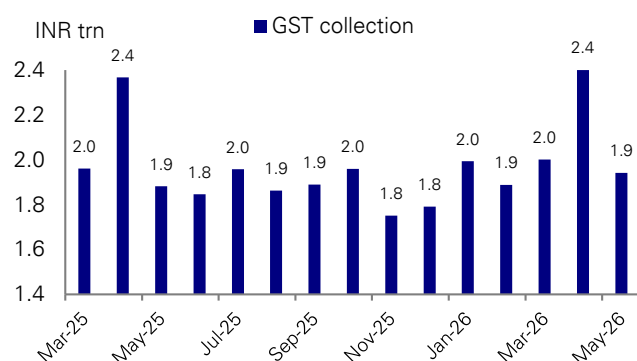
Appendix A: Tax collection trend

Figure 34: Monthly tax collection trend including Apr'26 (% yoy)

Revenue receipts, %yoy	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	FY25	FY26
Gross Tax Revenue	8.4	13.8	-2.8	32.4	10.1	-19.2	2.1	-1.9	9.6	6.0
Corporate Tax	0.2	76.4	61.2	22.7	180.8	-96.2	7.7	17.4	8.3	11.4
Income Tax	33.7	26.9	5.8	-9.2	12.6	-45.2	-4.3	6.8	17.0	0.0
Central Goods and Service Tax	8.9	8.1	0.7	6.9	10.6	5.9	10.5	37.7	10.8	6.4
Union Territories Goods and Service Tax	56.5	61.6	253.5	72.1	31.3	90.1	-51.6	268.1	7.2	32.5
Goods and Service Tax Compensation Cess	-5.5	-39.7	-70.3	-55.1	-57.5	-63.5	-100.2	-101.5	6.5	-33.4
Customs	29.0	13.4	-36.3	229.7	19.7	50.9	-19.7	25.0	0.1	13.4
Union Excise Duties	10.3	6.9	17.5	14.6	10.9	23.4	26.5	-1246.2	-1.7	13.9
Service Tax	-145.2	12300.0	-322.2	-51.7	-110.3	-15850.0	1050.0	115.4	-103.5	11726.7
Other Taxes	-33.0	-53.2	-33.0	4.1	11.2	39.4	19.8	66.6	5.8	-14.5
Less: Transfer to state	14.1	14.0	14.1	14.0	-41.3	19.0	19.0	7.4	13.9	8.1
Net Tax Revenue	7.1	12.9	-13.6	36.5	156.1	-54.5	-1.3	-5.9	7.5	4.9
Memo item										
Direct tax	11.0	41.7	19.3	10.7	33.1	-53.8	2.1	8.6	12.9	5.2
Indirect tax	1.5	-5.0	-19.4	96.7	-3.1	6.9	2.2	-11.6	5.4	7.1

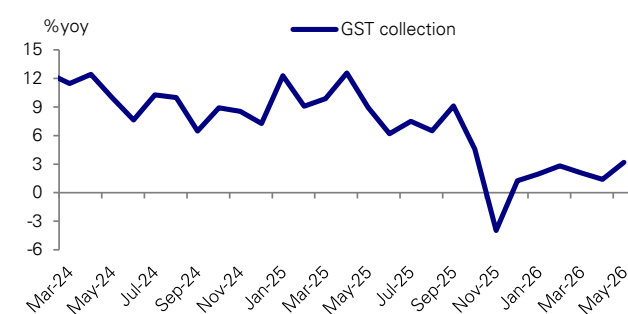
Source : Controller General of Accounts and Deutsche Bank

Figure 35: Monthly GST collection - INR trn



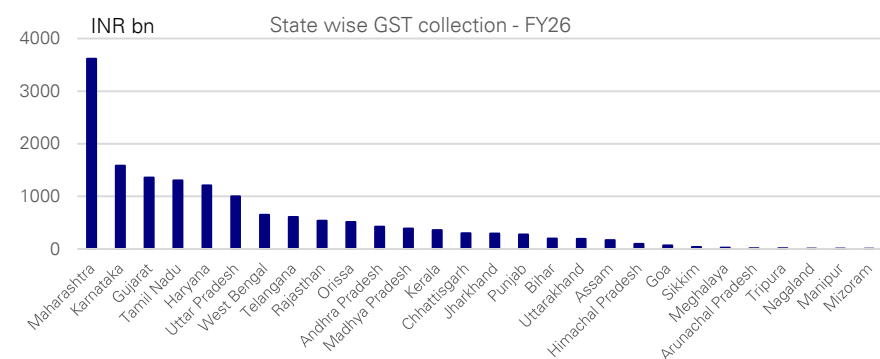
Source : CEIC and Deutsche Bank

Figure 36: Monthly GST collection - %yoy



Source : CEIC and Deutsche Bank

Figure 37: State-wise GST collection - FY26 (INR bn)



Source : CEIC and Deutsche Bank



Appendix B: A snapshot of state fiscal finances

Figure 38: Ranking of 17 key states based on FY26 BE

States	Ranking based on FY26 budget estimates	10 year SDL yield (%)						Fiscal deficit	Own tax revenue	Debt	Interest payment to revenue receipts
		2020-21	2021-22	2022-23	2023-24	2024-25	2025-26	% of GSDP	% of GSDP	% of GSDP	%
Maharashtra	1	7.0	6.8	7.9	-	-	-	2.8	7.8	19	11.5
Jharkhand	2	6.8	6.9	-	-	-	-	2.0	6.3	25	5.1
Telangana	3	7.0	-	-	-	-	-	3.0	8.1	28	8.4
Uttar Pradesh	4	6.9	7.0	-	-	-	7.5	3.0	9.6	29	9.7
Orissa	5	-	-	-	-	-	-	3.2	6.2	20	2.8
Chhattisgarh	6	-	-	-	-	-	-	3.8	8.5	30	6.7
Gujarat	7	6.7	7.0	7.8	-	-	7.4	2.0	5.3	18	12.4
Karnataka	8	6.6	7.0	-	-	-	7.4	2.9	6.8	27	15.6
Haryana	9	7.4	7.0	7.8	7.4	-	-	2.7	6.8	30	20.5
Tamil Nadu	10	6.7	7.0	7.8	-	7.4	7.4	3.0	6.2	29	20.8
Bihar	11	-	7.2	-	-	-	-	3.0	5.4	37	8.8
Madhya Pradesh	12	6.9	6.9	7.9	7.4	7.4	-	4.7	6.4	31	9.8
Rajasthan	13	6.7	7.0	7.8	7.4	-	-	4.3	7.2	36	13.6
Kerala	14	7.2	7.1	-	-	-	-	3.2	6.4	36	20.9
Punjab	15	6.8	7.0	7.9	-	-	-	3.8	7.1	46	22.4
Andhra Pradesh	16	6.5	-	7.7	7.4	-	-	4.4	6.0	35	16.1
West Bengal	17	6.7	7.1	7.8	-	-	-	3.6	5.5	49	18.3
Avg. of 17 states		6.8	7.0	7.8	7.4	7.4	7.4	3.4	6.8	32.0	13.8

Source : RBI, Various state budget documents and Deutsche Bank.

Figure 39: Fiscal ranking of states over time

States	Rank based on 2004-08 avg. fiscal data	Rank based on 2008-10 avg. fiscal data	Rank based on FY13 fiscal data	Rank based on FY14 fiscal data	Rank based on FY15 fiscal data	Rank based on FY16 fiscal data	Rank based on FY18 fiscal data	Rank based on FY19 fiscal data	Rank based on FY20 fiscal data	Rank based on FY21 fiscal data	Rank based on FY22 fiscal data	Rank based on FY23 fiscal data	Rank based on FY24 fiscal data	Rank based on fiscal data b/w 2004 to 2016	States
Maharashtra	6	6	1	2	4	4	1	1	1	2	2	-	1	1	Karnataka
Chhattisgarh	4	1	4	10	2	1	2	3	9	3	1	1	9	2	Tamil Nadu
Orissa	8	4	2	7	9	6	3	4	10	1	3	-	2	3	Chhattisgarh
Karnataka	1	3	5	1	1	2	4	5	2	7	7	2	4	4	Maharashtra
Uttar Pradesh	14	16	10	12	14	15	5	2	3	4	11	4	7	5	Orissa
Goa	11	13	12	13	10	12	6	8	-	-	-	-	-	6	Andhra Pradesh
Gujarat	9	10	7	9	6	8	7	6	5	6	5	3	5	7	Madhya Pradesh
Tamil Nadu	3	2	3	3	3	3	8	7	6	12	12	-	12	8	Gujarat
Madhya Pradesh	10	7	8	5	5	7	9	10	7	9	10	-	10	9	Haryana
Haryana	2	14	11	8	11	13	10	9	15	10	9	7	3	10	Jharkhand
Rajasthan	13	12	9	14	15	17	11	15	14	16	14	-	13	11	Punjab
Kerala	7	8	16	16	13	9	12	12	8	13	15	6	11	12	Kerala
Bihar	15	15	15	15	17	10	13	13	12	11	13	11	17	13	Goa
Punjab	12	11	14	11	8	11	14	17	16	17	17	10	15	14	Rajasthan
Andhra Pradesh	5	5	6	4	12	5	15	14	13	14	8	8	16	15	Uttar Pradesh
West Bengal	16	17	17	17	16	16	16	16	17	15	16	9	14	16	Bihar
Jharkhand	17	9	13	6	7	14	17	11	11	8	4	5	8	17	West Bengal

Source : Deutsche Bank



Figure 40: Fiscal ranking of states based on FY24 actual data & comparison with FY25 RE and FY26 BE (best to worst)

States	Ranking based on FY24 actual fiscal data	Ranking based on FY25 revised estimates	Ranking based on FY26 budget estimates
Maharashtra	1	1	1
Orissa	2	4	5
Jharkhand	3	2	2
Gujarat	4	5	7
Karnataka	5	8	8
Uttar Pradesh	6	7	4
Chhattisgarh	7	6	6
Telangana	8	3	3
Madhya Pradesh	9	11	12
Haryana	10	9	9
Kerala	11	13	14
Tamil Nadu	12	10	10
Bihar	13	14	11
Rajasthan	14	12	13
Andhra Pradesh	15	15	16
West Bengal	16	17	17
Punjab	17	16	15

Source : Various state budget documents and Deutsche Bank. Note: RE refers to revised estimates and BE refers to budget estimates.

Figure 41: Fiscal snapshot of states

States	Ranking based on FY24 actual fiscal data	2023-24 Actuals				2024-25 RE				2025-26 BE			
		Fiscal deficit (% of GSDP)	Own tax revenue (% of GSDP)	Debt (% of GSDP)	Interest payment to revenue receipts (%)	Fiscal deficit (% of GSDP)	Own tax revenue (% of GSDP)	Debt (% of GSDP)	Interest payment to revenue receipts (%)	Fiscal deficit (% of GSDP)	Own tax revenue (% of GSDP)	Debt (% of GSDP)	Interest payment to revenue receipts (%)
Maharashtra	1	2.2	7.5	18.5	10.6	2.9	8.1	18.6	10.2	2.8	7.8	19.0	11.5
Orissa	2	1.7	6.3	19.7	2.9	3.1	6.3	20.6	2.6	3.2	6.2	20.3	2.8
Jharkhand	3	1.4	6.1	27.2	7.8	2.3	6.7	25.5	6.5	2.0	6.3	25.4	5.1
Gujarat	4	1.0	5.5	18.3	12.2	1.9	5.5	17.8	12.4	2.0	5.3	17.9	12.4
Karnataka	5	2.6	6.4	25.3	13.2	2.9	6.3	25.4	14.2	2.9	6.8	26.5	15.6
Uttar Pradesh	6	3.2	7.5	30.9	10.1	3.4	7.6	30.0	9.8	3.0	9.6	28.7	9.7
Chhattisgarh	7	5.3	7.6	27.3	6.6	5.3	8.1	29.2	7.4	3.8	8.5	29.8	6.7
Telangana	8	3.4	7.6	27.0	14.4	2.9	8.0	27.3	8.8	3.0	8.1	27.5	8.4
Madhya Pradesh	9	3.3	6.7	30.1	9.9	4.2	6.4	30.8	10.3	4.7	6.4	31.3	9.8
Haryana	10	2.9	6.7	31.3	21.3	2.7	6.8	30.2	21.9	2.7	6.8	29.9	20.5
Kerala	11	3.0	6.5	36.3	21.7	3.5	6.4	36.2	22.4	3.2	6.4	35.5	20.9
Tamil Nadu	12	3.3	6.1	31.0	20.2	3.3	6.2	27.3	20.5	3.0	6.2	29.2	20.8
Bihar	13	4.2	5.7	38.7	9.1	9.2	5.6	38.0	8.4	3.0	5.4	36.8	8.8
Rajasthan	14	4.3	6.2	37.4	16.8	4.1	7.1	37.0	14.9	4.3	7.2	35.9	13.6
Andhra Pradesh	15	4.4	6.0	34.6	17.0	4.6	6.0	35.5	17.6	4.4	6.0	35.4	16.1
West Bengal	16	3.3	5.4	39.7	21.3	4.0	5.5	40.0	20.3	3.6	5.5	48.9	18.3
Punjab	17	4.4	6.3	46.5	25.3	4.5	7.2	46.9	23.1	3.8	7.1	46.4	22.4
Avg. of 17 states		3.2	6.5	30.6	14.1	3.8	6.7	30.4	13.6	3.3	6.8	30.8	13.1
All States and UTs		2.9	6.5	28.1	12.9	3.5	6.8	28.4	12.3	3.3	7.1	29.2	12.2

Source : Various state budget documents and Deutsche Bank. Note: RE refers to revised estimates and BE refers to budget estimates.



Annexure: Credit ratings methodology

Figure 42: Moody's credit ratings methodology

Sovereign Bond Ratings Sector Scorecard Overview

Factor	Sub-factor	Sub-factor Weighting	Metric/Sub-sub-factor	Metric / Sub-sub-Factor Weighting
Factor: Economic Strength	Growth Dynamics	35%	Average Real GDP Growth $t-4$ to $t+5$	25%
			Volatility in Real GDP Growth $t-9$ to t	10%
	Scale of the Economy	30%	Nominal GDP (US\$ bn) t	30%
	National Income	35%	GDP per Capita (PPP, Int. USD) t	35%
	Adjustment to Factor Score	0 - 9 notches	Other	
Factor: Institutions and Governance Strength	Quality of Institutions	40%	Quality of Legislative and Executive Institutions	20%
			Strength of Civil Society and the Judiciary	20%
	Policy Effectiveness	60%	Fiscal Policy Effectiveness	30%
			Monetary and Macroeconomic Policy Effectiveness	30%
	Adjustment to Factor Score	0 - 3 notches	Government Default History and Track Record of Arrears	
		0 - 3 notches	Other	
Factor: Fiscal Strength	Debt Burden	50% ¹	General Government Debt / GDP t	25%
			General Government Debt / Revenue t	25%
	Debt Affordability	50% ¹	General Government Interest Payments / Revenue t	25%
			General Government Interest Payments / GDP t	25%
	Adjustments to Factor Score	0 - 6 notches	Debt Trend $t-4$ to $t+1$	
			General Government Foreign Currency Debt / General Government Debt t	
			Other Non-Financial Public Sector Debt / GDP t	
			Public Sector Financial Assets and Sovereign Wealth Funds / General Government Debt t	
		0 - 3 notches	Other	
Factor: Susceptibility to Event Risk	Political Risk	Minimum Function ²	Domestic Political and Geopolitical Risk	
	Government Liquidity Risk	Minimum Function ²	Ease of Access to Funding	
			0 - 2 scoring categories	Adjustment to Sub-factor Score High Refinancing Risk
	Banking Sector Risk	Minimum Function ²	Risk of Banking Sector Credit Event (BSCE)	
			Total Domestic Bank Assets / GDP t	
	External Vulnerability Risk	Minimum Function ²	0 - 2 scoring categories	Adjustment to Sub-factor Score
			External Vulnerability Risk	
	Adjustment to Factor Score	0-2 scores	0 - 2 scoring categories	Adjustment to Sub-factor Score

Source : Economic Survey 2020-21, Volume 1



Figure 43: Fitch's credit ratings methodology

Analytical pillar	Structural features	Macroeconomic performance, policies & prospects	Public finances	External finances
SRM weights (%)	53.7	10.9	18.0	17.4
SRM variables	Measure	Impact	Weight (%)	Coefficient
Governance indicators	Latest	Positive	20.4	0.075
GDP per capita	Latest	Positive	12.3	0.040
Share in world GDP	Latest	Positive correlation with size	13.2	0.607
Years since default or restructuring event	Latest	Negative	6.4	-2.481
Broad money supply (% of GDP)	Latest	Positive	1.4	0.185
Overall weight in SRM			53.7	
SRM variables (%)	Measure	Impact	Weight (%)	Coefficient
Real GDP growth volatility	Latest	Negative	4.9	-0.767
Consumer price inflation	3-year centred average	Negative	3.1	-0.056
Real GDP growth	3-year centred average	Positive	2.9	0.093
Overall weight in SRM			10.9	
SRM variables	Measure	Impact	Weight (%)	Coefficient
Gross general govt debt/GDP	3-year centred avg	Negative	8.0	-0.021
General govt interest (% of revs)	3-year centred avg	Negative	4.7	-0.046
General govt fiscal bal./GDP	3-year centred avg	Directional	3.0	0.055
FC govt debt/gross govt debt (%)	3-year centred avg	Negative	2.4	-0.006
Overall weight in SRM			18.0	
SRM variables	Measure	Impact	Weight (%)	Coefficient
Reserve currency flexibility	Latest	Positive	7.8	0.551
Sovereign net foreign assets (% of GDP)	3-year centred avg.	Positive	6.7	0.011
Commodity dependence	Latest	Negative	0.8	-0.003
Foreign exchange reserves (months of CXP) ^a	Latest	Positive	1.3	0.027
External interest service (% of CXR)	3-year centred avg.	Negative	0.7	-0.012
Current account balance + foreign direct investment (% of GDP)	3-year centred avg.	Directional	0.2	0.002
Overall weight in SRM			17.4	

Source : Economic Survey 2020-21, Volume 1



Appendix 1

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AI's tightest bottleneck: Memory chips

June 18, 2026

Figure 1: Key Terminology

DRAM	Dynamic Random-Access Memory: One of two main memory technologies (50-60% of annual industry revenue). DRAM is fast, volatile working memory that serves as a temporary system memory. It offers low latency for frequent reads/writes, but is volatile and must be refreshed constantly, which adds to power use. It primarily sells into data centre, client PC, graphics, industrial and automotive end-markets, and is highly concentrated, dominated by three players: SK Hynix (36%), Samsung (33%), and Micron (24%).
NAND	NOT-AND: One of two main memory technologies (30-50% of annual industry revenue). NAND is non-volatile flash storage used to keep data when power is off. Because of this it is useful for applications in the data centre, client PC, consumer and automotive end markets.
HBM	High Bandwidth Memory: A specialized form of DRAM, built by stacking individual DRAM dies vertically to create the ultra-fast, high-bandwidth memory used directly in AI accelerators and high-performance computing. Key applications of HBM include AI/Machine Learning, Data Centres, Graphics Processing and High-Performance Computing.

Source: Deutsche Bank Research

In 2026, we can no longer ignore the memory market's parabolic rise. The largest memory chipmakers, SK Hynix, Micron and Samsung Electronics are each now valued above \$1trn in market cap – a feat considering they represent over 90% of the DRAM market. What is happening in the memory market to drive these geometric valuations? Behind the ascent, the answer is more worrying than current prices would seem to suggest.

The reason is that the global race for AI is driving a supply-displacement shock into the memory market. And as the industry shifts from standard large language model (LLM) response to autonomous agents that observe, reason, plan and act (Agentic AI), this problem will only get more acute.

While memory has historically suffered a boom-and-bust cycle, the exponential demand from AI suggests the current cycle is more structural than cyclical. In this case, chipmakers' ability to deliver cannot keep pace with the surge in hyperscale demand for memory used in AI. And given it takes years for chipmakers to build fabs for memory chip production, we should expect a multi-year supply shock that constrains the rate of progress in AI. More worryingly for corporations and consumers, the vast amount of memory being swallowed to produce HBMs means less is being allotted to produce other types such as standard DRAM, which is used in the everyday applications the global economy depends on.

As a result, the shortage facing the memory industry has massive repercussions for the individual consumer. Just this month, nine US trade associations representing the automotive, consumer electronics, medical devices, telecoms and retail industries sent a letter to US Treasury Secretary Scott Bessent and Commerce Secretary Howard Lutnick warning of the consequences the AI-fuelled rush for memory will have on the US economy.¹

Lastly, the memory shortage creates a new dimension in US-China tech competition. For China, the repercussions are double-edged. On the one hand, the shortage constrains

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¹ <https://cryptobriefing.com/us-memory-chip-shortage-ai-boom/>



Chinese chipmakers further in the broader logic-chip and AI build-out. China's AI self-sufficiency is constrained by its access to both high-end compute and memory. Without them, its performance in AI processing and inference remains limited. On the other hand, the vacuum of memory chips needed to power traditional devices opens a space for lagging-edge (older, less advanced process node) Chinese memory makers like ChangXin Memory Technologies and Yangtze Memory Technologies Corporation. As Western non-AI corporations are squeezed out of the memory market, the possibility they could turn to Chinese memory manufacturers instead is growing.

1. The squeeze: What's actually happening in memory?

(i) The demand side: AI's bottomless appetite

The problem facing the memory industry is that there is not enough supply to meet the exponential demand for AI inference.

The crisis partially lies in high-bandwidth memory (HBM), a "memory stack" that layers individual DRAM dies into the ultra-fast, 3D memory needed to process AI models. For example, an AI chip, such as an Nvidia GPU, can only compute on data that is loaded onto it; memory does the holding and feeding of that data into the models. Memory has two dimensions: capacity (how much data fits) and bandwidth (how fast it moves). Without memory, chips cannot compute or train AI models – and without it, companies cannot run a trained model to perform an agentic task (inference).

In addition, the fast-evolving AI landscape is beginning to require more expansive memory consumption across other areas of the memory stack beyond. In particular, the shift from human-driven generative AI to inference and agent-driven AI is driving another leg up for DRAM bit demand. Agentic AI systems, unlike traditional AI models, can store and recall past experiences, learn from interactions, and maintain context, leading to more coherent outputs. This requires various types of memory to function effectively, spanning across other memory devices (DDR5, LPDDR, NAND).

Memory also dictates the pace of AI advancement, because companies cannot scale on compute alone. This is the "memory wall" problem: beyond a point, peak computational performance cannot be reached without expanding memory bandwidth. In other words, increasing computing power without increasing memory bandwidth eventually limits the benefits of the compute itself.

Thus, the accelerating need for memory is – alongside compute – a defining bottleneck for AI progress². But memory has arguably become a tighter near-term constraint, given its manufacturing and supply limits: HBM bandwidth for inference-heavy workloads, HBM/packaging capacity, and capacity for traditional DRAM for long-context queries as the determining factor for how fast compute can be deployed. Micron's CEO has called memory the backbone of AI, noting: "as AI models grow larger and inference requirements continue to rise – AI moving from training to inference, and from data centers to the edge – the demand for storage will only increase. It requires greater capacity, higher performance, and lower power consumption."³ As a result, hyperscalers (the largest cloud operators) like Meta, Amazon and Microsoft need vast quantities of HBM both to hold the model and to keep the compute from sitting "idle." In recent years, they have driven the memory market and last year total revenues increased by 35% y/y to a record \$223bn⁴.

² In the AI tech stack, compute is made of GPUs, TPUs, and other AI accelerators, while memory refers to where the data sits. That can include the model's weights, the intermediate activations produced during a forward pass, the KV cache used during inference, etc. Memory has two relevant dimensions: capacity (how much data it can hold) and bandwidth (how fast data can move between memory and the compute units) For those interested in reading more of our work on the compute bottleneck, please reach out.

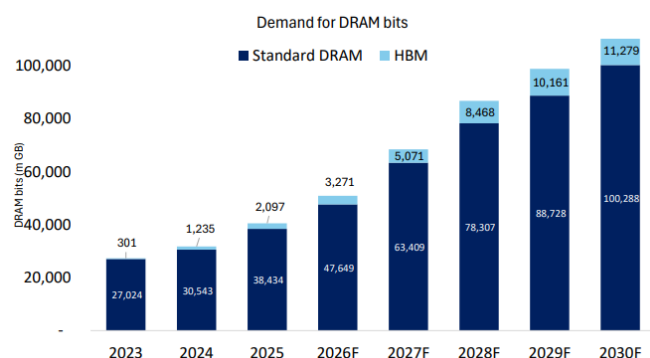
³³ https://news.futunn.com/en/post/74269829/micron-ceo-memory-is-the-overlooked-bottleneck-in-ai-supply?level=1&data_ticket=1781437411630811

⁴ [Global Automotive: DRAMa ahead? - Deutsche Bank Research](#)

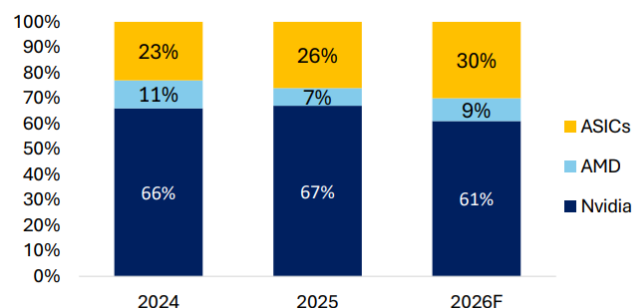


Our equity analysts forecast HBM demand to grow at a ~40% CAGR through 2030, versus a ~21% CAGR in demand for standard DRAM (the chips used for everyday consumer computing and standard cloud databases).⁵ This is because hyperscalers will pay premiums over automotive, consumer-electronics, and industrial buyers, and will sign multi-year lock-ins to secure supply.

Figure 2: Standard DRAM demand grows at +21% CAGR through 2030, vs HBM at +40% **Figure 3: HBM demand breakdown by major customers through 2030**



Source: Deutsche Bank equity analyst research.



Source: Deutsche Bank Equity Team. For more, see [here](#) and [here](#).

(ii) The supply side: Why fabs can't follow

The inability of supply to meet outsized demand is compounded by the lead-time needed to construct more fabs. Memory fabs (fabrication plants) are among the most expensive and complex facilities to build, with a 2-3 years construction timeline. Most announced projects will not contribute meaningfully to HBM capacity until 2027 at the earliest.

The complications of HBM production exacerbate the memory shortage crisis. HBM is made from DRAM, but producing one additional bit of HBM requires around 3x more silicon.⁶ That means every wafer directed to HBM consumes multiple wafers' worth of standard DRAM/NAND capacity needed for end-markets like automotives and PCs – creating shortage risk across not just the AI segment but all memory types. As this ratio moves from 3x to 4x silicon needed with HBM4/HBM4e, the crowding-out effect will worsen. For example, facilities and tools that would have served conventional memory are being redirected to HBM; “clean room space” – the ultra-sterile environments where wafers are processed – is at its limits, forcing manufacturers to choose what to build on finite factory floors. Anecdotally, Micron has said it can fulfil only 50% to 2/3 of demand from several key customers, describing the demand-supply gap as the largest it has ever seen.⁷ Qualcomm has also said that the size of the 2026 handset market will be defined by DRAM availability rather than consumer demand.

Our Deutsche Bank equity analysts' DRAM demand-supply model projects continually tight supply demand conditions in the coming years (beyond 2028). Growth in WSPM is expected to still lag accelerating demand for DRAM wafers over the coming years, even despite new fab announcements and project expansions by top DRAM suppliers.⁸

DRAM now represents ~70% of the memory market – up from its historical 50-60% range, as the HBM boom lifts DRAM's share of revenue.

⁵ [Global Memory: Updating our DRAM D-S model; Industry imbalance set to persist](#)

⁶ Otherwise known as the HBM trade ratio.

⁷ <https://www.techradar.com/pro/we-are-only-able-to-supply-for-our-key-customers-in-the-midterm-about-50-percent-to-two-thirds-of-their-requirements-micron-ceo-forecasts-production-spend-increase-to-meet-the-insane-demand-for-memory-but-the-ram-crisis-will-only-get-worse>

⁸ WSPM stands for Wafer Starts Per Month, which measures the number of raw silicon wafers that enter a fab's manufacturing pipeline every month. That is the university industry standard metric to measure and express the max production capacity of a fab.



2. The spillover: Why it matters beyond AI

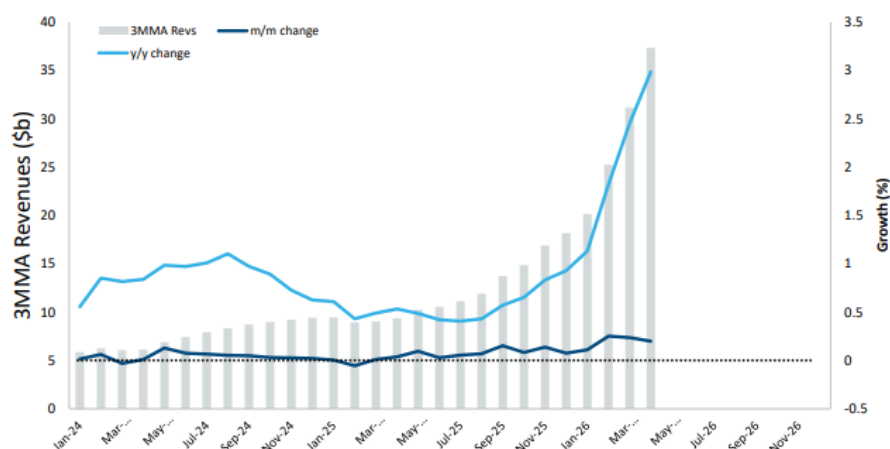
(i) Prices, mix shift, and the HBM-vs.-DRAM squeeze

The overwhelming demand for AI compute and inference means US hyperscalers will pay premiums to lock in future supply. Examples include SK Hynix's supply agreement with OpenAI for the Stargate Project, Samsung reported long-term deals with Google and Microsoft, and Micron's first five-year strategic agreement.

To meet surging AI demand, chip suppliers are reallocating their capacity towards more HBM production and pulling out of older segments. The result is an industry cycle shift, in which standard DRAM and NAND are also pulled into data centres and tighten supply, hitting non-HBM buyers in energy, consumer electronics and appliances. TrendForce predicts standard DRAM contract prices will rise 58-63% q/q in Q2 2026, with NAND flash contract prices up 70-75% q/q.⁹

We are seeing this today not just in leading-edge pricing: in Q1 2026, there was an uptick in lagging-edge pricing for the first time in two years, as increases filter into mature chip categories.¹⁰ Price rises are set to spread to server CPU, storage, substrates and passives, while several of the largest mature foundries – Vanguard, Powerchip and Nexchip – reported they would raise prices by up to 10% or more, driven by a 5% increase in costs.¹¹

Figure 4: 3MMA DRAM revenues continued to surge in April, growing to \$37.3bn (+299% y/y)



Source: Deutsche Bank equity analyst research, SIA. Notes: 3MMA = 3 month moving average.

(ii) Who can cope, and who gets rationed?

The shortage is affecting all direct users of memory. But hyperscalers and AI cloud providers remain the best positioned overall to weather it, because they can price AI compute services to reflect the underlying input costs.

With AI absorbing all the silicon, broader corporates and consumers are being squeezed and rationed. Lenovo, Dell Technologies, Apple and HP have sounded alarms on rising memory costs. The effect is global: Taiwanese manufacturers Acer and ASUS, and Chinese smartphone company Xiaomi have also issued warnings.

(iii) The most exposed sectors, bypass-through power

Of the key memory end-markets – data processing, communications, consumer and industrial – those most exposed to the AI squeeze are PCs (within data processing), consumer electronics (within consumer), and automotives (within industrials).

⁹ <https://www.trendforce.com/presscenter/news/20260331-12995.html>

¹⁰ Semis skimmed: Pricing and lead time tracker: Mar 2026. Deutsche Bank Equity Research.

¹¹ Semis skimmed: Pricing and lead time tracker: May 2026 - Deutsche Bank Equity Research



Starting with automotives: suppliers that sell complete technology systems to manufacturers such as Ford and Toyota have among the highest exposure to memory chips. These suppliers embed DRAM across the vehicles to help drivers use cockpit infotainment and navigation, advanced driver-assistance systems, and more. In 2026, companies such as Aptiv, Aumovio and Ford have signalled low DRAM supply despite efforts to secure inventory and contracts. With inventories set to drain through 2026, our equity analysts see potential impact on production volumes from 2027.¹²

Still, these suppliers may be best positioned among non-AI buyers, given their recovery mechanisms established after the 2021 chip shortages and these companies' ability to pass costs to the equipment manufacturers like Ford and Toyota, who have more limited consumer pricing power. Our DB models estimate the inflated cost of DRAM raises the price of an average vehicle by \$150-300 for luxury high-end models, and \$400-600 for vehicles with higher-level autonomy.¹³ These carmakers therefore can either absorb the cost and compress margins, pass it to consumers, or strip out some DRAM-intensive features such as L2+ autopilot capabilities or GenAI chatbots.

Consumer-electronics manufacturers and PCs are also highly exposed to the memory crisis, via margin compression and softer unit volume. Compared with automotives, this sector faces a greater challenge because it has the weakest pass-through capacity among the sectors. Price sensitive categories – smartphones, traditional phones, PCs, smart TVs, gaming consoles and tablets – all face rising memory costs per unit. Total consumer revenues also fell -10% q/q in Q1 this year, with most weakness from AMD's and Nvidia's consumer businesses. Our equity team expects total consumer end-market revenues down -15% y/y in 2026, recovering +9% y/y in 2027.¹⁴

The consequences of memory's supply disruption amongst consumer electronics are being echoed publicly across large corporations. In Apple's Q1 earnings call, its CEO warned that higher memory costs are just the beginning and that the company was facing supply constraints.¹⁵ While Apple has not detailed its options, it has reportedly quietly reduced the maximum memory capacity offered on several of its computers.¹⁶ It is not just Apple: Dell and Microsoft are also paring back their configurations to manage input costs, rather than pass them onto the individual buyer. or Microsoft, even as the company advances in AI with its Copilot+ – quietly cut its new surface for Business laptops to as little as 8GB of RAM (down from 16GB previously) on entry-level configurations to mitigate the DDR5 costs.¹⁷

Figure 5: Who is exposed?

Data Processing	Communications	Consumer	Industrials
PCs Servers	Wireless Wireline	Consumer electronics	Manufacturing Automotive Aerospace & Defence MedTech

Source: Deutsche Bank Research

¹² [Global Automotive: DRAMa ahead? - Deutsche Bank Research](#)

¹³ [Global Automotive: DRAMa ahead? - Deutsche Bank Research](#)

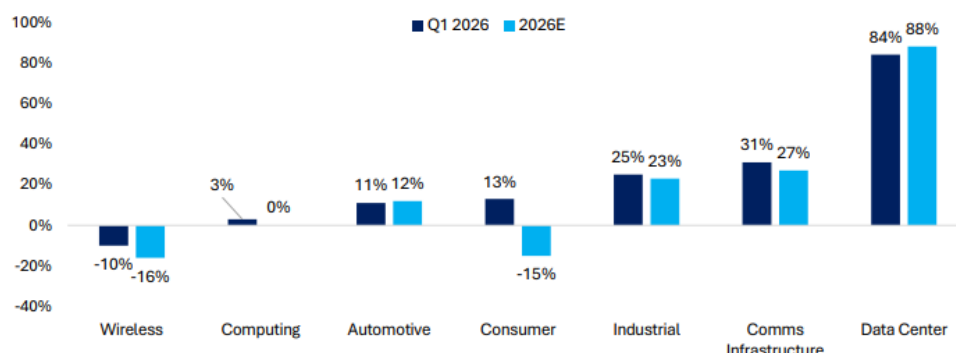
¹⁴ [US Semiconductors: Quarterly End-Market Monitor - Deutsche Bank Research](#)

¹⁵ [Apple CEO warns of memory crunch. 'We'll look at a range of options'](#)

¹⁶ [Apple quietly axes 128GB Mac Studio amid supply constraints and local AI frenzy — highest memory capacity reduced to 96GB, two months after discontinuation of 512GB model | Tom's Hardware](#)

¹⁷ <https://www.tomshardware.com/laptops/8gb-of-ram-is-back-on-laptops-companies-are-lowering-memory-offerings-to-make-affordable-notebooks-during-component-crisis>

Figure 6: End-market growth, Q1 vs. 2026 estimates



Source: Deutsche Bank equity analyst research

(iv) The macro spillover: the chipflation tax

With companies in consumer electronics and appliances for example forced to bear rising costs, the risk of a “memory inflation tax” on consumers is growing.

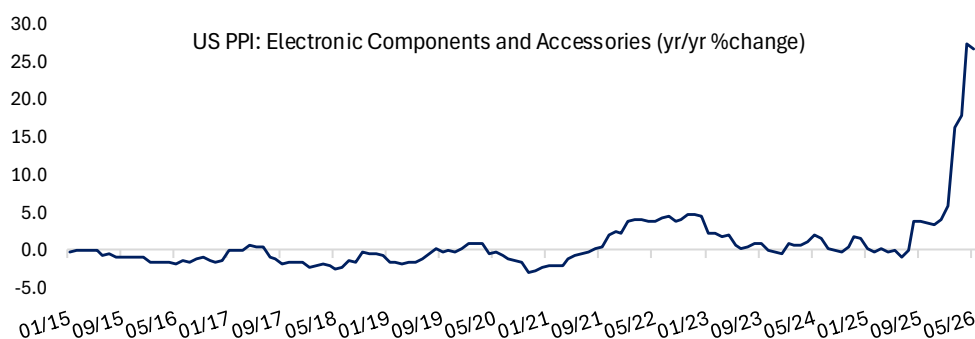
This is happening because end-product manufacturers – across PCs and smartphones for example – face severe Bill of Materials (BOM) cost pressure from the reallocation of silicon towards AI infrastructure. When memory prices surge, products with memory-heavy BOMs meet sharp production-cost increases, forcing companies to redesign or pass the “tax” down to consumers. We detailed the automotive and smartphone trade-offs above; if firms pass costs through, the average person takes a direct price impact. PC vendors Lenovo, Dell and ASUS have already warned of potential 15-20% price hikes and contract resets, with Lenovo and Dell starting increases this July.¹⁸

Consumers may also face financing and long-term stress: higher vehicle prices, for example, could push buyers into longer loan terms and higher total interest payments over the life of the asset.

In short, the memory-supply crisis has the potential to inflict acute second-order macroeconomic effects. The AI squeeze is crowding out the economy’s ability to serve the day-to-day needs of ordinary people. Qualcomm and AMD have both flagged memory constraints actively hitting consumer-device demand.

We are already seeing it in US purchasing price inflation (PPI): the electronic components and accessories – which captures semiconductor and memory-devices prices – rose +26.9% y/y in May, up from +5.9% y/y rise in January. That, in turn, is pushing up upstream input costs between the businesses that trade these materials.

Figure 7: The sharp rise in PPI for electronics is driven by surging memory-driven chip costs



Source: Deutsche Bank Research, Haver.

¹⁸ <https://www.trendforce.com/news/2026/06/10/news-lenovo-reportedly-set-for-july-price-hikes-across-product-portfolio-as-memory-costs-pressure-pc-market/>



3. Fault lines: The geopolitics of memory

(i) Winners and losers, country by country

South Korea is heavily exposed to the energy-intensive global AI capex boom, as its two tech giants (SK Hynix and Samsung) benefit from specializing in memory for AI data centres. The two companies account for around 69% of global DRAM production. However, that success heavily dictates Korea's economy, and when memory falls it drags Korean markets down with it. For example, after semiconductors melted down on June 8, the tech-heavy Kospi fell -8.29%, its ninth worst day in more than 12,000 trading sessions since Bloomberg data began in 1980. And earlier, in late March, Google's publication of a research algorithm called TurboQuant – which reduces the memory needed to run AI inference – also sent SK Hynix and Samsung shares lower. In short, the winners of the AI trade can quickly become the biggest losers if the gamble for global AI buildout fails.

China's semiconductor exports have also risen, as firms like CXMT (which specializes in DRAM), and Yangtze Memory Technologies (which specializes in NAND) capitalize on industry's shift towards HBMs, which has left supply for standard DRAMs tighter. Exports surged by 72.6% y/y (in dollar terms) between Jan-Feb 2026, with memory the largest and fastest-growing category: customs data show memory exports soared 81.6% y/y (in dollar value) in Dec 2025.¹⁹

At the same time, Chinese companies are also hurt by the memory squeeze, as waiting lists for advanced memory and compute lengthen. Vendors (CXMT, JHICC) are expanding aggressively but are constrained to lagging-edge DRAM by US export controls. For example, CXMT's Shanghai fab expansion will add up to 200k wafers per month by 2030 but only begins high-volume manufacturing in 2027. Chinese producers will relieve some pressure in low-end commodity segments but cannot address the HBM or automotive-grade DRAM shortage. US export controls have severely limited domestic fabrication capacity, so Chinese supply cannot substitute for the premium segments most affected. Ultimately, Chinese memory companies will be confined to lower-performance end-uses and will remain well behind in HBM.

The United States is home to Micron (24% of global market share) and is the largest region by memory revenue. Outside AI buyers, there is real potential for US corporates and government to lean on China's lagging-edge advantage as a partial answer to the AI memory squeeze. For instance, in February, the Pentagon quietly removed China's CXMT and YMTC from its restricted-companies list, which makes US sourcing Chinese memory and NAND more plausible – though it is too early to judge whether adoption follows.²⁰ Several tech companies, including Apple and major PC OEMs like HP and Dell, are reportedly exploring or qualifying partnerships with Chinese memory makers to diversify supply chains and combat rising memory costs.

The geopolitical stakes are serious. Every dollar into CXMT and YMTC also benefits companies widely viewed as national-security risks – a hard case to make when the current US administration's priority has been to decouple from China (as evident from the MATCH Act). Whether US tech companies actually embark on these partnerships is uncertain. As noted earlier, China is confined to the lagging edge, so it would be difficult to justify a company like Apple shipping more phones built on a less advanced node than prior versions.

Congress has introduced the US MATCH Act, which aims to restrict countries from buying semiconductor manufacturing equipment technology from the US and its trade partners that they cannot build themselves. Importantly, MATCH designates restrictions on CXMT and YMTC across exports, servicing, and technical support. It has received broad bipartisan support but blowback from US chipmakers, who warn of further memory price

¹⁹ Gavekal, China Customs Administration

²⁰ https://wccftech.com/cxmt-ymtc-removed-from-pentagon-list-opening-door-for-chinese-dram-adoption/?utm_source=substack&utm_medium=email



rises, as the Act could cap global production capacity and shift pricing power back to a dominant Western-aligned oligopoly. Micron alone has publicly backed MATCH – unsurprisingly given it is in the company’s interest to maintain price advantage.²¹ If MATCH were to be implemented, it would have severe consequences for China’s ability to industrialize.²²

4. Breaking the bottleneck: What could actually fix it

(i) Building more fabs (and why it’s slow)

To meet ongoing demand, the big 3 players are raising capex to help break the memory bottleneck. Our latest DB estimates place total DRAM wafers per month estimate to increase by +1,475k WSPM over the next five years, due to a variety of new fab announcements/expansions/accelerations.²³ Micron remains at the heart of a transformative moment in the memory industry, with a \$200bn commitment to expand its memory capacity in the US, and will benefit from sustained tightness in demand. As we expressed earlier, however, fab construction is a multi-year process and will come online only after the peak of the shortage in the industry occurs.

Samsung, SK Hynix and Micron are trying to pull the timeline forward by buying partially finished or existing facilities. One example is Micron’s \$1.8bn acquisition of a used fab from Powerchip Semiconductor Manufacturing Corporation (PSMC) in Taiwan earlier this year, which lets Micron skip the roughly 2-year timeline needed to build a facility from scratch.²⁴ We expect other memory companies to follow in Micron’s lead. Samsung is also reportedly negotiating long-term deals with Google and Microsoft, while Micron has disclosed its first five-year strategic customer agreement.

Whether China can be a credible player is still hard to gauge, as many new Chinese fabs remain under construction. But as we said before, these would primarily address lagging-edge memory demand, and the US export controls have severely limited China’s ability to fabricate at more advanced nodes.

(ii) Beyond fabs: Algorithms, SRAM and yield

Google’s unveiling in March of an algorithm that requires less memory to serve LLMs (“TurboQuant”) caused a sharp decline in the share price of Samsung (-6%), Micron (-7%) and SK Hynix (-7%) on the day.

However, the subsequent recovery in the memory market underscores that experiments like TurboQuant have yet to convince investors or AI accelerators that they a breakthrough is at hand that would turn the memory boom to bust. The key reason is scope: TurboQuant compress the inference-time KV cache – not model weights or training memory. While both focus on reducing memory bottlenecks, KV caching speeds up generative inference, whereas training memory optimization allows models to process massive datasets during the learning phase. Therefore, TurboQuant’s potential impact was only limited to a part of total AI memory demand. More fundamentally, because cheaper inference historically expands total usage – the Jevons Paradox – such efficiency gains may ultimately lift, not cut, aggregate memory demand.

Still, TurboQuant is likely the first of several attempts to reduce reliance on HBM. Other strategic efforts include improved KV-cache eviction (such as Nvidia’s inference context memory storage system) and greater reliance on SRAM.

There will likely be more attempts to upgrade node conversion (upgrading the manufacturing process to print smaller circuits) and yield improvements (the share of chips on a wafer that actually work). Both aim to lift the capacity of existing memory

²¹ <https://finance.yahoo.com/economy/policy/articles/micron-backs-match-act-policy-180733909.html>

²² https://www.kim.senate.gov/press_release/senators-kim-and-ricketts-introduce-match-act-to-level-the-global-playing-field-for-u-s-tech/

²³ [Global Memory: Updating our DRAM D-S model; Industry imbalance set to persist - Deutsche Bank Research](#)

²⁴ <https://investors.micron.com/news-releases/news-release-details/micron-signs-letter-intent-purchase-tongluo-site-begin-0>



production rather than building new fabs. The memory industry will nonetheless continue to face headwinds in bringing incremental capacity online.

Conclusion: From commodity to macro variable

The production of memory chips is becoming a zero-sum game. For every wafer devoted to HBM stacks for AI servers, others are unavailable for smartphones, PCs, or vehicles. And because the shortage will reverberate across key economic systems well beyond AI – hurting the average consumer via memory-cost inflation – memory chips have transitioned from a pure commodity to a distinctly macroeconomic variable.

The companies best positioned to survive the structural dynamics of the memory industry are, of course, the hyperscalers and AI cloud providers. And Micron stand out as a clear winner of the current shortage. For traditional PCs and smartphone manufacturers, memory is critical to device function, but unlike in AI, adds little value at higher performance or capacity; their objective is to minimize cost per bit while keeping systems efficient. As a result, the insatiable needs of the AI buildout are consuming capacity that would have gone to consumer-end markets. Consumer electronics, automotives and automotive-system suppliers will face headwinds large enough that sustained DRAM inflation will have a measurable inflationary impact in 2027, hurting average customers.

Looking ahead, the question worth considering is what the macroeconomic consequences would be if the AI gamble fails. Where would all the HBM and silicon capacity go? The sharp swings triggered by events like TurboQuant show that if AI demand moderates even modestly, the market could swing from severe shortage to meaningful oversupply relatively quickly.

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[Monthly SIA Data Digest: April 2026: Slight m/m dip, but better than expected vs. seasonal norms](#)

[Micron: A trip down memory lane; Initiate with Buy rating](#)

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Is the ceasefire a reset? Iran, the US and the Middle East they can't restore

June 15, 2026

The US and Iran have announced a framework agreement to end hostilities, setting the stage for a formal signing in Switzerland and sending markets rallying with oil tumbling. This landmark deal, a potential "win" for the Trump administration, Iran's resilience, and Israel's strategic gains, redefines the Middle East landscape. However, the path ahead is complex: watch for implementation disagreements, Gulf states' security demands, and Iran's continued leverage over the Strait of Hormuz. We're also seeing accelerated UAE-Saudi tensions and a multipolarizing Gulf as China and Russia position themselves, marking a critical juncture for regional security and global energy markets.

Authors

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Context

On 14 June, the US and Iran announced a framework agreement to end hostilities, with a formal signing ceremony to take place on 19 June in Switzerland. Under the tentative agreement, the US would gradually lift its naval blockade on Iranian ports and relax sanctions/release frozen Iranian assets, in exchange for progress towards a technical agreement on Iran's nuclear programme. The agreement is meant to reopen the Strait of Hormuz and address the stickier questions of freedom of navigation through the Strait, Iran's nuclear programme, reconstruction, and sanctions relief among other issues.

Everyone "Wins"?

We have suggested since early March that President Trump would seek an off-ramp (see Thematic Research: The Persian Chessboard: Decoding Iran's Strategy Beyond a US "Victory") given the greater incremental gains for the US versus diminishing returns.

Despite only a framework agreement and the tremendous costs of military actions and the Iranian responses, the Trump administration can likely present a "mission accomplished" based on the extensive damage to Iran's military infrastructure, nuclear sites and air defences, a route to reopening the Strait of Hormuz, and a pathway to some nuclear agreement.

For the Iranians, Tehran's strategy of weaponizing regional and economic instability to make the conflict prohibitively expensive for its adversaries was largely successful (though much will depend on concessions to be made during the forthcoming negotiations). Nevertheless, the regime has demonstrated its resilience. For Israel, it was able to significantly harm Iran's military capabilities, address Iran's nuclear programme, and degrade Hezbollah's capabilities in Lebanon. This may provide President Netanyahu with a political boost in advance of competitive Israeli elections later this year.

What should we be watching next?

While markets are celebrating with significant rallies and oil tumbling to a three-month low, the reversion to the old Middle East status quo may take time to restore, if indeed that is possible.

What could derail the deal? There are many moving parts in negotiations and we should watch closely for disagreements over implementation (timelines, verification, etc.), Gulf states' requirements for security guarantees, and domestic political opposition from key parties. However, we assess that both the US and Iran are keen to press ahead with the framework agreement even if this doesn't lead to a full-scale peace agreement. A critical factor to watch will be the potential for Israeli aspirations in Lebanon to upend the deal. We suspect that there is significant US pressure on President Netanyahu to cease operations and accept the accrued gains to prevent a derailing of the deal.

Strait of Hormuz: Shipping isn't likely to be restored immediately given the challenges of de-mining, insurance premia remaining high, lack of trust until we see sustained stability over time, infrastructure repair to ports, terminals and regional energy infrastructure, and security guarantees. While Iran will probably be keen to



show goodwill, the Strait of Hormuz is its most important bargaining chip in negotiations – one that it will likely seek to protect. Whether any agreement on the Strait of Hormuz entails a “toll”, Iran's strategic leverage over the Strait could translate into long-term, persistent, albeit possibly intermittent, threats to navigation.

Why Iran may have won more than it lost: Despite significant military losses, Iran has demonstrated resilience through its military actions and a willingness to close the Strait of Hormuz. Crucially, the mere fact that the US came to the table validates Iran's long-standing insistence that it cannot simply be bombed into submission. Iran's ballistic missile programme remains and its proxy relationships with groups across the region, while weakened, have not been dismantled.

The regime that enters these negotiations is a harder one – the strikes killed many moderate figures – leaving a leadership cadre that appears more hawkish and defiant. In addition, surviving a confrontation with the US and Israel without surrendering also strengthens the regime's hand domestically. The deal's promises of potential sanctions relief and access to \$24 billion in frozen assets provides a much-needed economic lifeline to an Iranian government under severe financial pressure. For the broader Middle East, this sets an uncomfortable precedent for engagement with Iran in the longer term.

The New Middle East?

UAE-Saudi tensions: The conflict has exposed and accelerated fault lines between the UAE and Saudi Arabia that have simmered for years. The UAE's decision to withdraw from OPEC in May 2026, reportedly taken without prior consultation with Riyadh, is the most visible sign. This deepening rupture is driven not just by energy policy but also by broader strategic rivalries and competing visions for the region's future. We will be watching what that rivalry means for oil markets, regional security arrangements and Washington's ability to manage its Gulf alliances as a coherent bloc once the Iran crisis settles.

Gulf-US Relations: The Gulf states have responded cautiously but positively to the framework agreement, welcoming any steps that could reduce regional tension and improve stability. That said, we judge that they are keen to ensure that any lasting agreement entails enforceable security assurances and regional participation in future arrangements. In the aftermath of this crisis, Gulf ties with the US may be more complex, and we could see efforts toward greater economic and security diversification. Moreover, any outcome that leaves the Gulf states to deal with the consequences of a conflict that has already caused significant regional disruption would risk deepening existing fissures between the Gulf and the US and undermine confidence in long-term US commitments to regional security.

Multipolarizing the Gulf? Both China and Russia have welcomed the framework agreement. While Beijing has focussed on restoring stability in the Gulf and safeguarding international trade routes, Moscow has underscored respect for Iran's sovereignty and the importance of a negotiated political settlement. Both seem keen to ensure that any final settlement does not reinforce long-term US dominance in the Gulf. Indeed, both are benefiting from positioning themselves as defenders of international law and the post-WWII order, and may be able to make inroads with regional Gulf allies in the aftermath of the crisis, potentially at the US' expense.



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AI twist in the tale for Anthropic's Fable and Mythos

June 16, 2026

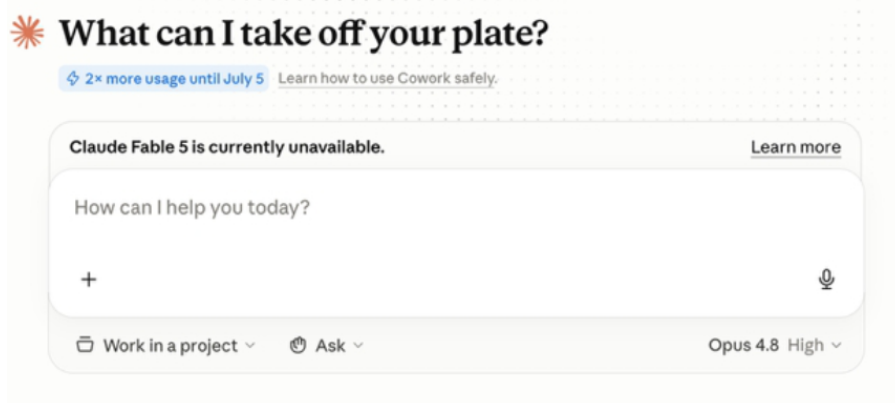
The story so far...

If you want to understand the implications of the abrupt switching off of Anthropic's Claude Fable 5 and Mythos 5 AI models globally due to US national security orders, just consider the likely reaction in the corridors of OpenAI, Washington and Brussels.

The US Commerce Department issued an export control directive late on Friday to suspend all access by foreign nationals to Anthropic's most advanced models, prompting Anthropic to disable access to all customers to ensure compliance.

The US said it had become aware of a method of bypassing, or "jailbreaking", Fable 5, the public version of Mythos 5, according to Anthropic. Mythos has only been rolled out to a few partners because of fears that it could be misused to exploit cybersecurity vulnerabilities. The startup disputed the concerns, which were reportedly raised by its partner Amazon with administration officials, saying: "We believe this is a misunderstanding." Further details remain hazy.

Figure 1: Anthropic's Claude Fable 5 is "currently unavailable"



Source: Anthropic's Claude desktop app, accessed June 14, 2026

Anthropic is in a race for funding in what could be a historic year for technology IPOs. After it announced on June 1 that it had confidentially filed for an IPO, OpenAI followed suit last week. Both are expected to take place later this year at valuations of more than \$1 trillion apiece.

What could this latest twist in the tale mean for a company growing at breakneck pace; its now smaller rival, whose ChatGPT chatbot is still the byword for AI outside Silicon Valley; a US government that sees an existential threat from China; and European governments already painfully aware of the continent's lagging position in the AI race?

Authors

Adrian Cox
Research Analyst



1. Short-term pain, but potentially long-term gain, for Anthropic

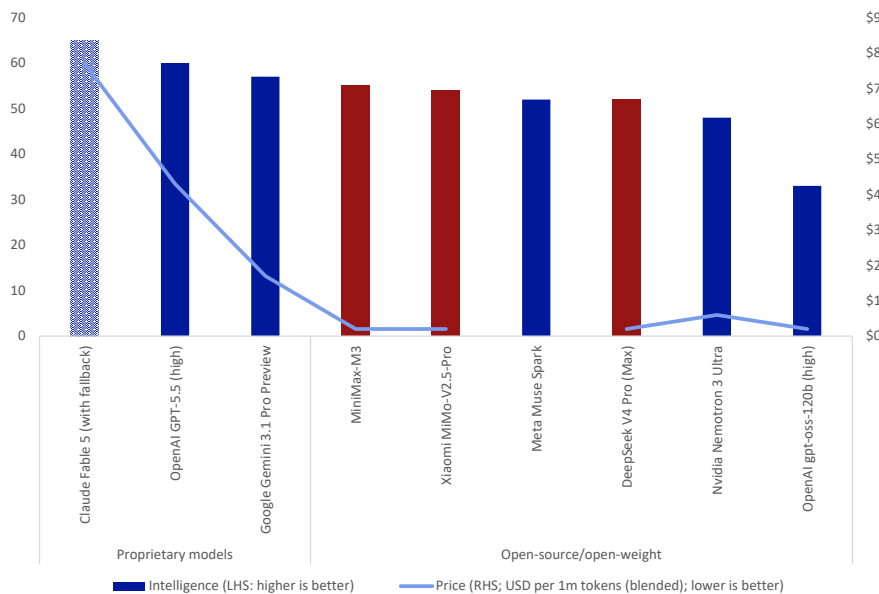
- What greater compliment than to be officially labelled too powerful to release? Nuanced questions of guard rails are likely to be overlooked in the face of marketing that money can't buy. It's like the Adidas running shoes that are so good they're banned in elite competitions. Even if Anthropic has to keep its most advanced models in a cage in the short term, in the longer term its reputation will likely have received a significant boost.
- The timing may be ideal, with a series of mega tech IPOs making huge valuations seem attainable, but also potentially forcing investors to pick a favourite or two amid concerns about how much the market can absorb.
- This is not the first time Anthropic has had a run-in with the US administration. In February, the Department of Defense designated the startup as a supply-chain risk, effectively blacklisting it from working with the US military and contractors, after Anthropic asked that its technology not be used for mass surveillance of Americans and lethal autonomous warfare. President Donald Trump posted that every federal agency should stop working with Anthropic. The company has taken the Pentagon to federal court. But if there were to be a change in the political winds, that could put Anthropic back on the government's books with its reputation stronger than ever.

2. Rising pressure on OpenAI's technology and business model

- OpenAI is under pressure as a potential IPO approaches. Anthropic has recently overtaken it in revenues (\$47bn annual recurring revenue at the end of May versus OpenAI's \$24bn at the end of March) and valuation (\$965bn post-money at the end of May in versus OpenAI's \$852bn in March). While models produced by the two companies have now been neck-and-neck for many months, this has been the first time that a model has been banned for being too smart.
- While OpenAI is still the leading consumer app by a country mile, reportedly having crossed the billion monthly users mark in May, only 50 million were paying for it at the end of February. Consequently, the company has sought to refocus around businesses, an area that Anthropic already dominates. OpenAI had nine million enterprise subscribers in February.
- The company is considering drastic price cuts ahead of similar cuts it expects at Anthropic, the Wall Street Journal reported last week, amid stiffer competition from open-source Chinese models that may be good enough for most applications at a fraction of the cost. When it was available, Claude Fable 5 cost \$7.70 per million tokens and GPT-5.5 cost \$4.30, according to a blended score from Artificial Analysis. Compare that with around 20 cents for a number of open-source models.



Figure 2: Slightly more intelligent proprietary models are significantly more expensive than open-source alternatives (chart includes selected models)



Source : Artificial Analysis Intelligence Index. "Fallback" mechanism routes safety-flagged messages to Opus 4.8 model. Meta Muse Spark price not available. US models in blue; Chinese models in red

3. Double-edged sword for US aim to dominate AI

- The move is the first time the US government has used export controls to stop access to a commercial AI model that is already widely used by the public. There is a risk that it backfires not only for a country that considers itself to be in an existential race for "global AI dominance" but also for US companies that rely on a global market to justify AI investments.
- The move echoes the now well-established policy of putting export controls on hardware, notably Nvidia's most advanced AI chips. Indeed, an unattributed report from Semafor suggested that the decision to ban foreign use of Mythos had been driven partly by suspicions that a China-linked group had accessed it.
- Five years ago, Chinese companies relied on US chips and developers built their software on its industry-standard CUDA platform. However, since the imposition of stiff export controls, starting under the Biden administration, Chinese companies led by Huawei have invested heavily in creating their own chips and AI ecosystem, eroding US leadership. While they are not yet at the cutting edge, they are gaining fast and may get a foothold in the rest of the world with unaligned countries that prefer cheaper alternatives to US technology.

4. Intensified calls for sovereign AI amid rising trade tensions

- The move casts an unforgiving light on more profound regulatory and strategic issues about sovereign AI: who controls the AI models, data and infrastructure. The US has half of the world's data centres and last year clocked up more than 20 times as much private investment in AI companies as China, the No. 2 country, with European companies far in the distance.
- The speed of the ban is likely to reinforce concern that access to all US technology could be suddenly switched off without warning. It may further propel efforts to diversify by companies such as financial institutions that depend on US technology for systemically critical infrastructure.



- The ban “further underlines Europe’s need for technological sovereignty,” the European Commission said over the weekend. The problem is that although Europe is home to a number of key AI-related engineering companies, it only has one notable AI model maker, France’s Mistral, and relies on non-EU countries for over 80 percent of key digital products, services, infrastructure and intellectual property. The Tech Sovereignty package announced on June 3 is an attempt to accelerate initiatives to build domestic capacity and autonomy across the stack.
- The move also plays into a wider theme of technological independence that has gained momentum with this year’s conflict in the Middle East and attacks on data centres highlighting the vulnerabilities of supply chains and dependence on other countries for data and compute.

Related relevant content

[Assessing AI in finance with Evident Co-CEO Alexandra Mousavizadeh](#) (June 9, 2026)

[ChatIPO: Quick take on OpenAI’s record-breaking IPO plans](#) (May 21, 2026)

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Capital allocation without Big Tech

June 15, 2026

The sharp sell-offs that have punctuated the AI-related stock market appreciation over the last few years have all come at times when investors have contemplated whether the AI business model is at a tipping point. This year's related IPOs have certainly entered into that realm.

The recent wobbles have also come as investors consider the financing methods of some of the largest hyperscalers which have signalled they are ready to turn to equity issuance to invest in AI capacity.

Apart from testing the pecking order theory of financing, these developments also have implications for aggregate capital allocation of the S&P 500 given the size of tech firms. So, in this short note we disaggregate buybacks, debt issuance and capex of the S&P 500 to quantify the impact of tech firms.

Amongst our key takeaways is that while tech dominance in the stock market is growing, other S&P 500 corporates offer solid fundamentals which means the bulk of companies in the index do not look overpriced. That should keep the potential fallout from any further AI disenchantment more contained than many currently fear.

Authors

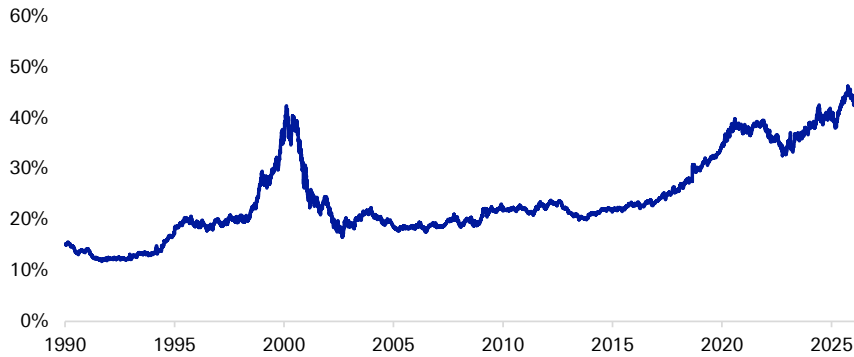
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Research Analyst



Tech dominance is back but its ranks are changing

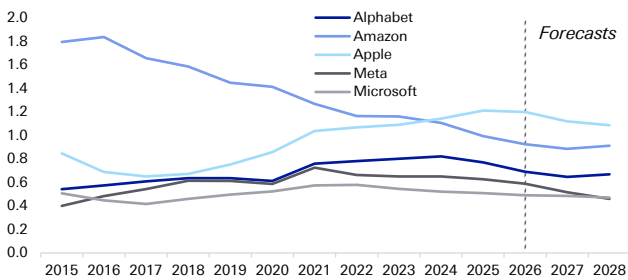
Figure 1: TMT companies market cap as % of S&P 500 total



Source : Bloomberg Finance LP, Deutsche Bank.

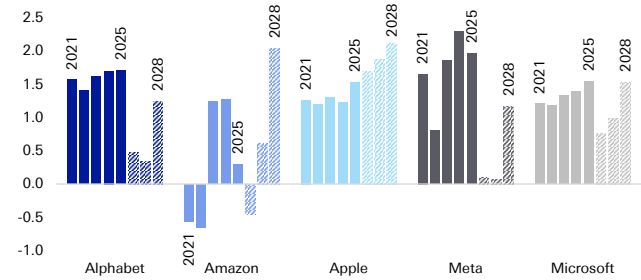
The run-up in the share of TMT companies' market cap relative to the S&P 500 total comes just as the biggest tech players that have propelled index fundamentals in recent years are expected to experience declines in free cash flow. That comes on top of slowing sales growth for some which will weigh on their asset efficiency, particularly given their capex plans.

Figure 2: Asset turnover of selected tech companies



Source : Bloomberg Finance LP, Deutsche Bank.

Figure 3: Free cash flow of selected tech companies, indexed to 2020 levels *

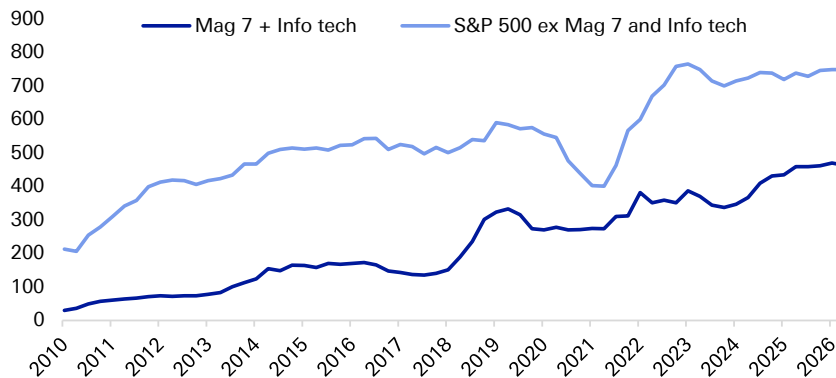


Source : Bloomberg Finance LP, Deutsche Bank. * Note: shaded areas are forecasts.

The cash drain from AI capex is a concern for investors in part because tech companies have offered strong payouts in recent years amidst record cash generation, including during covid when the aggregate for rest of the index declined.



Figure 4: Total payouts (\$bn, LTM) *



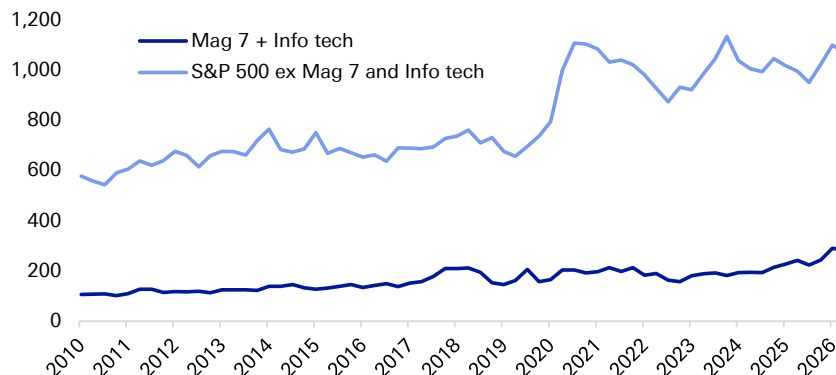
Source : Bloomberg Finance LP, Deutsche Bank. * Note: excluding financials, real estate and utilities.

When we now look at large non-tech American corporates, there are strong signs of resilience. This leads us to expect them to increase their investing and payout activities in the coming few years. That would be a pleasant contrast to the first half of this decade which was beset by various shocks and uncertainty amidst a changing geopolitical and economic backdrop.

Capital allocation trends of non-tech corporates look solid

Compared with the trend in payouts, the relative size of aggregate tech companies' actual cash pile is much smaller. While this reflects the differences in cash needs of business models and profitability, aggregate cash coffers are up by c 8% p.a. since 2019, outpacing inflation.

Figure 5: Cash & cash equivalents balances (\$bn) *

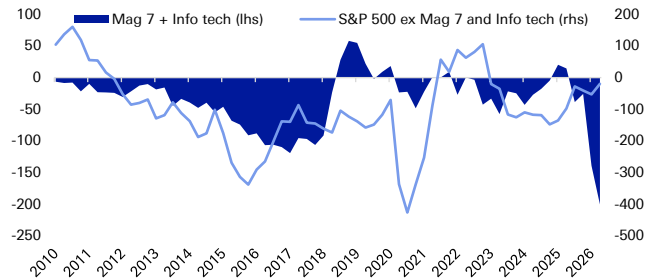


Source : Bloomberg Finance LP, Deutsche Bank. * Note: excluding financials, real estate and utilities.

Part of the reason for the increase in cash in non-tech companies is a turn towards relatively conservative capital allocation. Unlike tech companies, the rest of the S&P 500 corporates have been in cash-preservation mode, which is reflected in almost no new net borrowing in the last 12 months as well as a relatively slower increase in capex (+876% for tech and +62% for non-tech since 2019).

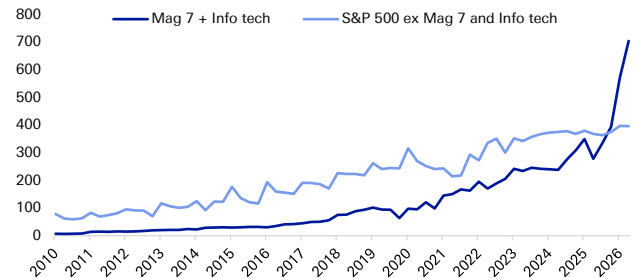


Figure 6: Cash spent on net debt (negative - more borrowing) *



Source : Bloomberg Finance LP, Deutsche Bank. * Note: excluding financials, real estate and utilities.

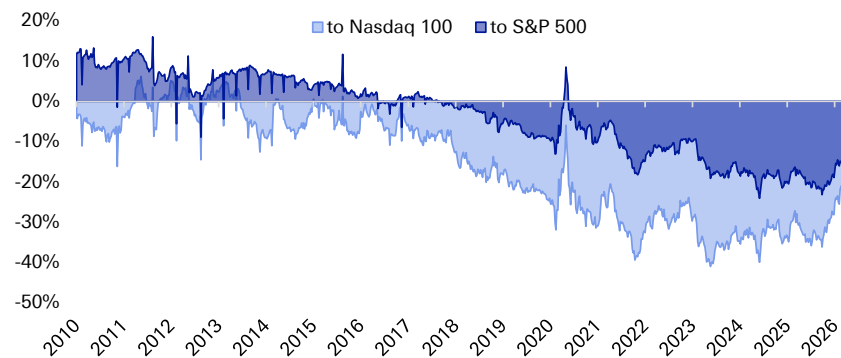
Figure 7: Reported capex, LTM \$bn *



Source : Bloomberg Finance LP, Deutsche Bank. * Note: excluding financials, real estate and utilities.

We believe this cash preservation is likely to change. Big M&A deals are already one of the signs that companies are looking to decrease their cash piles. This may help make non-tech corporates more attractive to investors and acquirors and, as the chart below shows, the equal-weighted S&P 500 continues to trade at c.15% discount to the market-cap index, and at 27% to the Nasdaq 100 (on a forward P/E basis). And while the non-tech firms are expected to have only 13.2% EPS growth in 2026 (23.7% for tech), that is ahead of Europe (11.2%) and Japan (10.5%).

Figure 8: Equal-weighted S&P 500, premium (+) / discount (-) to...



Source : Bloomberg Finance LP, Deutsche Bank.



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Research

The House View: Snapshot 1999 meets 1990

Deutsche Bank

Macro views

World

- Global growth at 3.0% in 2026 and 3.2% in 2027.
- Rationale:** A US-Iran deal may be possible in June, which would reopen the Strait of Hormuz and see Brent crude fall to \$86/bbl in Q4 and \$80/bbl in 2027. Current AI boom is also buffering the US and North Asia from the energy shock.
- Key risks:** War continues/worsens, oil market impact from prolonged Strait of Hormuz closure; AI sell-off sparks major market rotation. Upside risk is that there is further momentum from AI adoption/investment.

Europe

- 2026 growth cut to 0.5%. Technical recession cannot be ruled out; recovery expected from Q4, with 2027 growth of 1.1%.
- Rationale:** The energy shock has significantly impacted European activity. Fading energy shock effects and Germany's fiscal spending (defence and infrastructure) will start to dominate the growth outlook in the latter part of the year.
- Key risks:** If the Strait of Hormuz remains closed beyond June, it will weigh even more on growth conditions. Non-linear effects could become stronger.

China

- 2026 GDP growth forecast at 4.7% (down from 4.9%) due to softer domestic activity and policy fine-tuning.
- Rationale:** Strong trade activities are expected to offset weaker domestic demand. Reflation is accelerating, driven by crude prices pass-through to downstream products. Fiscal spending slowed since April, but a rebound is likely.
- Key risks:** High fuel prices reduce domestic and external demand, AI could boost productivity while negatively impacting the labour market.

United States

- 2026 growth is projected at 2.2%, supported by easy financial conditions, fiscal support and AI-driven capex.
- Rationale:** Labor market has stabilized and we expect this to persist with unemployment near recent levels into year-end ~4.3%. PCE inflation forecast has risen to 3.3% YE given recent outperformance and lift from energy prices.
- Key risks:** A more substantial oil price shock could weaken real disposable income; financial conditions might tighten, perhaps driven by concerns around AI disruption or (private) credit risks.

Germany

- 0.5% GDP in 2026 & 1.3% 2027. Fiscal deficit to widen to 4.1% of nominal GDP upon weaker growth.
- Rationale:** Cost-related headwinds and inflation induced weakening of private consumption to persist into H2 2026. The expected normalization of the global environment, combined with the domestic fiscal stimulus, should boost growth in 2027.
- Key risks:** Germany remains highly exposed to the energy cost shock and consequent deterioration of its current account.

India

- 6.7% y/y GDP for FY27 (prev. 7.5%). CPI to rise to 4.6% y/y in 2026; 4.9% y/y in FY27 given higher oil prices and risks of a sub-normal monsoon.
- Rationale:** Energy shock and sub-normal monsoon challenge growth forecast.
- Key risks:** If monsoon disappoints, real GDP growth could fall further to 6.3% y/y.

Key downside risks

- H** **Iran war.** Prolonged Hormuz closure could push Brent towards \$150/bbl, significantly hitting global growth and tipping Europe into recession.
- M** **Higher inflation / hawkish central bank pivot.** Persistent inflationary pressures have also led to a shift in the monetary policy cycle, with the Euro Area and much of Asia expected to hike rates this year, whilst the Fed also faces hawkish risks.
- M** **AI.** AI's job-loss and disinflation questions are overshadowed by the Iran War but will resurface post-conflict. Risks are concentrated in software/private credit, with defaults more likely a 2027–2028 story.

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June 2026

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Market views

	Market Sentiment	❑ Risk assets are outperforming amidst a return of AI excitement, in addition to recent moderation in oil prices. ❑ Equity and credit markets have been remarkably resilient against geopolitical shocks, yet sovereign bonds like 10yr Treasuries are still trading in a tight correlation with oil prices.
	Equities	❑ S&P 500 YE-2026 target: 8000; STOXX 600 YE-2026 target: 640. ❑ Strong Q1 earnings reinforce constructive outlook on equities, driven by Tech on the back of AI-related demand. ❑ Overweight Financials, Industrials & Healthcare; prefer US & Europe over Japan.
%	Rates	❑ 10yr UST at 4.70% YE-2026; 10yr Bund at 3.20% YE-2026. ❑ Fed is done cutting and on-hold at nominal neutral. Bund forecast revised based on view the ECB will hike 25bps in Jun & Sep, taking the deposit rate to 2.50%.
	Credit	❑ YE 2026 targets: \$IG 82bps; \$HY 305bps; €IG 95bps; €HY 345bps. ❑ Global credit spreads show resilience, particularly in the US, which displays low recession risks. ❑ Turn underweight €-credit over \$-credit due to Europe's economic sensitivity and ECB tightening.
	FX	❑ YE-2026 targets: EUR/USD to 1.20. ❑ Turn neutral on the dollar as Strait of Hormuz stalemate persists. An escalation in Iran and more hawkish Fed pricing may push EUR/USD below 1.15; conversely a quick reversal in oil prices plus surprise Ukraine-Russia peace deal could support a move above 1.25. Risks are finely balanced.
	Oil & Gold	❑ Brent \$99/bbl in Q3-26; \$86/bbl in Q4-26; WTI at \$94/bbl in Q3-26, \$81/bbl in Q4-26. Based on expectation that the Strait of Hormuz will normalize in June. ❑ Gold: YE-2026 target: \$5,800/oz, average \$6,000/oz through.
	Monetary Policy	❑ Fed: On hold at long-run neutral Fed Funds rate of 3.63%, but hawkish risks increasing. ❑ ECB: 25bp hikes in June and September, taking deposit rate upper end of neutral to 2.50% in 2026. ❑ BoJ: Quarterly 25bps hikes starting in June, bringing policy rate to 1.75% by April 2027. ❑ BoE: Bank rate unchanged at 3.75% in 2026. ❑ PBoC: Unchanged at 1.4% through 2026.

Key macro & markets forecasts

GDP growth (%)			Central bank policy rate (%)				Key market forecasts			
	2026F	2027F		Current	Sep 26F	Dec 26F		Current	Sep 26F	Dec 26F
Global	3.0	3.2	US: Federal Funds Rate	3.625	3.63	3.63	US 10Y yield (%)	4.54	4.60	4.70
US	2.2	2.2	Eurozone: Deposit Facility Rate	2.00	2.50	2.50	EUR 10Y yield (%)	3.04	3.10	3.20
Eurozone	0.5	1.1	Japan: Policy Balance Rate	0.75	1.00	1.25	S&P 500	7,387	7,500	8,000
Germany	0.5	1.3	UK: Bank Rate	3.75	3.75	3.75	Gold	4,168	5,500	5,800
Japan	0.7	0.7	China: 7d OMO Rate	1.40	1.40	1.40	EUR/USD	1.15	-	1.20
UK	1.0	1.2					USD/JPY	160	-	150
China	4.7	4.5								

2026 Macro events calendar

June 2026			July 2026			August 2026		
10	CA	Bank of Canada Decision	8	US	FOMC Meeting Minutes	6	EZ	ECB Economic Bulletin
11	EZ	ECB Decision	15	CA	Bank of Canada Decision	19	US	FOMC Meeting Minutes
15-16	JN	Bank of Japan Decision	23	EZ	ECB Decision			
17	US	Federal Reserve Decision	29	US	Federal Reserve Decision			
18	UK	Bank of England Decision	30	UK	Bank of England Decision			
25	EZ	ECB Economic Bulletin	31	JN	Bank of Japan Decision			



Recent editions

- ❑ [1999 meets 1990](#), 9 June 2026
- ❑ [The Impact of the Middle East](#), 10 March 2026
- ❑ [Anything but dull](#), 1 December 2025

Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s). In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Marion Laboure / Camilla Siazon / Jim Reid



Appendix 1

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Deutsche Bank
Research

Geopolitics beyond Iran

Events, trends and themes markets should be paying attention to

June 2026

Dr. Helen Belopolsky | Miha Hribernik

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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Beyond Iran: What should markets be paying attention to?

The Iran crisis has rightly dominated market attention since 28 February, given its far-reaching implications for the Middle East region and the global economy. But the world hasn't stood still during the conflict. This report takes us beyond the immediate headlines to the emerging geopolitical dynamics that could redefine market trajectories and create the next wave of strategic opportunities.

Even as US attention shifted toward the Middle East, the last several months saw signs of movement toward a potential ceasefire in **the war in Ukraine**, and a deal remains possible amid mounting war fatigue. Over the next year, Europe will face a number of key elections that will likely serve as major watchpoints for the popularity of **far right movements and candidates**, with potential EU-wide implications. **China's efforts to position** itself as a reliable geopolitical partner amid rising global uncertainty appear to be bearing some fruit, including in the form of improved global perceptions and signs of success with RMB internationalization.

Meanwhile, **global defence spending** has continued to soar, and Asia is fast emerging as one of the centres of a global defence spending 'supercycle', both as a buyer and seller of arms. **Drones** are increasingly at the centre of this structural trend, as countries across the globe race to absorb the lessons of the wars in Ukraine and Iran – which should add further impetus to defence spending.

But this list is hardly exhaustive as global geopolitical fragmentation continues to accelerate. We've also asked our proprietary model **dbLumina** for its take on the geopolitical themes beyond Iran that markets need to pay attention to.

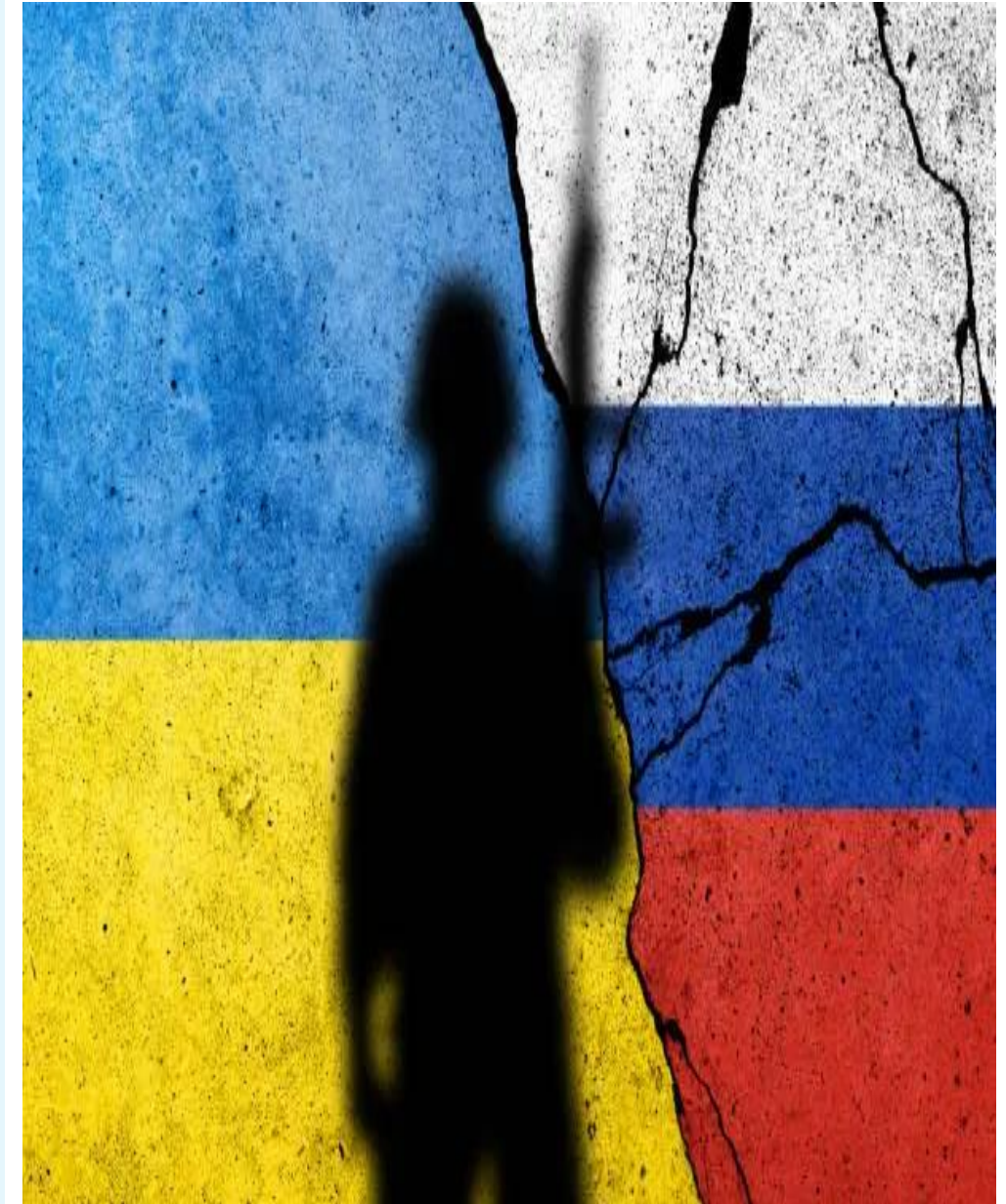
War in Ukraine

Is there an end in sight?



Though trilateral negotiations (US/Russia/Ukraine) are stalled as a result of the war in Iran, a number of recent developments suggest we **may be nearer a ceasefire than many believe**, and this could potentially move quickly. While military barrages continue, as war fatigue mounts, the rising costs of protracted conflict may eclipse its diminishing returns, shifting the strategic calculus. Certainly, polling is demonstrating a marked shift. Russian support for peace talks reached a record high of 67% in March while 72% of Ukrainians say they could support a peace plan that freezes the conflict along the current front line. In addition, casualties in the war have reached the highest rates in modern warfare. Some signs that we may be seeing progress towards a ceasefire:

- On 4 June, Ukrainian President Zelenskyy wrote an open letter to Russian President Putin urging a meeting to agree on an end to the war. Putin has so far rejected the proposal but agreed to another round of negotiations after 22 June.
- Russian President Putin publicly said the war may be “coming to an end” and his recent language contrasts with earlier maximalist messaging. The Kremlin is increasingly speaking more about security arrangements and mediation possibilities than outright military victory.
- US, Russian and Ukrainian officials reportedly have continued negotiations.
- A senior Ukrainian delegation recently travelled to Washington for renewed negotiations with US officials on possible frameworks for freezing the war.
- **Washington may well increase pressure on Moscow and Kyiv** if negotiations remain stalled into the summer. US pressure could be the decisive catalyst, especially if we see shifts to actively conditioning Ukraine support on negotiations or signalling a capped long-term commitment. For Russia, the US could leverage both “carrots” and “sticks” by, for example, offering a pathway to sanctions relief, access to frozen assets, or security architecture talks and/or through increased sanctions or the provision of long-range weaponry to Ukraine.
- If we see increased US pressure, **a deal could emerge relatively quickly**. While a ceasefire over the coming months is far from guaranteed, even credible steps toward a deal would have effects for markets. Any ceasefire would have significant implications for the post-conflict landscape. This could include a possible easing of some sanctions on Russia, the potential for increased Ukrainian agriculture exports, a pathway for Ukrainian accession to the EU and for enabling reconstruction – with implications for investments in minerals, gas infrastructure, technology, city reconstruction, defence, data centres and artificial intelligence.



Source: iStock: Tomas Ragina

Far right politics in Europe

What may upcoming elections mean for the future of Europe?



Far right parties have made significant gains in the 2024 EU elections and recent national polls, notably in France, Germany, and Austria. The **"normalization" of far-right ideas in Europe carries significant implications** for the continent's future, potentially reshaping its political, social, and environmental landscape. Mainstream parties are increasingly adopting certain themes from far-right narratives, potentially as a strategy to appeal to a broader electorate. Looking ahead, key far-right parties' priorities that we should watch in upcoming elections:

Migration and Border Control: This is perhaps the most unified policy area for far-right parties. They consistently advocate for hardening borders, stricter immigration laws, and processing asylum claims outside the EU. Even mainstream parties have adopted more restrictive migration policies in response to the far-right's influence. Successes for far-right parties in upcoming elections could translate into tightening of EU migration policies with possible implications for the EU labour market.

Climate Policy: Many far-right parties express scepticism of ambitious climate policies, including the European Green Deal. There is a risk of a "green backlash," where far-right influence could slow or dilute the implementation of climate-related directives.

National Sovereignty and EU Integration: Far-right parties generally prioritize national sovereignty over further EU integration. While some have moderated their calls for leaving the EU entirely, many advocate for reforming it to reduce its mandate. This focus on national interests could lead to increased challenges in reaching consensus on critical EU issues, including the development of a unified foreign and security agenda, the allocation of the EU budget, and efforts to enhance the EU's overall economic competitiveness..

Economic Policy: While there are internal divisions within the far-right on specific economic policies, a common thread is a push for greater national control over economic decisions. Some advocate for strong fiscal discipline, while others oppose EU-induced fiscal rules. Protectionist economic policies, such as tariffs and non-tariff trade barriers, could also gain traction.

Key European Elections in 2026/2027 with Far-Right Touchpoints	
Germany	State elections in Baden-Württemberg, Rhineland-Palatinate, Saxony-Anhalt, Berlin, and Mecklenburg-Vorpommern – MAR to SEP 2026
Denmark	General election is set for OCT 2026
Latvia	Parliamentary election is scheduled for OCT 2026
Sweden	General election is scheduled for SEP 2026
France	Presidential election is scheduled for APR 2027
Italy	General election will be held no later than DEC 2027
Poland	Parliamentary election will be held by NOV 2027
Spain	General election will be held no later than AUG 2027
Finland	Parliamentary election will be held on APR 2027
Greece	Parliamentary election is scheduled to be held before JUL 2027
Slovakia	Parliamentary election is scheduled to be held by SEP 2027

Uncertainty as Opportunity for China's Global Influence

Beijing is benefitting from perceptions of stability amid global geopolitical uncertainty

Rising geopolitical uncertainty should continue to generate upsides for China. Over the past year, Beijing has sought to position itself as a more predictable global power in contrast with US foreign, trade and security policy volatility. While there are probably limits to upsides from this approach – amid deep-seated structural differences and continued derisking in major markets such as the EU – Beijing's positioning appears to have had some success. This is reflected in [evidence](#) of improving global perceptions of China and a flurry of senior foreign visits to Beijing during 2026.

These visits included the leaders of Canada, Ireland, Finland, the UK, Vietnam, and Germany, and have – among other deliverables – resulted in a US\$15bn UK [investment pledge](#) into the pharmaceutical industry in China; progress on a planned [China-Vietnam railway link](#); a deal for [120 Airbus jets](#); and cuts to Canadian [tariffs on Chinese EVs](#).

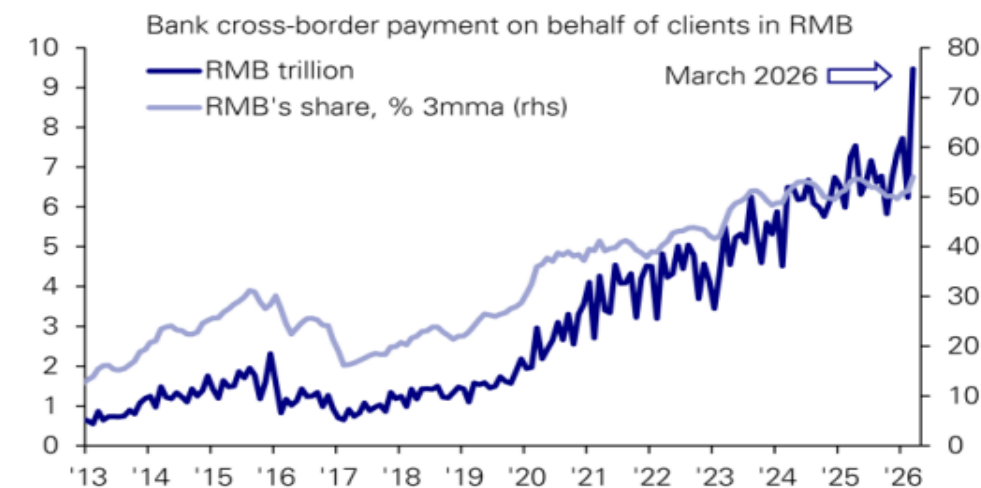
The global energy shock driven by the Middle East crisis could lead to further upsides for Chinese renewables, EV exports, the RMB, and Hong Kong. While not immune to the war's growing economic cost, China's economy has also shown resilience, which included a 14% y/y rise in exports in April (and an [estimated](#) 15% y/y rise in May), in part attributed to global stockpiling amid the Iran war. Combined with perceptions of geopolitical stability and structural advantages owing to investment in strategic industries, this could leave China with a strengthened geopolitical position after the war.

Chinese renewables companies and EV manufacturers have seen an export boom in recent months as consumers in key markets, including Europe, shift away from fossil fuels amid high prices (this has continued, although slowed following the cancellation of China's solar panel export tax refund programme on 1 APR). A likely acceleration in state-led decarbonization efforts after the war across many parts of the world could generate sustained demand for these companies over the medium term.

As our colleagues have argued, there are [tentative signs](#) of an acceleration in RMB internationalization – one of Beijing's key strategic objectives. This was reflected in a 30% jump in cross-border RMB payments during the first month of the war, and in China successfully securing [yuan pricing](#) for some Australian iron ore shipments. The Iran conflict could be a catalyst for the erosion of the petrodollar, and could result in the beginning of a '[petroyuan](#)'. Hong Kong could see further upsides from the conflict, including in the form of inflows of capital, skilled workers and family offices from the Gulf.

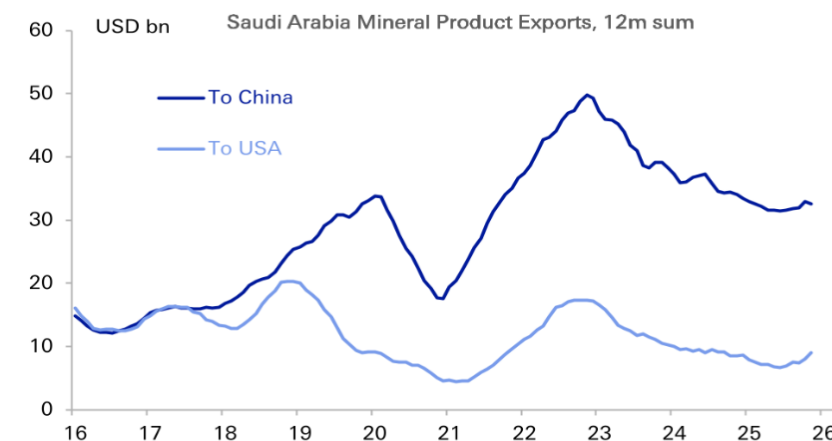


Cross-border RMB payment surged by 30% in March



Source: Deutsche Bank Research. See: [The Big FX View: War and Peace](#)

Saudi Arabia now sells four times as much oil to China as to the US; a trend that could undermine petrodollar foundations



Source: Deutsche Bank. See: [FX Special Report: What Iran means for the dollar: a perfect storm for the petrodollar](#)

Spotlight on Defence: A New Era of Growth in Asia

Asia is emerging as one of the global centres of a new defence spending supercycle, both as a buyer and seller of arms



The fracturing of the post-1945 international order is fuelling a structural defence spending supercycle. Global defence outlays reached [USD2.6 trillion](#) in 2025. In Asia, spending grew by 5.7% y/y last year, reaching [USD573bn](#). We expect geopolitical factors – such as European concerns over Russia, US requests for allies to boost spending and capabilities, China's military modernization, and [intra-NATO friction](#) – to sustain further growth.

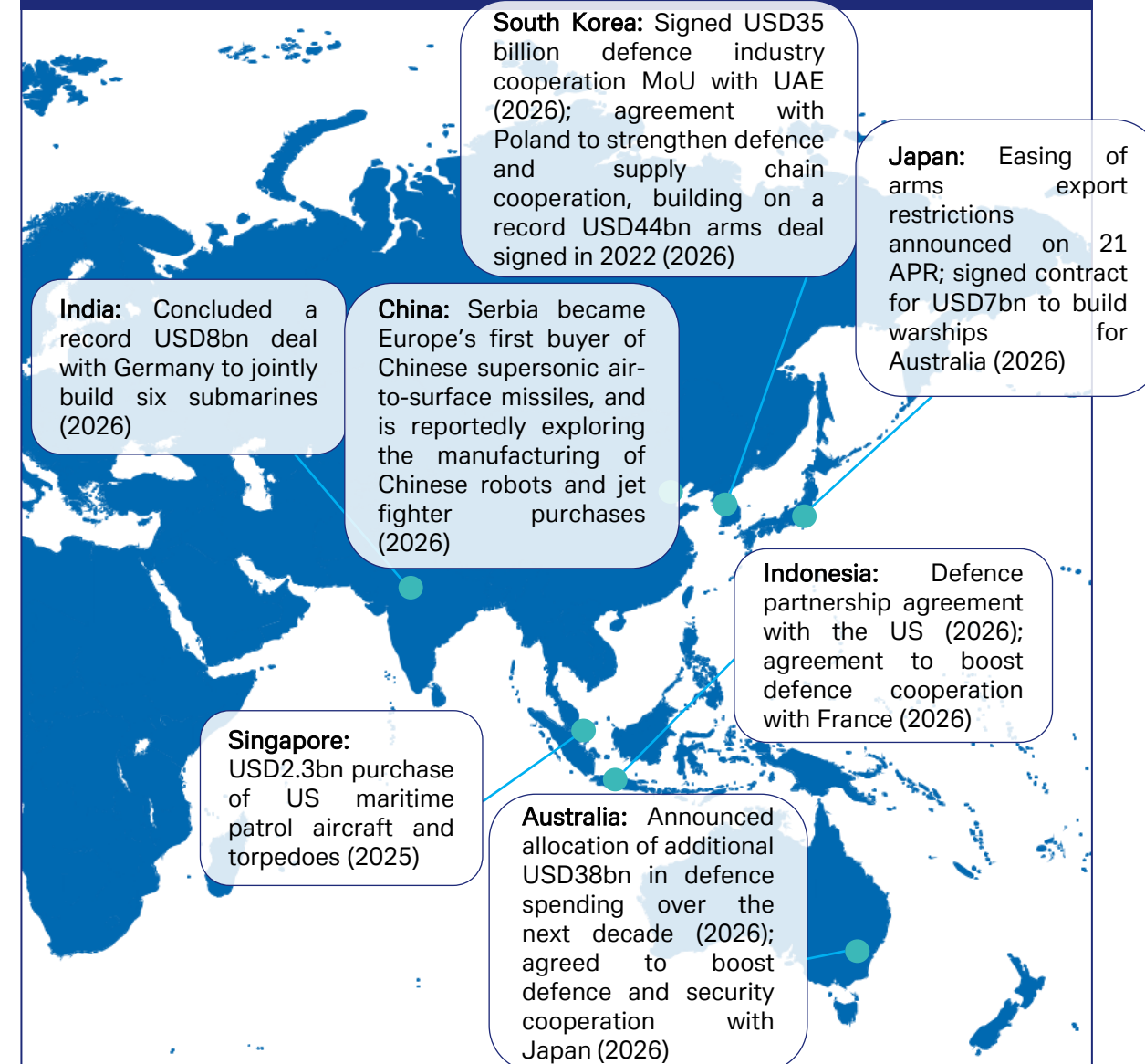
We assess that this supercycle is unique due to Asia's emerging role as a major arms exporter, not just a buyer. The past year has seen significant activity, including record arms deals and major policy shifts (see map). Asia is unlikely to displace leading suppliers but competitive pricing, access to advanced technology, and increasingly integrated supply chains could boost Asian market share in countries traditionally dominated by non-Asian suppliers.

China and South Korea are already two of the world's largest arms exporters. South Korean exports surged by a [reported](#) 83% between 2024 and 2025, and the country is now the [second largest](#) arms supplier to NATO, behind the US. Poland and the UAE are among its biggest buyers, and both could increase purchases amid rising security risks in their regions. The Iran war could boost Gulf defence spending, as the region [reportedly](#) focuses on South Korean anti-missile systems given potential delays in the replenishment of US-made munitions.

Asian arms exports are set to accelerate. Japan's eased restrictions on 21 APR could lead to the biggest increase in Japanese arms exports since WWII, with Poland and the Philippines [reportedly](#) among potential buyers. Meanwhile Taiwan's status as a producer of 90% of the world's advanced chips means its technology is seeing widespread use by the US military, including in F-35 fighter jets and for cutting edge AI development, including for military applications.

Rising Asian defence spending is also creating opportunities for domestic and overseas suppliers. Regional defence spending appears set to climb further, fuelling purchases of defence systems, from submarines to fighter jets and drones. This includes recently proposed or approved spending increases in South Korea, Japan, Taiwan, India, Australia, and the Philippines. Underlying geopolitical imperatives suggest the trend is unlikely to reverse over the coming years, with global implications, including in the form of a potentially weaker dollar (see [FX Special Report: How defence spending will shrink global imbalances and weaken USD](#)).

Selected policy developments and arms deals in Asia, 2025-26



Source: Deutsche Bank

Spotlight on Defence: The Unmanned Revolution

Competition for leadership in the drone revolution is set to intensify



The proliferation of inexpensive defensive and offensive drones is reshaping military doctrine, defence spending, and procurement. The wars in Ukraine and Iran have demonstrated the limitations of costly military assets in the face of numerous cheap and disposable drones. The range and capabilities of these systems continue to rapidly evolve, with the integration of ground robots fast emerging as the next frontier. Ukraine has announced plans to use robots for 100% of frontline logistical needs, and plans to more than double the number of unmanned ground vehicles by mid-2026. However, once there is no active combat and after a certain amount of stockpiling, production will likely slow significantly given how quickly capabilities change.

We expect significant global increases in investment as governments absorb the lessons of ongoing wars. Ukraine has emerged as a global leader in unmanned operations and production, manufacturing around 4 million drones annually (more than the rest of NATO combined), with a [planned](#) increase to 7 million in 2026. Ukrainian production is expanding to facilities in countries including the UK, Denmark, Norway, and Germany, fostering technological diffusion and the emergence of a Europe-wide supply chain. Ukraine is also pursuing joint production with countries in the Middle East, Europe and the Caucasus, and has struck 10-year cooperation agreements with Saudia Arabia, the UAE and Qatar. But recent developments also illustrate the rapid pace of development beyond Ukraine, where policy incentives and spending hikes are set to fuel a massive expansion of drone arsenals over the coming years (see table).

National security concerns will likely drive efforts to reduce critical dependencies, insulate supply chains, and secure an edge in AI. China continues to dominate drone supply chains, including for critical inputs such as motors, batteries, lenses, processed critical minerals, and rare earth magnets. We anticipate increasing efforts by governments, including the US and EU, to reduce these dependencies over the coming years. This will likely take a three-pronged approach: a) curtailing market access to Chinese technology; b) accelerating investments to reduce critical dependencies (e.g., in critical minerals extraction/processing, manufacturing, and AI capabilities) and c) countering vulnerabilities through advancing technological solutions that include rare-earth-free e-engines and more sustainable navigation and power systems for drones. The EU's cooperation with Taiwan, for example has led to a [749% y/y growth](#) in Taiwan's drone export sector.

Precedent suggests that China could seek to slow such derisking efforts. On 24 APR, Beijing banned dual-use item exports to seven European companies due to their links to Taiwan, [purportedly](#) to counter EU-Ukraine-Taiwan security cooperation and drone supply chains.

Selected Recent Developments, including Planned or Proposed Spending Increases

United States	The US Department of War has requested a 24,000% increase in FY2027 funding for its Defense Autonomous Weapons Group, which oversees mass-produced drones with AI capabilities. The Pentagon has placed an order for 30,000 one-way attack drones (the largest such order to date), and expects to receive more than 300,000 by early 2028
France	Plans to expand its stock of explosive drones by up to 400% by 2030
Australia	Intends to more than double funding for anti-drone capabilities over the next decade
Germany	German defense minister stated that Germany is planning to spend EUR10 billion (US\$11.5 billion) on drones over the coming years
Japan	Allocated US\$800 million in FY2026 for a coastal defence system that includes unmanned systems; may allocate US\$1.2 billion for new drones through FY2027
South Korea	Intends to train 500,000 military drone operators and procure 11,000 commercial drones for military use in 2026
European Union	"Drone Wall" or "Drone Shield" – multi billion EURO commitment

What does AI say?



While attention is firmly focused on the crisis in the Middle East and the state of the Strait of Hormuz, we asked our proprietary AI model, dbLumina, to review our report and identify any additional geopolitical themes beyond the Iran crisis. The below assessment is entirely generated by the AI model.

European Geopolitical Alignments: Fallout from US Actions

The current US foreign policy posture could trigger an unprecedented crisis for NATO and broader European unity. The watchpoint is how European states respond to such events: whether they choose to pursue economic measures against the US, and how traditional alliances evolve when faced with US unilateralism. This dynamic will redefine transatlantic relations and European strategic autonomy.

Greenland: Escalating US Control & Resource Scramble

President Trump explicitly indicated the US would act on Greenland "whether they like it or not". This signals an intense push for strategic control and access to Greenland's vast resources. The watchpoint is the potential for increased US military presence, long-term lease negotiations, or even more assertive actions, despite unified Danish and Greenlander opposition.

Taiwan Strait: Persistent Tensions & Cross-Strait Stability

The ongoing strategic rivalry between the US and China, particularly concerning Taiwan, remains a critical flashpoint. The broader context of "digital sovereignty and tech decoupling," "rewiring of global trade," and intensified competition for "critical minerals" directly implicates the Taiwan Strait due to its centrality in global semiconductor supply chains and major maritime trade routes. Any escalation here could have immediate and cascading global geopolitical and economic consequences.

Re-evaluation of Multilateralism & Global Governance

US unilateral actions are actively challenging established international law and norms. This trend creates systemic uncertainty for global governance mechanisms, impacting trade agreements, environmental accords, and the enforceability of international contracts. Watch for key international forums (e.g., UN, G7/G20 summits) to see if major powers continue to bypass or actively undermine multilateral institutions, leading to further fragmentation and a less predictable global operating environment.



Source: Growtika on [Unsplash](#)

Selected key geopolitical events to watch in 2026

For a detailed look at key monthly geopolitical events, please also see our [This Month in Geopolitics](#) publication series.

Date	Market(s)	Comment
15-17 June	France/G7/China	France will host the G7 Leaders’ Summit in Évian. Talks will likely include efforts to coordinate a response to major geopolitical issues, including the global impacts of the Iran war, the Russian invasion of Ukraine, competition with China , and supply chain resilience.
1 July	US/Canada/Mexico /China	The start of the mandatory six-year joint review of the US-Mexico-Canada (USMCA) trade agreement . Efforts to reduce reliance on China , and to curb the role of Chinese companies in North American supply chains, will be a watchpoint.
7-8 July	NATO Summit	The NATO summit in Türkiye is expected to be one of the most important alliance meetings in years. Major issues include the future of support for Ukraine; European defence spending; NATO’s posture toward Russia; burden-sharing tensions with the US; and security coordination in the Black Sea and the Middle East.
24 July	US/Global	The US global 10% Section 122 tariffs are set to expire. These will likely be replaced by new tariffs introduced as a result of two Section 301 trade investigations. Dozens of countries could face higher US tariffs as a result.
Early August	China	China’s leaders will gather for their annual informal summer retreat in Beidaihe near Beijing. The venue provides an opportunity for Party leaders to exchange views on major policy issues, including relations with the US.
8 September	UN General Assembly in New York	The meeting in New York will bring leaders together amid increasing geopolitical volatility and the process to choose the next UN Secretary-General before Antonio Guterres leaves office at the end of 2026.
13 September	Germany	German state and local elections may impact Chancellor Friedrich Merz’s governing coalition amidst economic pressures, immigration debates and the continued rise of the far-right Alternative for Germany (AfD).
September	India/BRICS	India will host the BRICS Summit in New Delhi. Watchpoints include any announcements that could suggest efforts to move further away from the US dollar. This includes BRICS Pay (an initiative meant to facilitate cross-border payments in BRICS currencies) and the BRICS ‘Unit’, a prototype gold-backed digital currency unveiled in 2025.
24 September	China/US	China’s President Xi is expected to visit the United States following the China-US Summit in Beijing in May.
3 November	US Midterm elections	These midterms will see voters choose 435 seats in the House of Representatives, 35 Senate seats and governors in 39 states and territories. The US midterms will be vital in determining control of the Congress and the Senate, which will significantly influence President Trump’s ability to pass laws and shape national policy.
18-19 November	APEC Summit	China will host the APEC Economic Leaders’ meeting in Shenzhen . The summit could see a Xi-Trump meeting on the sidelines, and may shape Indo-Pacific economic architecture for years to come.
14-15 December	G20 Summit	The 2026 G20 Summit in Miami may become contentious due to Ukraine-related divisions, trade and tariff disputes, climate financing disagreements and questions around global governance reforms. The summit could also see a fourth meeting between presidents Xi and Trump in 2026.



Source: [Nils Huenefruerst](#) on [Unsplash](#)

Appendix 1



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Assessing AI in finance with Evident Co-CEO Alexandra Mousavizadeh

June 9, 2026

Banks are racing to invest heavily in AI to avoid being left behind, even though the impact is yet to show up significantly in their bottom line, cost-to-income ratios or share prices, Alexandra Mousavizadeh, Co-Founder and Co-CEO of Evident, said in a [Deutsche Bank Research Institute](#) dbInSights webinar last week.

The industry has spent the past three years testing AI and is now entering a new phase of production at scale, said Mousavizadeh of [Evident](#), whose AI Index is the global standard benchmark of AI maturity for financial services companies.

“We are still in the foothills of the journey,” she told Adrian Cox, Thematic Strategist for the Institute, adding that investment in building in-house research teams, creating an engineering culture and thinking through workflows and architectures over the past decade is paying off for early movers.

“The longer you wait, the harder it is going to be,” she said.

Click [here](#) to watch the half-hour webinar. *(You will need to download this report as a pdf to access the link.)*



It will probably take another two years to see the results at the leading banks and another eight to ten years for the technology to be fully diffused throughout the industry, she said.

The most impactful cases are not always the most sophisticated, Mousavizadeh said. Streamlining Know Your Client (KYC) activities can provide an instant revenue lift, often from simply re-engineering old workflows, with AI layered on top to automate and accelerate them. In the meantime, more complex use cases are emerging, such as AI agents to stitch together different processes and departments, she said.

The webinar also includes debates on why Mousavizadeh sees no jobs apocalypse in finance, what differentiates successful adopters of AI, how different regions are diverging, and what advice she would give a young professional entering the workforce.

Authors

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Research Analyst



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Deutsche Bank
Research

dbDataInsights Geopolitics Survey

UK Politics: Perspectives on leadership transition and key priorities

June 2026

Dr. Helen Belopolsky | Sanjay Raja | Debbie Jones

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

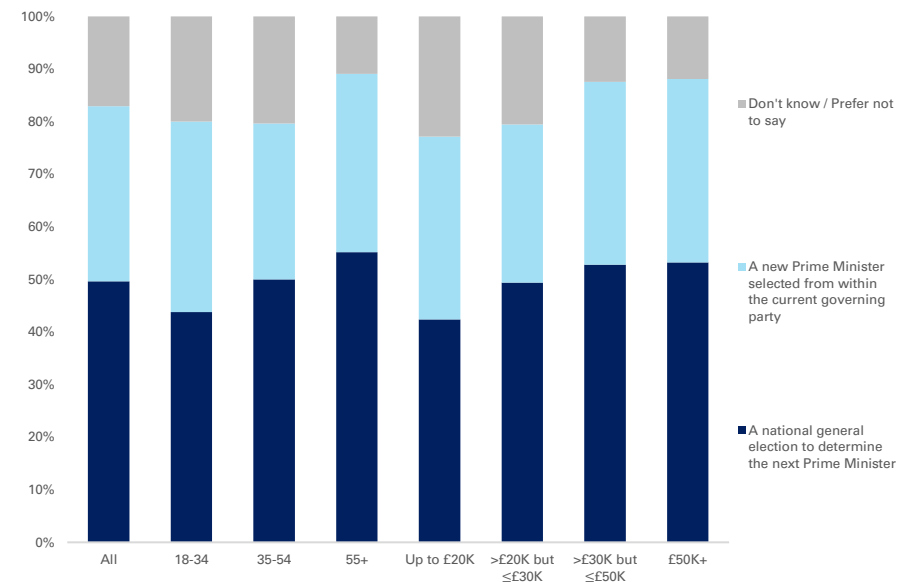
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Research Institute

Population would prefer election to determine the next Prime Minister



- Prime Minister Starmer's administration is currently navigating a complex political landscape, contending with [economic pressures](#), the implementation of key policy initiatives, and recent instances of political controversy. In addition, Labour saw [poor results](#) in the latest local elections. By mid-May, ~100 Labour MPs had called on PM Starmer to resign or set a departure timetable – though 111 backbenchers signed a letter opposing a leadership challenge. Speculation around the Prime Minister's position remains, with rival Andy Burnham running to return to Westminster as part of the Makerfield by-election.
- Our dbDataInsights survey suggests that voters are considering the potential for significant political change and its implications. **In a scenario where the Labour Party were to elect a new successor, a notable 50% of respondents expressed a preference for a national general election** to determine the next Prime Minister, rather than an internal selection process.
- This sentiment is particularly salient as PM Starmer is currently only one of the last five PMs to have entered Downing Street as a result of a general election victory. The preference for broader electoral participation is observed to be strongest among the oldest age cohort, indicating a desire for a more direct public mandate in future leadership changes.

UK participants were asked: if the UK Prime Minister did change soon, which of the following would you most prefer: a new PM selected from within the governing party or a general election?



Methodology

These results are derived from a monthly online nationally representative survey. We survey ~550 respondents in European countries and the UK, and ~650 respondents in the US. Our protocol ensures proportional representation across key demographics such as age, income, location, and gender to accurately reflect population diversity. Participants are restricted from taking the survey more than once every six months. The geopolitics questions are integrated into a larger monthly survey conducted by the dbDataInsights team.

Source: dbDataInsights

Responses collected in May 2026 from an Online Nationally Representative sample of ~650 US respondents.

Cost of living an overwhelming concern for Britains



- Cost-of-living concerns are seen as the key priority to be tackled by any new Prime Minister. This is particularly salient given the volatile global environment, where escalating trade tensions, persistent tariff pressures, and broader geopolitical uncertainty fuel inflationary pressures on essential goods and services (namely, energy and food). Such external factors inevitably translate into significant impacts on household purchasing power and overall consumer sentiment domestically.
- This is reflected in the survey data, with an overwhelming **75% of respondents identifying the “cost-of-living crisis”** as the most critical immediate issue for a new Labour Prime Minister. The consistently high salience of this figure across all demographic groups underscores its importance. Addressing it would be a foundational priority for any incoming government seeking broad public support.
- Beyond economic pressures, the **National Health Service** also stands out as a significant immediate focus, identified by 49% of respondents – a reflection of an ageing society. This highlights a widespread public expectation that the health service requires urgent attention and resources beyond the multi-billion-pound investment delivered thus far.
- Furthermore, demographic-specific priorities are evident within the survey results. A notable **62% of the oldest age cohort surveyed identified immigration** as a key issue requiring the attention of any incoming Prime Minister.

Source: dbDataInsights

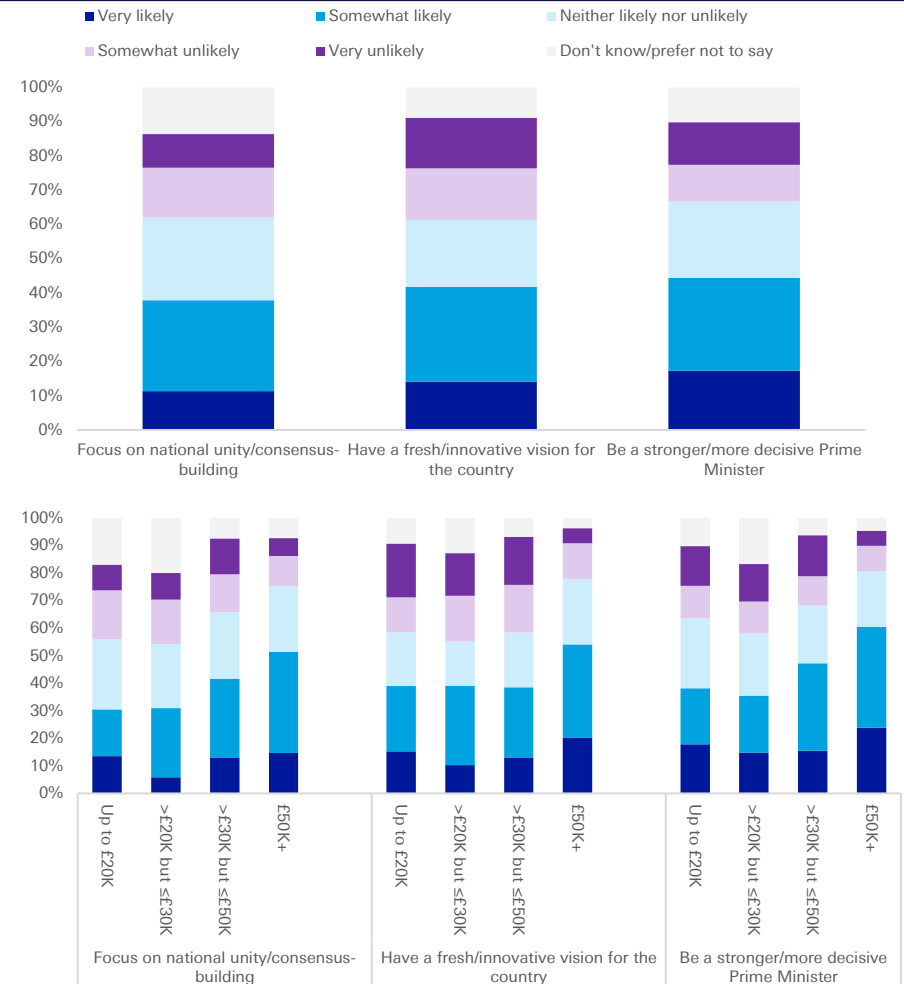
Responses collected in May 2026 from an online nationally representative sample of ~550 respondents in European countries and the UK, and ~650 in the US. See slide 1 for further information.

Focus on unity through decisiveness



- 40% of respondents believe a new Labour Prime Minister should primarily concentrate on **fostering national unity**. This figure rises slightly to 44% among those who anticipate a stronger and more decisive leadership approach, suggesting a segment of the electorate desires clear and firm direction in navigating national challenges.
- Approximately 42% of respondents anticipate that a new Labour Prime Minister would introduce **a fresh or innovative vision for the country**. This sentiment is particularly pronounced among higher-income demographics, with 61% of those earning over £50,000 annually expressing confidence in such a prospect.
- This suggests that while there is a general appetite for new ideas, specific segments of the electorate, particularly those with higher incomes, may hold stronger hopes for transformative policy directions under a new Labour leader.
- “Faith” in a new leader appears to diminish with age, suggesting younger cohorts are more optimistic about a fresh start.

UK participants were asked: How likely or unlikely do you think it is that a new Labour Prime Minister would focus on national unity/consensus-building, have a fresh/innovative vision for the country, and/or be a stronger/more decisive Prime Minister?



Source: dbDataInsights

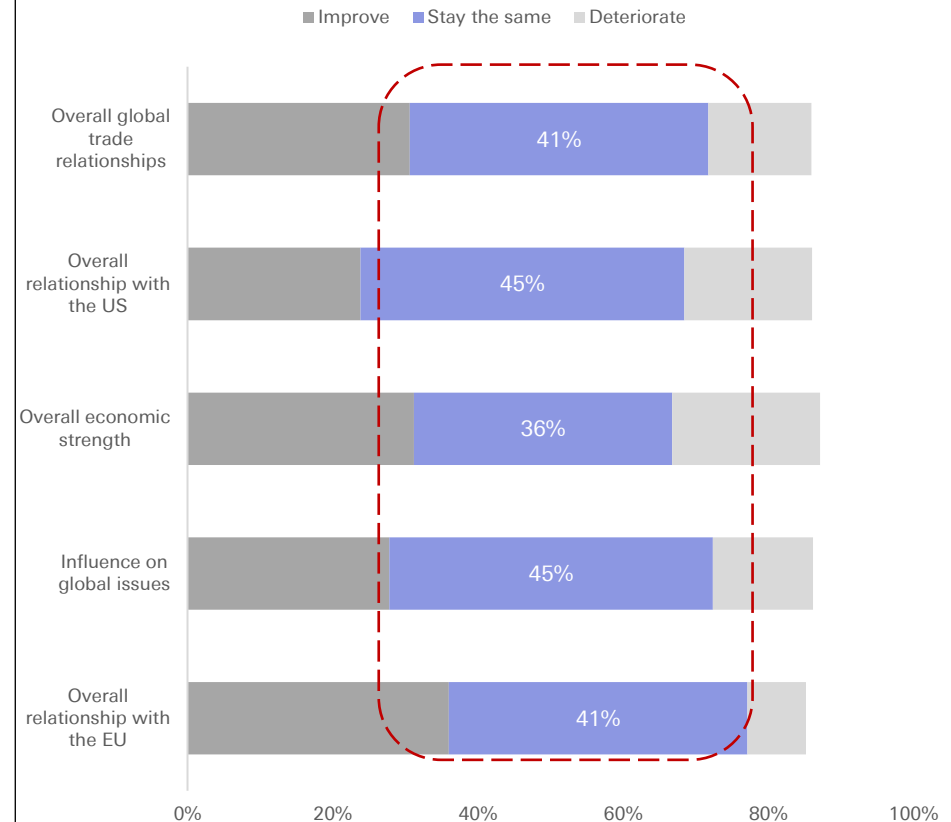
Responses collected in May 2026 from an online nationally representative sample of ~550 respondents in European countries and the UK, and ~650 in the US. See slide 1 for further information.

Expectations for UK's international standing and economic future



- The data points to a public mood that is guarded, indicating that any new Prime Minister would face the challenge of not only delivering tangible improvements but also shifting perceptions about the nation's global trajectory.
- 45% of respondents **expect the UK's influence on global issues and the UK's relationship with the US to remain unchanged** under a new Prime Minister. Only 28% and 24%, respectively, foresee improvement. This could indicate a perception that these areas are particularly entrenched or less amenable to rapid positive change, regardless of a new Prime Minister's efforts.
- In every category, a plurality of respondents anticipates that current conditions will "stay the same", which suggests a prevailing sentiment of cautious realism, or perhaps a lack of strong optimism for immediate positive shifts across critical areas such as international relations, global influence, and economic performance.
- While expectations that "economic strength" and "global trade relationships" would "stay the same" are also prominent (36% and 41%, respectively), a somewhat higher proportion still hopes for improvement (31% in both cases), suggesting slightly more fluidity or a greater desire for change in these economically relevant domains.

UK participants were asked: Under the new Labour Prime Minister, do you think the following would improve, stay the same, deteriorate or don't know: overall relationship with the EU, influence on global issues, overall economic strength, overall relationship with the US, and overall global trade relationships?



Source: dbDataInsights

Responses collected in May 2026 from an online nationally representative sample of ~550 respondents in European countries and the UK, and ~650 in the US. See slide 1 for further information.

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